

THE ELEMENTS OF MANAGEMENT

THE ELEMENTS OF MANAGEMENT



*Being a Plain Account of Planning, Organising,
Directing and Controlling*

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*Four short cases take you from
the case file to new settings.*

*Five common
misunderstandings are stated
and corrected.*

*A further misunderstanding
mixes up the three skills.*

*A second misunderstanding
gives each person one fixed
level.*

*A third misunderstanding
treats level as a measure of
worth.*

*A fourth misunderstanding
treats skill as a gift.*

*Robert Katz named the three
skills in 1955.*

changes with level, and human skill stays large at every level. Managers handle people, money, materials and information, and they perform several roles. Qualities such as fairness support these skills but do not replace them. In a small organisation, such as Meghna and Sons, one person may work at two levels, and the top manager may still perform technical work.

THINK IT THROUGH

Each case below moves a little further from the case file. Use only the ideas of this chapter.

2.T1 Use the case file. At which level does Nurul work, and at which levels does Rafiq's work stand?

2.T2 Suppose Meghna and Sons opens a second shop with its own manager, who answers to Nurul and directs a small team. At which level does the new manager stand, and why?

2.T3 A bus company has a chairman, a depot manager and a driver supervisor. Place each at a level, and say which skill each one needs most.

2.T4 A sales assistant who sells books very well is promoted to supervise the other sales assistants. Which of the three skills is the new supervisor most likely to lack at first? Use Chapter 1 to explain why that skill matters.

WHERE PEOPLE GO WRONG

Wrong: Top managers need no technical skill, and first-line managers need no conceptual skill. *Correct:* Every manager uses all three skills. Only the amounts differ from one level to the next.

Wrong: A person who is good with people has conceptual skill. *Correct:* The skills are different. A person can be excellent with people and still fail to see how the parts of an organisation connect.

Wrong: Each person stands at exactly one level. *Correct:* The level belongs to the work. In a small organisation, one person often performs work at two levels, as Rafiq does.

Wrong: A higher level means a more valuable person. *Correct:* Level describes a position in the chain of managers. It says nothing about how valuable or how clever a person is.

Wrong: Managers are born with their skills. *Correct:* Skills can be learned. A manager who is weak in one skill can improve it through training and practice.

IN HISTORY

In 1955, Robert Katz published an article in the *Harvard Business Review* called "Skills of an Effective Administrator". The journal is an American magazine for business managers. Katz used the word administrator for the person; this book uses manager. He began from a view close to Chapter 1: a person who directs the work of others and answers for the results.

2.3 MANAGERS AND RESOURCES

A manager handles resources, and the four kinds named in Chapter 1 each need different care.

Role. Word in use. In daily life, a role is a part played by an actor. In management, a role is a set of tasks that a manager is expected to perform.

A role is a set of tasks that a manager is expected to perform.

Resources and skills fit together, because each resource calls for a different skill.

Four plain roles describe most of what managers do.

A first-line manager and a top manager use the same four roles in different proportions.

Qualities describe what a person is like, and they support skills.

Chapter 1 defined a resource as anything an organisation uses to reach its goals, such as people, money, materials and information. Managers at every level handle all four kinds, though in different proportions. People need direction and fair treatment. Money needs a record and a careful use. Materials, such as stock and fittings, need storage and protection. Information, such as sales records and customer lists, needs to be accurate and to reach the right person in time. A first-line manager mostly handles people and materials. A top manager spends more time on money and information that concern the whole organisation.

Managers also perform *roles*. In this book a role is a set of tasks that a manager is expected to perform. It is a useful word, because it describes what a manager does and not the manager's title. One person can perform several roles in the same hour.

Resources and skills fit together. Handling people calls mainly for human skill. Handling stock, fittings or a record of money calls mainly for technical skill. Handling information so that it reveals how the parts connect calls mainly for conceptual skill. A manager who sees these links can decide which skill to practise when a new kind of problem appears.

Four plain roles describe most of the daily work. In the first, the manager directs people: assigns tasks, answers questions and settles disagreements. In the second, the manager deals with people outside the organisation, such as suppliers, customers and lenders. In the third, the manager handles information: receives it, checks it and passes it to those who need it. In the fourth, the manager decides how to use the organisation's resources. The mix of roles changes with level, in the same way as the mix of skills. A first-line manager spends most of the day in the first role, and a top manager spends more time in the second and fourth.

Consider two managers in one bank on the same morning. The cashier supervisor spends most of the hour in the first role, because a new employee needs help at the counter and a customer is waiting. The managing director spends the same hour in the second and fourth roles: meeting a lender, and deciding whether the bank can afford a new branch. Both managers perform all four roles during a week. The difference lies in the amount of time given to each, and that difference follows from the level.

Qualities are different from skills. A skill is what a person can do, and a quality is what a person is like. Fairness, honesty, reliability and a willingness to learn are qualities that help an effective manager. They matter because employees follow directions more readily from a manager they trust. Qualities do not replace skills, and skills do not replace qualities. A kind but unskilled manager cannot repair a failing process, and a skilled but unfair manager loses the trust of the team.

*To the one I once wanted gone at any cost,
whom I thought was the worst in the room,
only to find myself becoming the one who
wanted to protect her. RU–MGT 30 · Nazifa
Binte Kamal.*

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Technical skill. The ability to use the tools, methods and knowledge of a specific job.

Technical skill is the ability to do a specific job with its own tools and methods.

Human skill. The ability to work with, understand and motivate other people.

Human skill is the ability to work well with people.

Conceptual skill. The ability to see the organisation as a whole and to understand how its parts connect.

Conceptual skill is the ability to see the whole organisation and how its parts connect.

The mix of skills changes with level, but one skill stays large at every level.

Katz's pattern is easiest to see by following one person up the levels.

Step one: first-line managers need the most technical skill.

Step two: top managers need the most conceptual skill and less technical skill.

Management needs the same three kinds of ability, and Robert Katz named them in 1955.

The first kind is **technical skill**. Technical skill is the ability to use the tools, methods and knowledge of a specific job. A stock clerk who counts and shelves books quickly and correctly has technical skill. So does an accountant who keeps a correct record of money. Technical skill is mainly about working with things and methods. It can be learned by training and practice, and a person can see at once whether the work is done well.

The second kind is **human skill**. Human skill is the ability to work with, understand and motivate other people. To *motivate* means to give a person a reason to begin acting and to keep acting; Chapter 16, 'Motivation', teaches it fully. A first-line manager who notices that a tired cashier needs a short break, and who explains a new rule in a way that the cashier accepts, shows human skill. Human skill is about working with people, and not with things. It also includes listening, because a manager who does not listen cannot understand an employee's difficulty.

The third kind is **conceptual skill**. Conceptual skill is the ability to see the organisation as a whole and to understand how its parts connect. Suppose a publisher delivers books late. A manager with conceptual skill sees more than a late delivery. Late books delay school orders, late school orders damage the shop's name, and a damaged name reduces future orders. Seeing this chain of effects is the skill. It is about working with ideas and with the links among them.

PAUSE AND CHECK 2.P2 A manager notices that a new employee is afraid to ask questions, and arranges a weekly short talk with the employee. Which of the three skills does this show? Give a reason.

Now the main question of the section: does every manager need all three skills equally? Katz found that every manager needs all three, but not in the same amounts. The amounts change with the level. This is the idea of the *skill mix by level*, and we build it in four steps.

Follow one person upward to see the pattern. A cashier who counts money quickly is promoted to supervise the cashiers. Her technical skill is large and helps her at once, because she can teach and check. Later she becomes manager of the whole counter area, and then of the branch. At each step, she uses less of her own counting skill and more of her skill with people and with ideas. The cashier did not lose the skill; the work asked for a different mix.

First, consider the first-line manager. The team under this manager does the daily work, such as selling, counting or repairing. To teach a new employee, to judge whether work is good, and to help when something goes wrong, the supervisor must understand the job. A first-line manager therefore needs a large amount of technical skill, and only a small amount of conceptual skill, because the daily work is close and the supervisor can see it directly.

Second, consider the top manager. A top manager's decisions affect the whole organisation, and the top manager seldom does

TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches The Elements of Management one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

This chapter builds on the first chapter.

Three jobs in one shop need three different abilities.

The puzzle asks whether managers at every level need these abilities equally.

GO SLOWLY HERE.

A school shows three levels in a familiar setting.

Level. Word in use. In daily life, a level can mean a floor of a building or a height. In management, a level is a step in the chain of managers, from the top of the organisation to the bottom.

In this book, level means a step in the chain of managers.

Top manager. A manager at the highest level, who sets the direction of the whole organisation.

The top manager sets the direction of the whole organisation.

Middle manager. A manager between top and

You will need: Chapter 1 'What Management Is', section 1.1 'The Idea of Management'; Chapter 1 'What Management Is', section 1.4 'A Manager's Responsibility'. *Recall:* management, organisation and manager, Chapter 1, section 1.1; responsibility, Chapter 1, section 1.4.

Imagine the owner of a small bookshop on an ordinary Monday. A shelf has fallen and must be repaired before customers arrive. A school has asked for next year's textbooks, and the owner must decide how many copies to order. Two employees are quarrelling about who closes the till, and neither will speak to the other. Each problem belongs to management, yet each calls for a different ability. Mending a shelf needs skill with tools. Planning next year's orders needs a view of the whole shop. Settling a quarrel needs an understanding of people.

Now the puzzle. Should the owner of a large chain of bookshops spend the day mending shelves? Should the supervisor of one counter spend the day planning the chain's future? Most readers feel that the answer is no, but cannot yet say why. The reason is that managers stand at different levels, and the abilities they need change from one level to the next. This chapter explains the levels first. It then explains the abilities, and last it shows what managers handle and what they do.

* * *

2.1 LEVELS AND KINDS OF MANAGER

We begin with a school that you know. At the top, a principal decides what kind of school it will be. Below the principal, the head of each subject turns that direction into plans for the teachers of the subject. At the bottom, teachers guide pupils in the classroom day after day. Nobody finds this strange. The school has levels, and each level has a different job. A business has the same pattern. Management is not one flat group of equals; it is arranged in steps.

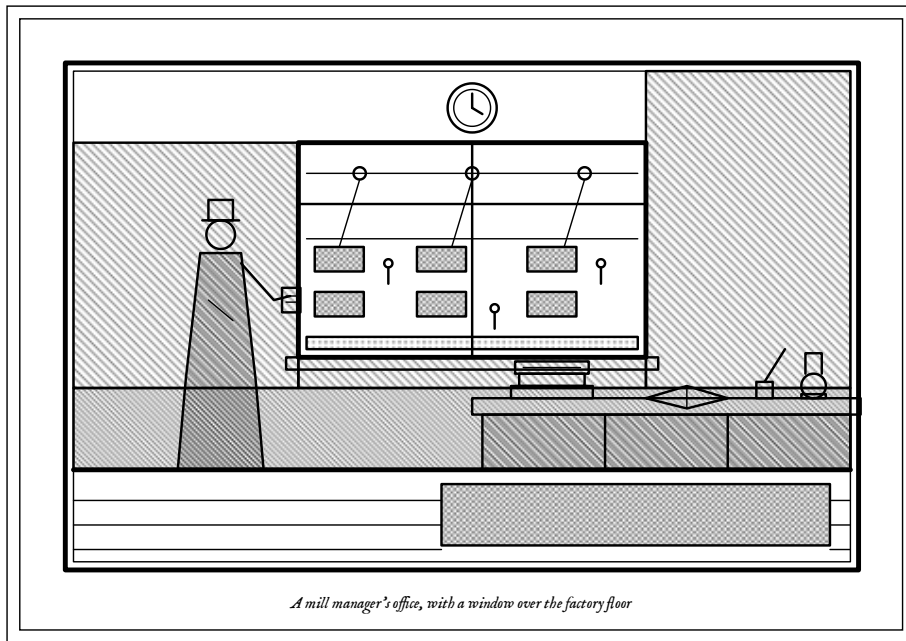
In this book the word *level* always means a step in that chain. It does not describe how important or how clever a person is. A manager at a lower level may be cleverer than one above, and the level still describes only the position in the chain.

At the highest level stands the **top manager**. A top manager is a manager at the highest level, who sets the direction of the whole organisation. In a bank, the managing director is a top manager. In a small family shop, the owner-manager is one. Top managers decide what the organisation will do and what it will not do. Two levels lie below them, and the next two paragraphs name them.

Below the top stands the **middle manager**. A middle manager is

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.

¹ A department is a part of an organisation that does one kind of work, such as accounts or sales.



CHAPTER I

What Management Is

Who decides what everyone does, and who answers when the work goes badly?



This chapter introduces the central word of the book: management. It explains what management is, what its main features are, why every organisation needs it, and what a manager answers for. It also shows you how to read the rest of the book.

The definition uses four verbs that you may not yet know as subject words. Here they are in plain words. *Planning* means deciding in advance what to do. *Organising* means arranging people and tasks. *Leading* means guiding and encouraging people. *Controlling* means checking results and correcting any difference from the plan. Chapter 3, 'The Functions of Management and How Management Is Judged', teaches all four. The definition also uses the words organisation and resources. The next two paragraphs explain them.

PAUSE AND CHECK 1.P1 Name the four kinds of work in the definition of management. For each one, give an example from a family household.

First, the word organisation. A roadside seller of mangoes works alone and needs no group. A bookshop with seven employees is different, because the work is too large for one person. We call such a group an **organisation**. An organisation is a group of people working together in a planned way to reach goals they could not reach alone. A school, a hospital, a bank and a village cricket club are all organisations. People also say institution or enterprise. This book uses one word, organisation, for all of them.

To reach its goals, an organisation needs things to work with. A **resource** is anything an organisation uses to reach its goals, such as people, money, materials and information. A bookshop's resources include its books, its cash, its shelves, its staff and its list of school customers. People are a resource too, though a special one, because only people can decide and act.

Some resources can be touched, such as books and shelves. Others cannot. The list of school customers is information, and the skill of the staff belongs to the people resource. A manager must think about all of them, because each one helps the organisation to reach its goals.

Now we reach the last part of the definition: managers reach goals through people. Think of a shop owner who sells books alone. The owner does the work with her own hands. Once a second person joins the shop, a new job appears. Someone must see that both people do their work and that the shop's results are good. A **result** is what the work produces, such as books sold or customers served. The person who has this job is a **manager**. A manager is a person who is responsible for the work of other people and for the results of their work. The word *responsible* has a precise meaning, which Section 1.4 explains. For now, read it as answerable. The person who directs the sales assistants and answers for the shop's sales is a manager.

This idea stands at the centre of the whole book. A manager's own hands rarely make the product or serve the customer. The manager's work is to see that other people do it well, together, and toward the goals. A good sales assistant who becomes a manager must therefore learn a new skill: succeeding through the effort of

Four verbs in the definition need a plain-word preview.

Organisation. A group of people working together in a planned way to reach goals they could not reach alone.

A group of people with a plan is an organisation.

Resource. Anything an organisation uses to reach its goals, such as people, money, materials and information.

Resources are the things an organisation works with.

Resource. Word in use. In daily life, a resource often means a natural source of wealth, such as water or coal. In management, a resource is anything the organisation uses, including people and money.

Not every resource can be touched.

Manager. A person who is responsible for the work of other people and for the results of their work.

A manager gets results through the work of other people.

Results through people is the idea that separates management from doing the work oneself.

Step two: the resources are the three items the file lists.

Step three: the definition of a manager decides who counts, and a title alone does not.

Step four: the goal is the sales target, and its arithmetic can be checked.

Step five: the table of Section 1.4 shows who the manager answers to in this shop.

The conclusion joins the four parts into one picture.

Three common slips are worth naming before the check.

The check confirms that the target is a sensible increase.

The summary gathers the chapter into five sentences.

Four short cases take you one step at a time from the case file to new settings.

Step 2. The resources are the stock, the fittings and the seven staff. The stock and fittings are materials, and the staff are people.

Step 3. A manager is a person who is responsible for the work of other people and for the results of their work. Nurul fits this definition, because she is the owner-manager of a shop with seven staff. Rafiq holds the title of store manager. The case file does not say which employees report to him, so we cannot apply the definition to him without more facts. A title is a clue, and the definition is the test.

Step 4. The goal is the 2026 sales target. We check how it was found. Ten per cent of Tk 14,400,000 is $Tk\ 14,400,000 \times 10 \div 100 = Tk\ 1,440,000$. Adding this to the 2025 sales gives $Tk\ 14,400,000 + Tk\ 1,440,000 = Tk\ 15,840,000$. The figure matches the case file.

Step 5. Use the table of Section 1.4. Nurul is both the owner and the manager, so she answers to herself as owner for the results and to the employees for fair treatment. She also answers to customers for goods and service as promised. A family shop therefore joins two roles in one person, which is common in small organisations.

Conclusion. At Meghna and Sons, management is the work of directing the seven staff, the stock and the fittings toward a sales target of Tk 15,840,000. The owner-manager is the clear manager under the definition.

Common slips. Readers often name the title as the test of a manager, forget that people are a resource, or confuse the sales target with the 2025 sales. The title is only a clue, the staff are a resource, and the target is the 2025 sales plus ten per cent.

Check. A tenth of Tk 14,400,000 is Tk 1,440,000, because dividing by ten moves the digits one place. The target is the 2025 sales plus that amount, so it is ten per cent higher. The answer is sensible.

* * *

SUMMARY

Management is the work of planning, organising, leading and controlling people and resources to reach an organisation's goals. An organisation is a group working together in a planned way. Resources are everything it uses. A manager gets results through other people and is responsible for their work. Management is universal, continuing, a group activity and goal-directed. Its purpose is to reach goals by using resources well. A manager answers to owners, employees and customers, and this duty is different from authority, which is the right to give orders.

THINK IT THROUGH

Each case below moves a little further from the shop in the case file. Use only the definitions of this chapter.

1.T1 Use the case file. Name one manager at Meghna and Sons, and list the resources the case file records.

after day, the continuing work of management is the reason. The owner sees all four features at once, because the owner answers for the whole shop and for every goal it has set.

Each feature has a limit. Universal does not mean identical: a hospital manager and a bookshop manager use the same four kinds of work, but the details differ, because patients are not customers. Continuing does not mean that the work is the same every day. Group activity raises a harder question. Many students find it confusing, because a one-person business seems to have no group. Such an owner leads nobody, but still decides what to buy, arranges the stall and checks the day's takings. These are management on a very small scale.

Before moving on. Management is universal, continuing, a group activity and goal-directed. It is found in every organisation, it never finishes, it joins the efforts of many people, and it aims at goals. *You should now be able to say* that the nature of management means these four features.

* * *

1.3 PURPOSE AND IMPORTANCE

Imagine two bookshops on one street. They buy from the same suppliers and charge the same prices. After a year, one shop is busy and the other must close. The books did not make the difference. The difference lay in how each shop used its resources: its people, its money, its stock and its time. This section asks two questions. What is management for, and why does it matter?

First, a bridge from daily life. Suppose a family has Tk 20,000 for one month. Rent takes Tk 8,000 and food takes Tk 9,000. Together these use Tk 17,000, and Tk 3,000 remains. The remaining money cannot pay for school books, transport and savings all at once. Someone must choose, and the choice has a result for everyone in the family. An organisation faces the same situation on a larger scale, with more people and more choices.

The purpose of management is to help the organisation reach its goals by using its resources well. Using resources well means that the organisation does not waste the time of its people, its money or its materials. A shop that orders books nobody buys wastes money. A shop where two employees perform the same task while a customer waits wastes time. Management tries to prevent both.

The next figure gives a picture of this purpose. Read it from left to right. The box on the left holds the resources. The dashed arrow below it carries the goals. Both arrows enter the middle box, where managers decide, arrange, guide and check. The thick arrow on the right leaves the middle box and reaches the results. If the results match the goals, the purpose has been met.

Every feature has a limit, and the limits prevent mistakes.

The recap repeats the four features.

Two shops, the same books and the same street can have very different futures.

A small household budget shows what limited resources force a manager to decide.

The purpose of management is to reach goals by using resources well.

The figure shows how managers turn two inputs into results.

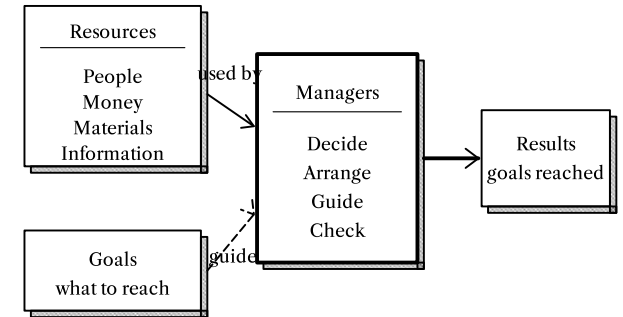


FIG. 1.1. *Managers turn resources and goals into results*

Four conditions explain why every organisation needs management.

Good management benefits owners, employees, customers and society.

The same good management looks different to the manager, the owner and the employee.

The recap repeats purpose, need and importance.

Why does every organisation need management? Four conditions explain it. First, resources are limited, so someone must decide how to use them. Second, people have different wishes, so someone must bring their efforts toward common goals. Third, conditions change, because customers, prices and rules are not fixed, so someone must watch and adjust. Fourth, many tasks depend on one another, so someone must see that they fit together. Without management, each of these four problems remains unsolved.

Importance means how much something matters. Management matters to four groups. For the owner, good management protects the money invested and helps the organisation succeed. For employees, it gives clear tasks, fair treatment and steadier work. For customers, it means goods and service of the promised quality, delivered when promised. For society, successful organisations provide jobs and useful goods. Poor management reverses each of these benefits.

Each person in the bookshop sees the benefit in a different place. The owner sees it in the year's sales and in the care of the stock. The manager sees it in a working day that runs without delay. The employee sees it in knowing, each morning, which task is his or hers. The customer sees it in the book found quickly. All four are looking at the same management from four positions. When one of these views turns bad, the others usually follow, because the work is joined together.

Before moving on. The purpose of management is to reach goals by using resources well. Organisations need it because resources are limited, people differ, conditions change and tasks depend on one another. It matters to owners, employees, customers and society. *You should now be able to say* why an organisation without management would waste its resources.

* * *

Together, the four kinds of work form the **management process**. The management process is the continuing cycle of planning, organising, leading and controlling that managers repeat. The word *cycle* matters: when the last kind of work ends, the first begins again. In a printing works, a process is a fixed method for one product. Here, it means this one repeating cycle of managerial work.

The four kinds of work form one repeating cycle called the management process.

Process. Word in use. In daily life, a method of making something, such as a printing process. In management, a repeating cycle of kinds of work.

Management process. The continuing cycle of planning, organising, leading and controlling that managers repeat.

Each of the four kinds of work has its own name, and we call each one a **function of management**. A function of management is one of the four main kinds of work managers do: planning, organising, leading or controlling. Here, *function* means a main kind of work. It does not mean a social event, and it does not mean the rule linking two numbers in algebra.

Each of the four kinds of work is called a function of management.

Function of management. One of the four main kinds of work managers do: planning, organising, leading or controlling.

PLANNING

Planning means choosing goals and deciding in advance how to reach them. It comes first because it gives direction to every other kind of work. The family chooses the day and the route before anyone packs a bag. A plan can be wrong, but without any plan nobody can say what the other work is for.¹

Planning means choosing goals and deciding in advance how to reach them.

Case file, illustrative. Meghna and Sons sold Tk 14,400,000 in 2025. The sales target for 2026 is Tk 15,840,000, which is 10% above that figure. Fixing this number is an act of planning, because it states the result the shop intends to reach.

The shop's 2026 sales target is an act of planning.

ORGANISING

Organising means arranging tasks, people and resources so that the plan can be followed. It answers one question: who does what, using which resources? A plan without this arrangement stays a wish. The family decides who buys the tickets and who packs the sweets, and that decision is organising.²

Organising means arranging tasks, people and resources so that the plan can be followed.

Case file, illustrative. In 2025 Meghna and Sons employed 7 people: Rafiq Meghna as store manager, Tariq Meghna for accounts and online orders, 3 sales assistants, 1 cashier and 1 stock clerk. Dividing the shop's work among these seven people is organising.

The shop's seven jobs are an act of organising.

LEADING

Leading means guiding, encouraging and influencing employees so that they work willingly toward the goals. Plans and arrangements do not carry themselves; people carry them, and people differ in energy, skill and mood. When the bus is late, the family needs

Leading means guiding and encouraging employees so that they work willingly toward the goals.

¹ Planning is taught in full in Chapter 7, "Planning: Meaning, Nature and Steps", section 7.1 "What Planning Is".

² Organising is taught in Chapter 12, "Organizing and Types of Organization", section 12.1 "What Organizing Is".

³ Leading is taught in Chapter 17, "Leadership", section 17.1 "Leader and Manager". A closely linked idea, motivation, is taught in Chapter 16, "Motivation", section 16.1 "What Motivation Is".

error. Use the same period for both figures. Use the same units when comparing two years.

Case file, illustrative. In 2025 Meghna and Sons sold 41,000 copies with 7 staff, which is 5,857 copies per employee. The forecast for 2026 is 45,100 copies with 7 staff, which is 6,443 copies per employee (rounded). The full arithmetic appears in the worked example later in this chapter.

RAISING PRODUCTIVITY

Productivity can be raised in three ways. Output can grow while input stays the same, as in the shop's forecast, where copies rise and the staff remain 7. Input can fall while output stays the same. Or output can grow faster than input. A manager chooses among these ways, and each has costs. Reducing input may harm service, and growing output may need longer hours, which are themselves more input.

Productivity has limits. It counts quantity and says nothing about quality: a shop could sell more copies by selling worn copies. It does not say whether the output is the right output. And a higher total is not the same as higher productivity. If the stall with 54 melons had hired many more sellers, its total would grow while its output for each seller fell. These limits explain why productivity is only one of three measures in this chapter.

PAUSE AND CHECK 3.P1 A shop sells 600 books in one week with 3 employees, and 800 books in the next week with 5 employees. Did productivity rise or fall?

Before moving on. Productivity is output divided by input, measured in one period with fixed units. It rises when output grows faster than input. It measures quantity and not quality. *You should now be able to say* why a larger total does not always mean higher productivity.

* * *

3.3 EFFECTIVENESS AND EFFICIENCY

Return to the two cooks. The first reached the goal at a high cost. The second used resources carefully but missed the goal. Productivity alone cannot describe this difference. Two further words can, and they are easily confused, so we take them one at a time.

Effectiveness is how far an organisation reaches its goals, whatever the cost. The first cook was effective: all 200 guests were served. The question of effectiveness ignores cost completely. It asks only how close the result came to the goal.

Efficiency is how little input an organisation uses to reach a given result. For the same result, less input means higher efficiency. The first cook, who wasted rice and paid for overtime, was not efficient. Efficiency is about the cost of reaching a result, and it says nothing about whether the right result was chosen.

Case file, illustrative. Effectiveness check: the 2026 sales target is

The shop's productivity is forecast to rise from 5,857 to 6,443 copies per employee.

Productivity rises when output grows, input falls, or output grows faster than input.

Productivity shows quantity only, and a bigger total can hide a lower ratio.

Productivity is output divided by input, and a larger total does not always mean a higher ratio.

Productivity cannot separate the two cooks; two further words can.

Effectiveness asks whether the goal was reached.

Effectiveness. How far an organisation reaches its goals, whatever the cost.

Efficiency asks how little input was used to reach a given result.

Efficiency. How little input an organisation uses to reach a given result.

The shop's target tests

The conclusion states the sorting in plain sentences.

The check tests the arithmetic and guards against a false conclusion.

The summary restates the chapter in five sentences.

Four situations test the chapter, from familiar to combined.

Mistake one: believing that the environment is only what lies outside

Conclusion. Three of the four recorded changes are external or result from external forces, and one is internal. The shop met the price cuts by adapting. The record does not show scanning as a regular habit, so the next question for the managers is how they will learn of the next change early.

Check. We test the numbers. The fall in textbook sales is Tk 5,100,000 minus Tk 4,300,000, which equals Tk 800,000. As a share of the 2024 figure, Tk 800,000 divided by Tk 5,100,000 equals about 0.157, or 15.7%. That is close to the 15% price cut, but it does not prove that the price cuts caused the fall, because other forces may also have acted. The curriculum change began in January 2026, after the 2025 fall, so it cannot explain that fall. A careful manager keeps these facts apart.

* * *

SUMMARY

The internal environment is what managers can change directly. The external environment is what they can only study, prepare for or influence. The boundary follows control, not distance. Outside forces fall into five groups: economic, social and cultural, political and legal, technological, and global. The groups of forces that deal directly with the organisation form the task environment. Managers meet the environment by scanning, by adapting and by influencing, and they combine these ways in a strategic response.

THINK IT THROUGH

Each question below changes the situation a little more than the one before. Answer them in order.

5.T1 A school near a bookshop moves its book list to a new publisher. Is this change internal or external for the shop? Name the group that fits best.

5.T2 Suppose the shop's own stock clerk, and not the school, proposed the new list. Does your sorting change? Explain using the boundary.

5.T3 A government raises the tax on imported books. Name the group, and say whether the change is inside or outside a bookshop's boundary. Give one response that is adapting and one that is influencing.

5.T4 A small clinic finds that 2 of its 5 nurses have left, a new clinic has opened across the road, and a new rule requires extra records. Sort the three changes. Then explain why watching them is part of planning in the management process.

WHERE PEOPLE GO WRONG

Some students believe that the environment means only what lies outside the organisation. This is incomplete. The internal environ-

3.4 SCIENCE, ART OR PROFESSION

Is management a science, an art or a profession? The question matters because each answer asks something different of managers. We take the three claims in turn. The second figure compares them.

A science is knowledge built by observation and repeated testing, whose rules give the same result each time. Management has scientific parts. A measured rule can be tested and repeated. But management cannot be a full science, because people differ, conditions change, and controlled experiments are seldom possible.

Case file, illustrative. Stock reordering at Meghna and Sons follows a measured rule: reorder when 30 days of cover remain. Any employee can apply this rule and reach the same result.

An art is personal skill in using knowledge, gained by practice and shown in judgement. No rule gives the answer in every case, and the manager must judge. Management needs this skill in every function.

Case file, illustrative. The shop-window design for the textbook season depends on Rafiq's judgement.

A **profession** is an occupation that requires long training, a body of knowledge and a code of conduct enforced by an association. Medicine is a clear example: in most countries a doctor must register with a medical council before treating patients. Management has a body of knowledge, but it fails the other tests in most countries. In the United Kingdom, the Chartered Management Institute awards a chartered title to managers who choose to seek it, but employers do not require it.

Case file, illustrative. No licence or governing body is required to manage Meghna and Sons.

Management can be called a science, an art or a profession, and each claim demands something different.

A science rests on tested knowledge, and management has only some of it.

Science. Word in use. In daily life, a school subject such as physics. Here, knowledge built by observation and repeated testing, whose rules give the same result each time.

The shop's reorder rule is the scientific part of its management.

An art is personal skill in using knowledge, and management needs it everywhere.

Art. Word in use. In daily life, painting, music or other creative work. Here, personal skill in using knowledge, gained by practice and shown in judgement.

The shop-window design is the artistic part of its management.

A profession has three tests, and management meets them only in part.

Profession. An occupation that requires long training, a body of knowledge and a code of conduct enforced by an association.

No licence or governing body is required to manage the shop.

What each claim demands		
Science	Art	Profession
Tested knowledge Rules that give the same result each time	Personal skill Gained by practice Judgement in each new situation	Long training Body of knowledge Code of conduct enforced by an association
What management shows		
Some measured rules	Judgement in every function	No licence required

Environmental scanning. Regularly collecting and studying information about outside changes that could affect the organisation.

Scanning is the regular watching of outside change, like the clerk and his weather vane.

Scanning cannot predict the future, but it reduces surprise.

Adapting means changing the organisation to fit an outside force.

Influencing means acting on the outside force itself, within the limits of law and honesty.

A strategic response is a chosen combination of watching, adapting and influencing.

The case file records how Meghna and Sons responded on 3 March 2026.

The price-match list is a case of adapting, because the shop changed its own prices.

The harbour clerk's morning habit has a name in management. **Environmental scanning** means regularly collecting and studying information about outside changes that could affect the organisation. A shop owner who reads rivals' online prices every week is performing it. So is a store manager who asks the sales assistants what customers requested and could not find. The word *regularly* matters. A single look is a glance; a habit of looking is scanning.

Scanning has limits. It cannot predict the future, because many outside changes have no warning. It also produces more information than anyone can use, so a manager must decide which signals matter. Its value lies in reducing surprise. An organisation that watches the outside world meets a change early, when many responses remain possible. An organisation that does not watch meets it late, when few remain. Scanning is also part of planning, one of the functions in the management process.

The second way is adapting: changing something inside the organisation so that it fits an outside force. A shop that sees buyers moving online may add an online order service. A shop that sees a new school curriculum may change the books it keeps on its shelves. Adapting works because the internal environment is the part that managers can change directly. Its weakness is that the organisation always follows the outside force and never leads it.

The third way is influencing: acting on the outside force itself, so that it changes in the organisation's favour. A group of shops may join a trade association and put its case to a public body. A shop may advertise to change what customers prefer. Influence has strict limits. A small organisation seldom has the power to change a law or a market. All influence must also stay within the law and within honest dealing, because an organisation that cheats to change its environment damages itself.

Managers rarely use one way alone. They choose a combination, and we call that choice a strategic response. A strategic response means the broad choice a manager makes about how the organisation will meet an outside force.⁴ The choice depends on two questions. How strong is the force? How much power does the organisation have to change it, or to change itself? A strong force and a weak organisation usually call for adapting. A weak force may call only for watching.

Case file, illustrative. Response of 3 March 2026: Meghna and Sons issued a price-match list covering 200 titles. Price-matching means selling a listed title at the price a rival charges for it. The record shows the earlier sequence: online price cuts of about 15% on textbooks since March 2025; textbook sales of Tk 4,300,000 in 2025 against Tk 5,100,000 in 2024.

The price-match list is a case of adapting. The shop did not try to change the rivals' prices, and it did not try to change the law. It changed something it controls directly, which is its own price list. It also limited the change to 200 titles, which is a choice about where the pressure was strongest. From the viewpoint of the owner, the ⁴ A strategy is a broad plan for reaching a goal. Plans are taught later in Chapter 7, 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'. Here, the phrase *strategic response* needs only the plain meaning given in the text.

In the second example, output is measured in taka, and the figures do not divide evenly.

WORKED EXAMPLE 2: SALES PER EMPLOYEE

PART	WORKING
Given	Sales 2025: Tk 14,400,000. Sales target 2026: Tk 15,840,000. Employees: 7 in each year.
Find	Sales per employee in each year.
Formula	Productivity = sales ÷ employees.
Steps	2025: $14,400,000 \div 7 = 2,057,142.86$, so Tk 2,057,143. 2026: $15,840,000 \div 7 = 2,262,857.14$, so Tk 2,262,857.
Answer	Sales per employee are planned to rise from Tk 2,057,143 to Tk 2,262,857.
Check	$2,057,143 \times 1.10 = 2,262,857$, which is the 10% rise in the target.

Four slips are common. The first is dividing input by output, which turns the ratio upside down. The second is mixing periods, such as monthly output with yearly input. The third is forgetting units: write copies per employee, not copies. The fourth is rounding in the middle of the working. Money also hides a trap. If prices rise 5%, sales per employee rise even when no more copies are sold.

WORKED CASE: EFFECTIVE, EFFICIENT OR BOTH?

This case applies an idea to a situation. The table gives the five parts in order.

WORKED CASE: TWO FACTS, TWO MEASURES

PART	WORKING
Situation	Meghna and Sons set a 2026 sales target of Tk 15,840,000. Before 2 March 2026, staff spent 3 hours a day searching for stock. After the shelves were relabelled on 2 March 2026, they spent 1 hour.
Question	Which fact tests effectiveness, and which tests efficiency?
Reasoning	The target is a goal, so comparing actual sales with Tk 15,840,000 tests effectiveness. Search time is input. The result, finding the stock, is unchanged, so less input for the same result shows efficiency. The saving is $3 - 1 = 2$ hours a day, which is about 67% of the former search time.
Conclusion	The relabelling raised efficiency. Effectiveness cannot be judged until the sales for 2026 are known.
Check	If sales miss the target while search time stays at 1 hour, the shop is efficient but not effective. The two judgements are separate.

CHANGING THE SITUATION

Rung 1, a familiar case. The shop as described: a clear target, a shorter search for stock, and 7 employees.

Rung 2, the same case reshaped. Suppose the shop sells 45,100 copies, but only after hiring 2 more employees. The goal is reached, so the shop is effective. Productivity is $45,100 \div 9 = 5,011$ copies per employee, which is below the 5,857 of 2025.

The second example is messier, because output is measured in taka.

Four common slips: an upside-down ratio, mixed periods, missing units and early rounding.

The case table applies the two words to the shop's own facts.

Rung 1 is the familiar case: the shop as it stands.

Rung 2 reshapes the case: the target is met, but with more employees.

nearer a force stands to the centre, the more directly it deals with the organisation.



FIG. 5.1. External environment layers around the organisation

The first group is the economic environment: the state of money, prices, incomes and trade around the organisation. When families have less to spend, they buy fewer books. When rivals lower their prices, customers compare. Bank interest rates, the cost of paper and the general level of employment all belong here. A manager watches the economic environment to learn what customers can afford and what the organisation must pay.

The second group is the social and cultural environment: the customs, beliefs, tastes and education of the people the organisation serves. A society that values schooling buys many school books. A society in which more people read on screens buys fewer printed ones. These forces change slowly, and they differ from one community to another, so a manager must study the people actually served and not assume that all customers think alike.

The third group is the political and legal environment: the rules and actions of governments, courts and public bodies. Taxes, shop licences, rules on imported goods and decisions about what schools teach all belong here. These rules differ from country to country, so this book names the country whenever it names a rule.³ A decision by an education authority, for example, can change which books every school in a country must buy.

The fourth group is the technological environment: the methods and machines available to the organisation and its rivals. The steamship changed the harbour. The internet changed the bookshop. The same technology can bring a threat and an opportunity together. A website lets a distant rival reach the shop's customers, and it also lets the shop itself reach customers who never enter the door.

The fifth group is the global environment: forces that come from beyond the borders of the country. A shop that buys foreign books

³ A tax on imported books may exist in one country and not in another. A manager must always check the rules of the country where the organisation operates.

The economic environment is the state of money, prices, incomes and trade.

The social and cultural environment is the tastes, beliefs and habits of the people served.

The political and legal environment is the rules and actions of public bodies.

The technological environment is the methods and machines available to the organisation and its rivals.

The global environment is the part of the outside world beyond the country's borders.

complete system of production over the following decades, aimed at removing waste.

The system is called the Toyota Production System. It was developed between the 1940s and the 1970s, and its aim was the same result with less input, which is the meaning of efficiency in this chapter. Ohno became an executive vice president of Toyota in 1975 and retired in 1978. His book on the system first appeared in Japan in 1978, and an English edition followed in 1988. Observers noted that Toyota did well in the oil crisis of the 1970s, when many rivals suffered.

Ohno's system was a landmark in efficiency: the same result from less input.

REVIEW QUESTIONS

- 3.1 Name the four functions of management in order, and give one example of each from a bookshop.
- 3.2 A bakery made 1,800 loaves in a week with 4 bakers. After buying a new oven it made 2,100 loaves with the same 4 bakers. Find the productivity before and after, in loaves per baker, and the percentage change.
- 3.3 Explain why a rise in total output does not always mean a rise in productivity. Give a small numerical example.
- 3.4 Define effectiveness and efficiency, and describe one situation that is efficient but not effective.
- 3.5 State the three parts of the definition of a profession, and say which part is missing when a person manages a small shop.
- 3.6 In two sentences, explain why a principle of management is not like a law of physics.

Two earlier ideas support this chapter.

A clerk checks the wind before he opens his books.

The office controls its books, but not the forces that decide its fortune.

Environment. Word in use. In daily life, the natural world of air, land and water. In management, everything inside and around an organisation that affects how it works.

The question of the chapter: what else must managers examine?

The shop door divides what an owner can change from what an owner cannot.

Internal environment. Conditions inside an organisation, such as its people, structure and culture, which managers can change directly.

The internal environment is everything inside the door

You will need two ideas from earlier chapters. The first is the management process, taught in Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.¹ The second is the organisation, taught in Chapter 1, 'What Management Is', section 1.1 'The Idea of Management'.² Read those sections again if either idea feels uncertain.

Picture a busy harbour in the middle of the nineteenth century. At the head of the quay stands a shipping office, and on its roof a weather vane turns. Each morning a clerk climbs to the window and studies the vane before he opens the ledgers. The ledgers tell him what the office owns and owes. The vane tells him something the ledgers cannot: whether the ships will arrive on time.

The clerk's habit hides a puzzle. The office has careful books, a sound building and skilled workers. Yet its fortune depends on matters it does not control. The wind decides when the cargo arrives. Officers at the customs shed decide how long goods wait and what tax they pay. Merchants decide whether to send their goods through this harbour or another. Over some decades, iron steamships began to replace sailing ships. A firm that had mastered sail could lose its trade without making one error in its own books.

Here is the question for this chapter. If an organisation can be managed perfectly inside its own walls and still fail, what else must its managers examine? The answer is the world around the organisation, which managers call its environment. We will name its parts, learn to sort its forces, and see how managers watch it and respond to it. Later we will meet a real company, Nokia, whose managers faced this problem on a very large scale. We will also read the records of a small Dhaka bookshop, Meghna and Sons, which met the same problem on a small scale.

* * *

5.1 INSIDE AND OUTSIDE THE ORGANISATION

Think of the door of a shop. Inside, the owner can move the shelves, change who works at the counter and decide the opening hours. Outside, the owner cannot move the road, cannot change the weather and cannot order a customer to buy. This ordinary picture gives us the first distinction of the chapter. Some conditions a manager can change directly. Other conditions a manager cannot change directly, and must learn to meet in other ways.

The conditions inside the door form the **internal environment**. The internal environment means the people, the structure and the culture inside an organisation, which managers can change directly. Structure means the way work and authority are divided among people. Culture means the shared habits and beliefs of a group. In a bookshop, the internal environment includes the

¹ Recall: management process, Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

² Recall: organisation, Chapter 1, 'What Management Is', section 1.1 'The Idea of Management'.

IN HISTORY

The Hawthorne Studies began with lighting and ended with group bonds.

Harvard researchers joined and studied small groups and interviews.

The Studies moved attention to attention, groups and feelings, though later writers dispute some claims.

Five questions that review the chapter.

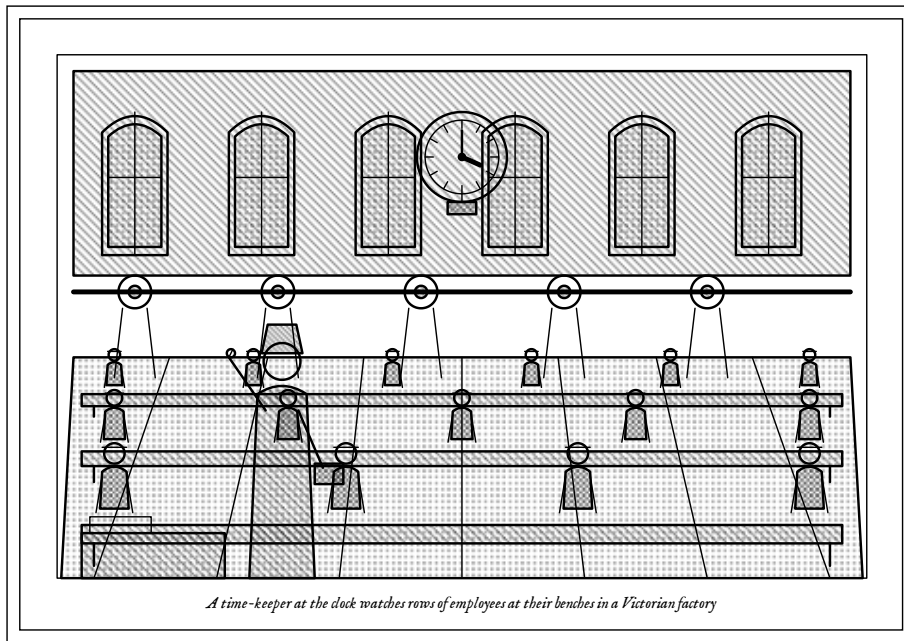
In 1924 the Western Electric Company, which made telephone equipment, began studies at its Hawthorne Works near Chicago. With the National Research Council, an American scientific body, it tested whether the quality and amount of light changed how much employees produced. These illumination studies ran until 1927, and their results were puzzling.

Researchers from Harvard University, among them Elton Mayo and Fritz Roethlisberger, then joined the work. They studied a small group of women assembling telephone relays in a test room while conditions changed. An interview programme later asked employees about their feelings about work, and another study observed the habits of a group of men wiring equipment. The studies lasted until about 1932.

The researchers concluded that attention from managers and the bonds within a group affected output. This conclusion helped to create the human relations school. Later scholars have questioned how far the original data supports the claim now called the Hawthorne effect, and many experts doubt it. The studies remain important because they turned attention toward the social side of work.

REVIEW QUESTIONS

- 4.1 Match each name to its idea: Taylor, Fayol, Weber, Mayo. The ideas are: written rules and levels of authority; one best method found by timing; fourteen principles for the whole organisation; group bonds affect output.
- 4.2 State Taylor's four principles in your own words.
- 4.3 Define the contingency approach, and give one example from a shop.
- 4.4 Name the three groups of Fayol's principles, and give one principle from each group.
- 4.5 Give one strength and one limit of the management science approach.



CHAPTER IV

The Evolution of Management Thought

Can the work of a shop be studied like a science?



This chapter follows the ideas of management from the early factories to the modern organisation. You will meet Taylor, Fayol, Weber and Mayo, learn what each believed, and see how their ideas still shape a shop floor, an office and a busy kitchen.

4.1 EARLY MANAGEMENT AND SCIENTIFIC MANAGEMENT

Why did management ideas appear when they did? Because factories created new problems. From about 1760 in Britain, machines and factory buildings brought many employees together (older books call them workers), and an owner could no longer watch every task. Three early thinkers deserve one line each. Adam Smith, a Scottish thinker, wrote in 1776 that dividing a job into small steps raised output, and he used a pin factory as his example. Robert Owen, a Welsh-born manager of cotton mills at New Lanark in Scotland from 1800, argued that good conditions for employees helped the business. Charles Babbage, an English mathematician, wrote in 1832 that the steps of a task should be studied and measured.

Each early thinker offered one useful idea, but none joined the ideas into a complete method. That step came from Frederick Winslow Taylor (1856 to 1915), an American engineer who worked in steel works in Pennsylvania and published *The Principles of Scientific Management* in 1911. Taylor noticed that employees often worked more slowly than they could. Each person followed a personal rule of thumb, which means a method learned by habit and not tested by measurement. Some employees also feared that faster work would reduce the number of jobs. Taylor asked a plain question: what is the best way to do this task, and how long should it take?

His answer was **scientific management**. Scientific management means studying work by measurement, to find the one best method and to train employees in it. For example, a foreman who once chose how to load a wagon by habit would, under this idea, test several ways and measure which was fastest. The word "scientific" matters: Taylor wanted facts from measurement to replace opinion and habit.¹

The main tool of scientific management is the **time and motion study**. A time and motion study means timing each movement of a task, to remove wasted effort and to set a fair standard. Taylor timed tasks with a stopwatch. Frank Gilbreth and his wife Lillian Gilbreth, American engineers working in the early 1900s, studied the movements of the hands and body and removed those that gave no benefit. Together the two ideas answer two questions: which movements are needed, and how long they should take.

Case file, illustrative. Method change 1 March 2026: unloading a carton of books was timed at 14 minutes before and 9 minutes after a fixed shelf-position list. The shop unloads 10 cartons a day, so the saving is $5 \times 10 = 50$ minutes a day.

Taylor summarised his ideas in four principles. First, replace rule-of-thumb methods with a science for each element of a job. Second, choose each employee with care, then train and develop that person, instead of leaving the employee to learn alone. Third,

¹ Whether management can claim to be a science is discussed in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.4 'Science, Art or Profession'.

Factories created problems that older ways of managing could not solve.

Taylor noticed that employees worked slower than they could, and asked why.

Scientific management means finding the one best method by measuring work.

Scientific management.

The study of work by measurement, aimed at finding the one best method and training workers in it.

Timing each movement removes wasted effort and sets a fair standard.

Time and motion study.

Timing each movement of a task to remove wasted effort and set a fair standard.

The shop timed the unloading of a carton before and after a fixed shelf list.

Taylor set out four principles that turn the idea into rules for managers.

The comparison shows what each approach does best and where it fails.

The table compares the approaches in this chapter. Read a row from left to right: it gives the school, its main idea, what it does well and where it fails. The timeline near the start of the chapter shows the order of these ideas in time.

COMPARING THE MAIN APPROACHES

APPROACH	MAIN IDEA	DOES WELL	LIMIT
Scientific management	One best method found by measuring	Raises output on repeated tasks	Treats employees as machine parts
Administrative principles	General principles for the whole organisation	Gives a shared language	Principles can conflict
Bureaucracy	Written rules and levels of authority	Fairness and steady work	Can be slow and rigid
Human relations school	Feelings and group bonds affect output	Values people	Can understate pay and method
Management science	Mathematics and data	Solves measurable problems	Cannot measure feelings
Contingency approach	Best way depends on the situation	Fits real conditions	Gives no single answer

Modern managers borrow from several approaches and choose by situation.

Section 4.4 in three lines.

No approach has replaced the others. In practice, managers borrow from several, and the contingency approach tells them to choose according to the situation. A busy shop may time its unloading, write a few clear rules, listen to its employees and count its sales, all in one week.

Before moving on. The management science approach uses mathematics and data. The systems approach looks at connected parts. The contingency approach holds that the best way depends on the situation, so managers borrow from many approaches.

* * *

WORKED CASE: TIMING THE UNLOADING OF CARTONS

This worked case applies the chapter to the shop's own record. It shows how to reason from facts, step by step. Many students find the school-naming step confusing, because the same record can fit more than one school. The steps below separate the arithmetic from the naming.

Situation. Meghna and Sons timed the unloading of one carton of books before and after a fixed shelf-position list. The time was 14 minutes before and 9 minutes after. The shop unloads 10 cartons a day. A list of 14 rules for the shop was also posted.

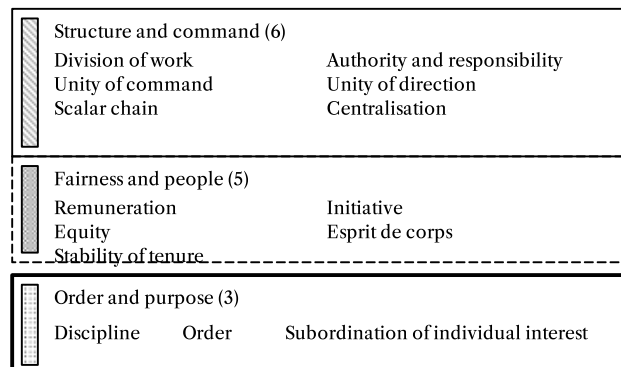
Question. Which school of thought does the method change belong to, and how many minutes does the shop save in a day?

Reasoning. First, find the saving for one carton: 14 minutes minus 9 minutes is 5 minutes. Second, find the saving for the day: 5

FAYOL'S FOURTEEN PRINCIPLES IN PLAIN WORDS

PRINCIPLE	WHAT IT ASKS
Division of work	Give each employee a smaller part of the whole job, so that skill grows with practice
Authority and responsibility	Match the right to give orders with the duty to answer for results
Discipline	Make clear agreements, and apply penalties fairly when they are broken
Unity of command	Each employee receives orders from one manager only
Unity of direction	One plan and one head for each group of activities with the same goal
Subordination of individual interest	The goal of the organisation comes before the interest of one person
Remuneration	Pay fairly, so that employee and organisation are both satisfied
Centralisation	Decide how much decision making stays at the top and how much is shared
Scalar chain	A line of authority runs from the top to the lowest level, with a clear path for messages
Order	A place for everything and everyone, and everything and everyone in its place
Equity	Treat employees with kindness and justice
Stability of tenure	Keep employees long enough to learn, and avoid needless turnover
Initiative	Let employees think out a plan and carry it through
Esprit de corps	Build team spirit and harmony among employees

Fourteen items are hard to remember in a list, so the diagram sorts them into three groups. Read it from top to bottom: each band is one group, the strip at its left edge has its own hatching, and the lines inside the band are the principles it holds.



Sorting the fourteen into three groups makes them easier to remember.

Six principles concern how work and authority are arranged.

Five principles concern fairness and the treatment of people.

Three principles protect order and the common goal.

The shop posted a written list of rules.

Written rules apply the principles of discipline and order.

Fayol's principles come from one man's experience, and some pull against each other.

Taylor began at the bench, Fayol at the top, and both believed management can be taught.

Section 4.2 in three lines.

The first group, structure and command, has six principles: division of work, authority and responsibility, unity of command, unity of direction, scalar chain and centralisation. These describe how an organisation is arranged and how orders travel. Take unity of command. If an employee receives opposite orders from two managers, the employee must disobey one of them, and confusion follows. The principle prevents this by giving each employee one manager.

The second group, fairness and people, has five principles: remuneration, equity, stability of tenure, initiative and *esprit de corps*, a French phrase that means team spirit. These ask managers to treat employees as people with needs. A fair wage, a kind manner and a steady job all encourage loyalty, and loyalty helps the organisation as much as it helps the employee.

The third group, order and purpose, holds discipline, order and the subordination of individual interest. These keep the organisation orderly and pointed toward one goal. For example, if one sales assistant prefers a private method of shelving but the shop needs one shared method, the goal of the shop comes first.

Case file, illustrative. Rule list posted: 14 rules for the shop.

A written rule list is one way for a shop to apply discipline and order, two of Fayol's principles. The shop's 14 rules and Fayol's fourteen principles share a number by chance only.

THE LIMITS OF FAYOL'S PRINCIPLES

Fayol's work is a landmark because it gave managers a shared language. It also has limits. He drew on his own experience in one industry, and he did not test the principles by measurement. Some principles pull against each other. Unity of command gives clear orders, but in an emergency an employee may need to act on the word of whichever manager is present. Division of work raises skill, but it can make work dull. Fayol knew this and advised judgement: the principles are guides, and a manager must decide how far to apply each one.

Compare the two thinkers. Taylor began at the bench and worked upward; Fayol began at the top and worked downward. Both believed that management could be studied and taught, and both believed in principles. Together they give the first complete picture of management as a subject of study: Taylor supplies the method for the task, and Fayol supplies the principles for the whole organisation.

PAUSE AND CHECK 4.P1 An employee in a shop is told by two managers to do two different jobs at the same hour. Which of Fayol's principles is being broken, and what should the shop do?

Before moving on. Fayol, a French mining engineer, wrote in 1916 that managing is a separate activity with principles that can be taught. He gave fourteen principles in three groups: structure and command, fairness and people, and order and purpose. They are guides and not laws, and some of them pull against each other.

* * *

small example of care for the natural environment, and section 6.3 returns to the idea.

The same duty looks different from each position. The owner asks what it costs now and what trust it earns later. The manager asks how to reach the goals for profit while treating employees, customers and suppliers fairly. An employee sees the duty in wages, safety and respect. A customer sees it in honest prices and honest goods. A neighbour sees it in noise, waste and the state of the street. Each of these people can judge whether the duty is being met.

Not everyone agrees that organisations should carry the duty. The disagreement is old, and each side has a serious case. Milton Friedman, an American economist, argued in 1970 that the only social responsibility of a business is to use its resources to increase its profit while keeping to the law.¹ Others answer that society gives organisations their permission to operate, and that society can withdraw the permission.

The table below sets out three questions in the debate. Read each row from left to right. The first cell names the question, the second gives the argument for the duty, and the third gives the argument against it.

ARGUMENTS FOR AND AGAINST SOCIAL RESPONSIBILITY

QUESTION	ARGUMENT FOR	ARGUMENT AGAINST
Whose money is spent?	Spending on society protects the good name of the organisation and so its profit over time.	The money belongs to the owners, who did not choose to spend it on society.
Who decides?	Managers know their own effects and are best placed to limit harm.	Managers are not elected, so they should not decide what society needs.
What if the organisation does nothing?	Society may reply with stricter laws and lost customers.	Governments and charities exist for social needs, and the organisation should pay its taxes.

Neither column wins in every case. The argument for stresses time: harm to society often returns to the organisation as lost trust or stricter rules. The argument against stresses ownership and skill: managers are trained to run an organisation, not to solve every social problem. Most modern writers hold that both points are true. For them the question is how much responsibility an organisation should accept, not whether it should accept any.

A model is a simplified picture of how something works. Keith Davis, an American management scholar, offered one that links power to duty.² We call it the Davis model. It has five steps, and each step rests on the one before it.

Step 1: an organisation holds social power. It employs people,

¹ Friedman published this argument in the *New York Times Magazine* in 1970. Many writers have replied to it since.

² Davis wrote on this subject from 1960 onwards. Later textbooks present his ideas as a short list of steps.

Each person affected sees the duty from a different place.

Thinkers disagree about whether an organisation should carry this duty at all.

The main arguments for and against appear side by side in a table.

Each side rests on a reasonable claim, and most modern writers accept both.

Davis built a model in five steps that links an organisation's power to its duty.

Steps 1 and 2: social power

YOU WILL NEED

Chapter 7, 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'; and Chapter 8, 'Kinds of Plans and Making Planning Work', section 8.1 'Kinds of Plan'. Chapter 7 explains what a plan is and why managers make plans. Chapter 8 describes the kinds of plan, such as standing plans and single-use plans. This chapter starts where those two end: every plan needs a place to reach.

Imagine two students at the start of a school year. The first says, "I want to do well this year." The second says, "I will score at least 70 out of 100 in every subject in the final tests, and I will study for two hours on each weekday evening." One year passes. Can the first student say whether she kept her promise? She cannot. The word "well" has no edge, so any result can be called well or badly, depending on her mood. The second student can answer in one minute, by reading her results and her study record.

Now put a shop in place of the student. The owner says, "We must improve the business." The stock clerk hears this and decides to tidy the storeroom. The cashier decides to serve customers faster. The store manager decides to buy more stock. Each person works hard, and each person chooses a different road. A year later, nobody can say whether the business improved, because nobody said what improvement would look like.

In Chapter 7 you studied the plan, which is a chosen way to reach a result. A plan is a road. A road helps only when someone has named the town at its end. Picture a traveller at a crossroads with four roads and a signpost whose arms carry no names. The traveller has energy and a good map, and still cannot choose. An organisation can be in the same position: busy every day, yet unable to say what the work is for.

The question for this chapter is therefore: how does a wish become a result that a whole organisation can steer by and check? The destination has a formal name, *objective*, which section 9.1 defines. Section 9.1 also shows which parts of an organisation's work deserve an objective. Section 9.2 shows how to write one so that anyone can tell afterwards whether it was reached. Section 9.3 describes a system, called management by objectives, in which managers and employees agree objectives together. Along the way we follow a bookshop in Dhaka through the objectives it agreed for 2026. Many students find the word *objective* confusing, because it also has an everyday meaning. We deal with that at once, so that it does not trouble you later.

* * *

9.1 OBJECTIVES

Return to the traveller at the crossroads. Suppose each arm of the signpost now carries a name and a distance: "Market town, 12 kilometres." The traveller can choose a road, can measure progress

Two students make two promises, and only one of the promises can be checked.

A shop has the same problem as the first student: a wish with no edge cannot be steered towards or checked.

A plan is a road, and a road is useful only after someone names the place it leads to.

This chapter answers one question in three steps and then shows the system that joins them.

A traveller needs a named destination before any road makes sense.

Business ethics means the moral rules that decide what is right and wrong in business conduct. A moral rule is a belief about how people ought to treat one another, such as "do not deceive" or "keep your promises". A shop that gives a customer the correct change, even when nobody would notice a mistake, is following such a rule. Chapter 1 explained that a manager answers for results. Ethics adds that a manager also answers for the way the results were reached.

People form their beliefs about right and wrong in many places: in the family, in religion, in the culture around them, in a profession and in the workplace itself. Because these sources differ, ethical beliefs also differ among people and among countries. The same is true of law. A manager who works across borders must therefore name the place whose rule applies before judging an act.

The table below sorts three acts by what the law and ethics say. Read across each row: the act comes first, then the law, then the ethical view. The text after the table explains a fourth case that the table leaves out.

THREE ACTS JUDGED BY LAW AND BY ETHICS

ACT	LAW	ETHICS
Paying employees the wages that were promised	Required	Right
Praising a book's good points while saying nothing of its badly faded print	Often allowed	Doubtful, because it misleads the buyer
Selling a stolen book	Forbidden	Wrong

The first and third rows show law and ethics agreeing. The second row shows them parting: the act may be lawful, but many people would still judge it wrong. A fourth case runs the other way. An organisation may give its employees paid leave to attend a funeral when no law requires it. The act is ethical without being required. For this reason a careful manager asks "Is it right?" after asking "Is it lawful?", and never in place of it.

Some choices have no painless answer. An **ethical dilemma** means a choice in which every option has a cost to some person's rights or interests. Suppose a shop owner can survive a bad year only by dismissing one of two employees or by cutting the pay of both. Each option harms someone. The owner cannot avoid harm, and can only choose which harm to accept and how to reduce it.

A dilemma is not the same as a temptation. In a temptation, one option is plainly wrong, and the difficulty is the wish to take it. A shop owner who is tempted to sell stolen books for a high profit does not face a dilemma. The right answer is known, and only the

Recall: Chapter 1, 'What Management Is', section 1.4 'A Manager's Responsibility' — responsibility.

Business ethics is the set of moral rules that judge conduct at work.

Business ethics. The moral rules that decide what is right and wrong in business conduct.

Ethics. Word in use. In daily life, a person's private sense of right and wrong. In management, shared rules of conduct that guide choices at work and can be written down.

Ethical beliefs come from many sources and differ among places.

A table sorts three acts by what the law and ethics say about them.

Law and ethics overlap but are not the same thing.

Some choices have no painless answer.

Ethical dilemma. A choice in which every option has a cost to some person's rights or interests.

A dilemma differs from a temptation, where one option is plainly wrong.

A writer on business, John Elkington of Britain, gave this wider judgement a name in 1994. The **triple bottom line** means a way of judging an organisation by its profit, its effect on people and its effect on the natural environment. The phrase "bottom line" comes from accounts, where the last line shows the profit. Elkington added two more last lines, so that an organisation reports on people and on the natural environment as it reports on profit.

Case file, illustrative. Record for 2025, Meghna and Sons: profit Tk 750,000; 7 employees (store manager, accounts and online orders, 3 sales assistants, 1 cashier, 1 stock clerk); 380 kg of unsold paper sent to recycling. Read as a triple bottom line, profit fills the first line, the 7 employees give a first fact for the second line, and the recycled paper gives a first fact for the third. The record holds no measure of pay, safety or respect, so it cannot complete the judgement.

How can a customer or a student tell whether an organisation is responsible? The best answer is to look for evidence instead of claims. A responsible organisation reports what it does, including its failures. It pays its employees what it promised and keeps their workplace safe. It lets independent people check its suppliers. It keeps to the law and to its own code of ethics, and it admits its mistakes and repairs them.

This test has limits. A handsome report can hide poor conduct, and an organisation can say that it is green while doing little. The useful question is always "Who checked this claim?" Standards also differ by place. Rules on waste, wages and building safety vary from one country to another, so we judge an organisation against the rules of the place where it works and against the higher rules that it sets for itself.

Before moving on. Sustainability is running an organisation so that it meets today's needs without harming later generations' ability to meet theirs. The triple bottom line judges an organisation by profit, by its effect on people and by its effect on the natural environment. We recognise a responsible organisation by evidence that an independent person has checked.

* * *

WORKED CASE: THE PHOTOCOPIED TEXTBOOKS

We now apply the ideas of this chapter to one decision in the case file. The worked case has five parts: Situation, Question, Reasoning, Conclusion and Check. It shows how the ideas combine. It is an application and not a model answer.

Case file, illustrative. Ethical choice, 18 June 2026, Meghna and Sons. A supplier offered 500 photocopied copies of a textbook at Tk 180 each against Tk 260 for genuine copies, a saving of $500 \times 80 = \text{Tk } 40,000$. The shop declined.

Question. Should the shop have accepted the offer? To answer,

⁴ Copyright law differs from country to country. A student should read the copyright law of the country concerned before judging a real case.

The triple bottom line judges an organisation by three results instead of one.

Triple bottom line. A way of judging an organisation by its profit, its effect on people and its effect on the natural environment.

A single year's record fills the three lines only in part.

A responsible organisation shows evidence and not only claims.

Fine reports can hide poor conduct, so the question to ask is who checked.

The recap of section 6.3.

The worked case applies the chapter's ideas in five parts to one decision.

The situation: a supplier offers cheaper photocopied copies, and the shop declines.

The question is whether the

The check multiplies back to the starting figure.

Check. If 5.7% of Tk 15,840,000 is calculated, $15,840,000 \times 5.7 \div 100$ is about Tk 902,880, which is close to Tk 900,000. The small difference arises because 5.7% is a rounded figure, so the answer is sensible.

* * *

SUMMARY

Plans are sorted by repeat use into standing plans and single-use plans. Standing plans include policy, procedure and rule, and single-use plans include programmes and projects. A budget states income and spending in money terms. Plans are also sorted by time into long-range and short-range, and by level into strategic and operational. Planning works when the top supports it, objectives are exact, people know the plan, and the plan can change.

THINK IT THROUGH

The questions begin with the shop and move to new settings.

8.T1 The shop's returns policy allows exchange within 7 days with a receipt. A customer returns a book on day 8 with a receipt. Which part of the standing plan decides the case, and what could the manager do within the policy?

8.T2 Suppose the book fair had expected sales of Tk 600,000 and the same budget of Tk 240,000. By how much would the expected sales exceed the spending, and what would you advise?

8.T3 A school canteen serves lunch every day and also plans a once-a-year sports day. Give one standing plan and one single-use plan for the canteen.

8.T4 Explain when a standing plan should be changed. Give two signs that a policy has grown old.

WHERE PEOPLE GO WRONG

Some students use the three words as if they meant one thing. They differ in freedom: a policy guides and leaves judgement, a procedure fixes the steps, and a rule leaves no choice. Reading the sentence for how much choice it leaves usually shows which form it is.

Some students think that a plan used once matters less. A single-use plan, such as a landing on a coast, may be the most important plan an organisation ever makes. It is called single-use because it is used once, not because it is small.

Some students believe that once a standing plan is made, it stays. Conditions change, and the plan must be reviewed. A plan that is never reviewed becomes a habit that no longer fits the facts.

Some students read the expected sales in a budget as a promise. They are an estimate, based on premises. The actual figures may differ, and the manager must compare them with the budget as the

A policy, a procedure and a rule are not the same.

A single-use plan is not a weak or unimportant plan.

A standing plan does not last for ever.

A budget does not guarantee the sales it expects.

6.T2 Using only the facts given in this chapter, judge Meghna and Sons by the triple bottom line. State what each of the three lines shows, and name two facts that you would still need before you could finish the judgement.

WHERE PEOPLE GO WRONG

Mistake: "If an act is legal, it is ethical." Law sets the minimum that society enforces. Many lawful acts mislead or harm people, and a careful manager asks whether an act is right as well as whether it is lawful.

Mistake: "Social responsibility means giving money to charity." Gifts can be part of it, but the duty begins with the organisation's own conduct. An organisation that gives money while it pays unfairly or ignores safety has not met the duty.

Mistake: "Sustainability is only about protecting nature." Sustainability also covers people and money. An organisation that harms its employees or loses all its money cannot continue, and the triple bottom line counts all three.

Mistake: "Every difficult choice is an ethical dilemma." A dilemma is a choice in which every option has a cost to someone. When one option is plainly wrong and the difficulty is the wish to take it, the situation is a temptation.

Mistake: "Only large organisations need to think about this." Power grows with size, so a large organisation owes more. A small shop owes less, but its choices still reach employees, customers and neighbours, and the duty is never zero.

IN HISTORY

On 24 April 2013, the Rana Plaza building collapsed at Savar, near Dhaka, in Bangladesh. The building housed five garment factories that made clothing for brands sold in many countries. More than 1,100 people died, most of them garment employees, and more than 2,000 others were injured. The disaster was not the first in the industry. Earlier fires in garment factories had already killed many employees.

In May 2013, brands and retailers signed the Accord on Fire and Building Safety in Bangladesh together with international trade unions. The Accord was a legally binding agreement. It required independent inspections of supplier factories by qualified engineers, and it required the results to be made public. Reports on the events state that pressure from the media and from customers led more companies to sign after the collapse.

The events show this chapter's ideas at work. Buyers hold power over their suppliers, which Davis step 2 says creates a duty. Low prices can push costs of safety onto employees, which Davis step 4 says must be counted. The agreement made the dealing between buyers and suppliers more open, as Davis step 3 asks. Finally, the loss of life shows what a triple bottom line would record on the line for people.

Mistake one: believing that whatever is lawful must also be right.

Mistake two: believing that social responsibility means giving money away.

Mistake three: believing that sustainability concerns only nature.

Mistake four: believing that every hard choice is a dilemma.

Mistake five: believing that only large organisations carry the duty.

Rana Plaza in 2013 showed the human cost of ignoring safety and responsibility.

Pressure from the public led brands and unions to sign a binding agreement.

The events show the chapter's ideas at work in a real case.

Section 8.2 in three lines.

A plan that is well made can still fail if the organisation does not support it.

A plan needs the visible support of the owner or senior managers.

Without support, a plan competes with daily work and loses.

A plan is useful only if its objective is exact and shared.

Exact objectives let a manager check results against the plan.

Employees must know the plan, and the plan must be able to bend.

Flexibility keeps a plan useful when conditions change.

Before moving on. Long-range plans look several years ahead and short-range plans a year or less. Strategic plans set direction and operational plans organise daily work. The grid helps to sort plans, but its boundaries are not fixed.

* * *

8.3 MAKING PLANNING EFFECTIVE

Knowing the kinds of plan is the first half of the lesson. The second half is making them work. Chapter 7 showed that plans fail for many reasons. Four habits help a manager to prevent failure, and each one is explained here with a shop example.

SUPPORT FROM THE TOP

The first habit is support from the top. If the owner makes a plan but is seen to ignore it, employees will ignore it too. Support means that senior managers approve the plan, give it money and time, and follow it themselves. In a family shop, this means the owner follows the returns policy in the same way as an assistant must. If the owner makes an exception for a friend, the policy loses its force.

Consider the viewpoints. The owner supports a plan by following it. The store manager supports it by giving employees time to learn it. The employee supports it by using it and by reporting what does not work. When one of these three withdraws support, the plan weakens, because people watch what their leaders do and not only what they say.

CLEAR OBJECTIVES

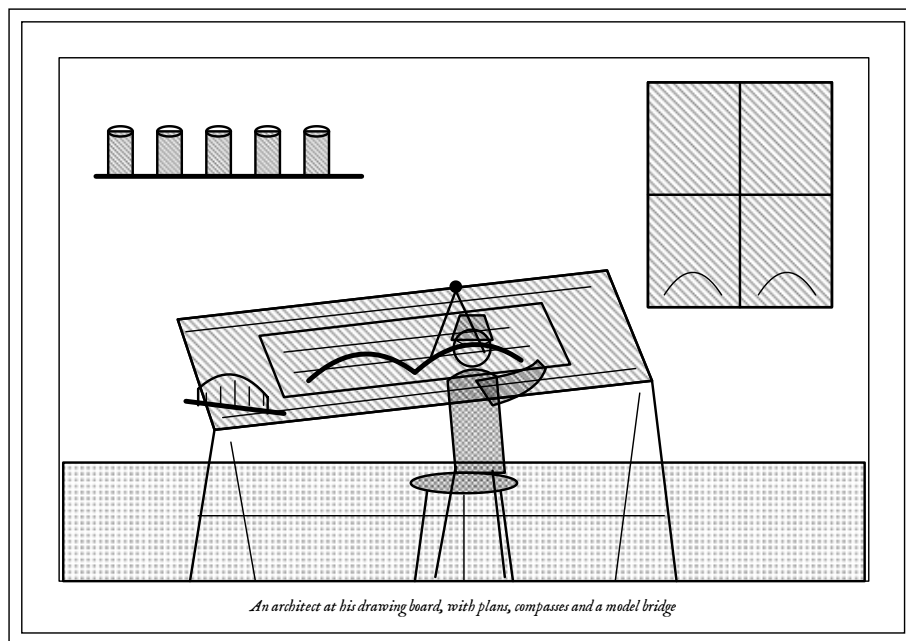
The second habit is clear objectives. An objective is the result that has been chosen as the target. If the objective is vague, such as "have a good book fair", then each person decides privately what good means, and the efforts pull in different directions. An exact objective states the result and the date: for example, to reach the expected sales of the fair by the end of its 28 days.

An exact objective also makes later checking possible. If the stall's expected sales are known in advance, the manager can compare the actual sales with them after the first week, and again after the fourth. Without an exact objective there is nothing to compare. The control of results is taught in Chapter 18.

COMMUNICATION AND FLEXIBILITY

The third habit joins two ideas that seem opposite. Communication means that everyone affected by the plan knows it: what it says, why it exists and who does what. A standing plan that is kept in the owner's head cannot guide the assistants. The manager should put it in writing, explain it, and answer questions.

Flexibility means that the plan can be changed when conditions change. A plan that cannot bend becomes a trap. Suppose the returns policy allows exchange within seven days, and a large school order arrives with a longer delay between delivery and use.



CHAPTER VII

Planning: Meaning, Nature and Steps

How does a wish turn into something you can actually do?



This chapter explains what planning is and why every organisation needs it. You will learn the five steps that turn a wish into a workable plan, and you will study the reasons why plans fail. The ideas are built slowly, from a household journey to the order book of a shop.

The shop's returns policy is a standing plan for a repeated situation.

The returns policy shows how one standing plan holds both a policy and a rule.

A programme is a set of linked single-use plans, and a project is one part of it.

Programme. Word in use. In daily life, a television or radio show, or a printed list of events. In planning, a set of linked plans, usually single-use, that together reach a larger objective.

The book fair stall is a single-use plan with a start date and an end date.

The fair is a project because it begins, ends and is not repeated.

A budget states expected income and spending in money terms for a period.

Budget. A plan that states expected income and spending in money terms for a period.

Budgets can be standing or single-use, depending on the period they cover.

The case file gives the book fair's budget and the yearly sales budget.

Comparing expected sales with budgeted spending shows whether the event is worth planning.

Section 8.1 in four lines.

Case file, illustrative. Plans 2026, standing: returns policy, an exchange within 7 days with a receipt.

Read the record carefully. "Exchange within 7 days" sets a limit, and so it is a policy. "With a receipt" is a condition that allows no choice, and so it behaves as a rule. The record does not list the steps, and a procedure for them could be added. The case shows that real plans often mix the three forms in one sentence, and the reader's task is to see each part.

PROGRAMMES AND PROJECTS

Single-use plans also come in two sizes. A programme is a larger set of linked plans that together reach a large objective, and a project is one defined piece of work within it. For example, a shop that plans a year of school visits may treat the whole year as a programme and each visit as a project. Each project has a start, an end and a person in charge.

Case file, illustrative. Plans 2026, single-use: a 28-day book fair stall in February 2026.

The book fair stall is a project, because it has a start, an end and a fixed length of 28 days, and it will not be repeated in the same form. It is a single-use plan. Notice how this differs from the returns policy, which has no end date and applies every day.

BUDGETS

One more kind of plan is used by almost every organisation. A **budget** is a plan that states expected income and spending in money terms for a period. For example, a family might write that it expects to receive a fixed income this month and plans to spend part of it on food. A budget turns the plans of the shop into figures, so that the manager can see whether the shop can afford them.

A budget may cover a short event or a whole year. The yearly budget is renewed every year, so it is repeated in form, although the figures change. A budget for one event is used once. This shows that the two main groups are guides and not walls: a plan may have features of both.

Case file, illustrative. Plans 2026, book fair budget: spending Tk 240,000 and expected sales Tk 900,000. Yearly budget: sales Tk 15,840,000.

Read the record. The book fair has two figures: Tk 240,000 of planned spending and Tk 900,000 of expected sales. The expected sales are larger than the spending, so the event seems worth planning, although the cost of the books themselves must still be counted. Notice that the budget does not guarantee the sales. It states what the manager expects and plans for.

Before moving on. A standing plan is used again; a single-use plan is used once. Policy, procedure and rule are standing plans, from the most free to the least free. A programme holds linked projects, and a budget states income and spending in money.

process.² Planning comes first because the other activities depend on it. An organisation cannot arrange its people, direct their work or check results until it knows what it wants to achieve.

Recap. A plan states what will be done, by whom and by when. Planning is the activity of deciding this in advance. You should now be able to say: "A plan names the action, the person and the time."

THE CASE OF THE TEXTBOOK SEASON

Let us test the idea on a real record. The shop's textbook season is the busiest time of the year. Nurul Meghna, the owner-manager, cannot wait until customers arrive, because the supplier needs time to deliver. The case file below records the first facts of the season.

Case file, illustrative. Planning for the textbook season: the season starts 2 January 2026. The order deadline is 12 December 2025. The expected demand is 1,800 textbook sets at an average of Tk 2,400 each, which is Tk 4,320,000.

Read the record slowly. The deadline of 12 December comes before the season start of 2 January, so the shop must decide first and sell later. The value of the order comes from one multiplication: 1,800 sets × Tk 2,400 = Tk 4,320,000. This sum is large for a family shop. A wrong plan would cost real money, and this is why the shop plans before it acts.

Recap. The shop orders on 12 December and sells from 2 January. Between those dates it must trust its plan. You should now be able to say: "Planning is needed because action and result are separated by time."

THE NATURE OF PLANNING

What features does planning have in every organisation, from a shop to a government? Five are worth learning, and the table sets them side by side. Read it row by row: the left column names a feature, and the right column says what it means.

THE NATURE OF PLANNING

FEATURE	WHAT IT MEANS
Planning looks forward	It concerns the future, and the future is not known
Planning is for a purpose	It aims at an objective, and without an objective there is nothing to plan
Planning chooses	It selects one course of action and leaves the others
Planning is needed at every level	The owner, the manager and the employee all make plans of different size
Planning is continuous	Plans are reviewed and renewed as conditions change

Take the second and third features. Planning is for a purpose, because a plan is a tool for reaching an objective. Planning chooses, because the family cannot take two roads at once. These features also explain a common confusion. Planning is not a guess about the

² The management process is set out in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

You should now be able to say what a plan contains.

Meghna and Sons must choose an order size long before the season opens.

GO SLOWLY HERE.

The case file gives the season date, the order deadline and the expected order.

Multiplying the expected sets by the average price gives the value of the order.

You should now be able to say why the shop must plan before the season.

Planning has five features that describe it wherever it is found.

GO SLOWLY HERE.

The five features show that planning is forward-looking, purposeful, choosing, shared and continuous.

YOU WILL NEED

This chapter builds on two earlier ideas. The first is what planning is and why it is done, in Chapter 7 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'. The second is the list of activities that every manager performs, in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

Picture the counter of a bookshop on a busy Saturday. A customer asks to return a book. Ten minutes later, another customer asks the same thing. By the end of the day, six customers have asked. Must the manager think the problem through six times, and perhaps give six different answers? That would waste time, and it would be unfair, because one customer might be helped and another refused for the same reason.

Now picture a different day. The shop is invited to run a stall at a book fair that lasts four weeks and will not be repeated. No earlier answer exists for this event, because it has never happened before. The manager must think it through once, with great care, and then the thinking will be finished. Is it sensible to treat the two days in the same way? Surely not.

The puzzle shows that plans are not all alike. Some are made once and used many times, so that the manager can save thought for harder problems. Others are made once for one occasion and then set aside. In Chapter 7 we learned how to make a plan by following five steps. This chapter asks a new question: what kinds of plan exist, and how can a manager make planning work in daily life? We begin with the main division.

* * *

8.1 KINDS OF PLAN

How can we sort the many plans that a shop makes? A useful first step is to ask whether the plan will be used again. If it will, it belongs to one group. If it will not, it belongs to the other. Almost every plan fits one group or the other, and the sorting question is easy to ask.¹

STANDING PLANS

The first group is the **standing plan**. A standing plan is a plan made once and used again and again for situations that repeat. For example, a shop that decides how to answer returned books once, and then applies the same answer to every customer, uses a standing plan. The word "standing" tells us that the plan remains in place, like a post that stays upright from day to day.

Standing plans give three benefits. They save time, because the manager does not decide the same question again. They give fair treatment, because every customer meets the same answer. They ¹ The meaning of a plan and the steps of planning are set out in Chapter 7 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'.

A shop must answer the same customer question many times and a rare question once.

A rare event, such as a book fair, needs its own careful thought.

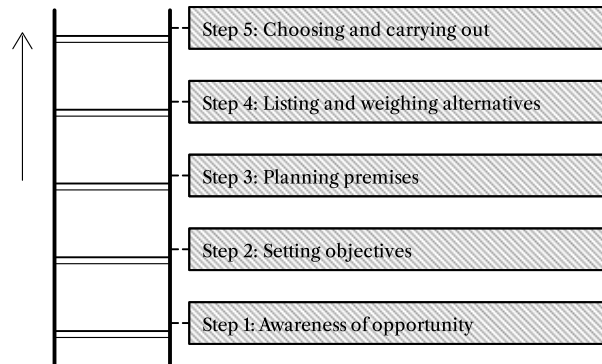
The answer is to use different kinds of plan for repeated and one-time situations.

Plans divide into those used repeatedly and those used once.

A standing plan is made once and used again for situations that repeat.

Standing plan. A plan made once and used again and again for situations that repeat.

Standing plans save thought, give fair treatment and let employees decide alone.



Start at the bottom rung and climb in order.

FIG. 7.1. *The five steps of planning as a ladder*

STEP ONE: AWARENESS OF OPPORTUNITY

Planning begins before any plan exists. It begins when a manager notices something: a chance to gain, or a problem to remove. We call this awareness of opportunity. The family in our opening puzzle noticed that a wedding invitation had arrived. The shop notices that the textbook season is approaching. Awareness asks the manager to look at the organisation, at its customers and at the world outside, and to ask what could be done better.

An everyday bridge helps. A person who sees that a bus fare has risen thinks of cycling to work. The rise in fare is the signal, and the thought of cycling is the opportunity. Notice that no decision is made at this stage. Awareness only identifies a possibility. It fails when a manager is too busy to look up from daily tasks, and then an opportunity passes unseen.

Recap. The first step is noticing a chance or problem. You should now be able to say: "Planning starts with seeing something worth acting on."

STEP TWO: SETTING OBJECTIVES

Once an opportunity is seen, the manager decides what result to aim for. This is setting objectives. The aim must be stated so exactly that everyone can tell whether it was reached. "Do well in the season" is a wish. "Order 1,800 textbook sets by 12 December" is an objective. Chapter 9 explains objectives in full; for now, remember that a plan cannot be built without one.

Think of the viewpoints. The owner wants a profitable season. The store manager wants every shelf ready on the first day. The customer wants the right book, in stock, at a fair price. A good objective brings these viewpoints together in one sentence that all can read. When the objective is vague, each person fills the gap with a personal guess, and the guesses disagree.

Recap. The second step states the result wanted, exactly and with a date. You should now be able to say: "An objective is stated so exactly that everyone can tell whether it was reached."

The first step is to notice a chance or a problem before others do.

GO SLOWLY HERE.

Awareness is a habit of looking, and it prepares the ground for the next step.

You should now be able to say what awareness of opportunity is.

The second step is to decide exactly what result is wanted, and by when.

A clear objective tells every person where the effort is going.

You should now be able to say why the second step comes second.

REVIEW QUESTIONS

Five questions that review the chapter.

- 7.1 Put the five steps of planning in order, and say in one sentence what happens at each.
- 7.2 Define a plan and a planning premise, and give one example of each from a shop.
- 7.3 What is the difference between a forecast and a planning premise?
- 7.4 Explain why the shop cannot wait until the shelves are empty before it decides on its order.
- 7.5 Name three reasons why plans fail, and say how a manager can reduce each one.

Weighing is not done in the dark. The manager tests each alternative against the premises. If the premise says that publishers raise prices by 5%, an alternative that delays the order may cost more, because later orders might be priced higher. An alternative that looks cheap today may look poor under the premises. This is why the premises are written before the alternatives are weighed.

Recap. An alternative is one possible course of action. The manager lists several and weighs each against the premises. You should now be able to say: "A good plan chooses from several alternatives, not from one."

STEP FIVE: CHOOSING AND CARRYING OUT

The last step has two parts. First the manager chooses the alternative that best reaches the objective under the premises. A choice means giving up the others, and this is difficult, because each alternative has some attraction. Second, the manager carries the plan out. This means turning the choice into tasks: who does what, with what resources, by what date. A choice that is never carried out is no better than no choice.

Many students find this step easy to skip, because it feels like action and not planning. In fact it belongs to planning, because the plan states who will do what and by when. If employees do not know the plan, they cannot follow it. The manager must communicate the plan and provide the money, time and tools to carry it out. Then the manager watches the results, and the control of those results is taught in Chapter 18.

After the plan is carried out, results appear. A good result confirms the premises; a poor result shows that a premise was wrong. Either way the manager sees something new, and this is the first step again: awareness. Planning therefore does not end. It circles back, which is why the fifth feature of planning, continuity, is true.

Before moving on. The five steps are awareness of opportunity, setting objectives, stating planning premises, listing and weighing alternatives, and choosing and carrying out. Each step needs the one before. Results lead back to awareness, so planning is a loop.

* * *

7.3 WHY PLANS FAIL

Suppose a family makes a careful plan and still arrives late. Does this mean that planning is useless? No. A plan that fails is a lesson. The causes of failure repeat across organisations, and a manager who knows them can avoid most. Three causes appear again and again, and a fourth cause is the limit of planning itself.

The first cause is a wrong premise. If the plan assumes that the road is open and the road is closed, the plan fails however well it was made. A shop that assumes steady prices and meets a large price rise will find its order cost higher than planned. This is why premises are written down and checked: a wrong premise is hard to find when it is hidden.

The second cause is a vague objective, or a plan that is not com-

Weighing alternatives uses the premises as the standard of comparison.

You should now be able to say what an alternative is.

The fifth step is to choose one alternative and put it into action.

Carrying out needs people to understand the plan and to be given the means to act.

Planning is a loop, because results lead to new awareness.

Section 7.2 in four lines.

Many plans fail, and the causes are known and can be avoided.

Wrong premises are the most common cause of failure.

A plan fails when the

Plans can also fail from rigidity, cost and the difficulty of knowing the future.

Section 7.3 in three lines.

This worked case tests the shop's plan against its premise.

The situation collects the facts from the shop's case file.

The question asks whether the budget still holds under the premise.

The reasoning finds the new price, the new order value and the arrival date.

The conclusion tells the manager what to prepare.

The check repeats the increase by a second route.

The chapter in a few lines.

Planning also has limits. The future cannot be known, so every forecast can be wrong. Planning takes time and money, and a very detailed plan may cost more than it saves. A plan that is followed too strictly stops a manager from using a new chance. The answer is not to stop planning but to plan in proportion: more detail where mistakes are costly, less detail where conditions change fast, and a regular review in every case.

Before moving on. Plans fail because of wrong premises, vague or unshared objectives, and lack of commitment. Planning has limits: the future is uncertain, it costs time and money, and it can become rigid. A manager reviews plans often.

* * *

WORKED CASE: CHECKING THE TEXTBOOK PLAN

This worked case follows the standard order for a descriptive chapter: Situation, Question, Reasoning, Conclusion and Check. It applies the five steps to the shop's record. It is a study of the idea and not a model answer.

Situation. The season starts on 2 January 2026. The order deadline is 12 December 2025. The shop expects to sell 1,800 textbook sets at an average of Tk 2,400, which is Tk 4,320,000. The premise is that publishers raise prices by 5%. The supplier lead time is 21 days.

Question. If the premise is right, how much will the order cost, and does the deadline still allow the books to arrive on time?

Reasoning. First, find the new average price. Five per cent of Tk 2,400 is $2,400 \times 5 \div 100 = \text{Tk } 120$, so the new price is $2,400 + 120 = \text{Tk } 2,520$. Second, find the new order value: $1,800 \times \text{Tk } 2,520 = \text{Tk } 4,536,000$. Third, find the increase: $\text{Tk } 4,536,000 - \text{Tk } 4,320,000 = \text{Tk } 216,000$. Fourth, check the date: 12 December plus 21 days is 2 January, so the books arrive on the day the season starts.

Conclusion. If the premise is right, the order costs Tk 4,536,000, which is Tk 216,000 more than the first estimate. The deadline allows the books to arrive on 2 January, with no spare days. A careful manager would raise the budget and consider ordering earlier.

Check. Five per cent of Tk 4,320,000 is $4,320,000 \times 5 \div 100 = \text{Tk } 216,000$. This equals the increase found in the third step, so the two routes agree.

* * *

SUMMARY

Planning is deciding in advance what to do, by whom and by when. A plan states these things to reach an objective. Planning looks forward, serves a purpose, chooses, happens at every level and never ends. It follows five steps: awareness of opportunity, setting objectives, stating planning premises, listing and weighing alternatives,

the 2025 result, an increase of 10%.² The profit objective is Tk 150,000 above the 2025 result, an increase of 20%.

Two exceptions deserve attention. First, not every result can be counted directly. The quality of advice from a sales assistant is hard to put in a number, so organisations often count something close to it, such as hours of training. The count is a substitute and should be treated with care. Second, a number can mislead. A manager who chases a sales target may reduce prices until profit disappears. This is why an organisation sets several objectives together, so that each one guards against the harm that another might cause.

Objectives also link levels. The owner's sales objective becomes an objective for the store manager, who divides it among customer groups and among employees. For illustration only, and not as part of the case file, suppose sales to walk-in customers, schools and online buyers each rise by 10% above their 2025 values of Tk 9,000,000, Tk 3,600,000 and Tk 1,800,000. The three new values are Tk 9,900,000, Tk 3,960,000 and Tk 1,980,000, and they add to Tk 15,840,000. Each person who owns one part can see how it supports the whole.

Before moving on. To set an objective, choose the key result area, state a result, attach a measure, fix a number and a date, test whether it can be reached, and agree it with the person responsible. The measure is the unit; the target is the number. Be careful with results that resist counting, and set several objectives together so that one does not damage another.

* * *

9.3 MANAGEMENT BY OBJECTIVES

Imagine two shops with identical objectives. In the first, the owner writes a number on a sheet for each employee and hands the sheet over. In the second, the owner meets each employee, discusses the number, changes it where the employee shows a good reason, and both people agree it. Which shop will reach its objectives with more commitment? Most people answer the second, and that answer is the seed of this section.

In 1954 Peter Drucker, a writer on management born in Vienna and working in the United States, published *The Practice of Management*. In it he described a way of managing in which objectives are agreed between the manager and each employee, and in which each employee then judges his or her own progress. Drucker used the phrase "management by objectives and self-control".³ Later writers shortened it to MBO. Section 'In History' near the end of this chapter tells more of his story.

Management by objectives means a system in which managers and employees agree objectives together then judge performance. A percentage means a part in every 100. An increase of 10% on Tk 14,400,000 is $14,400,000 \times 10 \div 100 = \text{Tk } 1,440,000$, and $\text{Tk } 14,400,000 + \text{Tk } 1,440,000 = \text{Tk } 15,840,000$.

³ Self-control here means that employees check their own results against the agreed objectives, and do not wait for a manager to tell them how they are doing. It does not mean control by the self in the sense of controlling one's temper.

A measurable aim has limits: some results resist counting, and a number can mislead.

Objectives link level to level, from the owner to the manager to each employee.

Before moving on: a good objective names a result, a measure, a number and a date, and the person responsible agrees it.

Two shops can hold the same objectives on paper and still behave very differently.

Peter Drucker gave the idea its name in 1954, in a book about the practice of management.

Management by objectives is a system: agree objectives

example, a small bookshop, so that you can see how one step leads to the next. Many students find this process confusing at first because the steps seem to blend together. They become clear when each step is asked a single question.

Step one: identify the tasks. The question of this step is *what work must be done?* The manager lists every task that the shop must perform to reach its goals, from the largest to the smallest. The list should come from the plan and not from the names of the people who are available, because a list built around people will hide the tasks that nobody has yet considered. At this step the manager does not ask who will do each task. Only the work is listed.

Case file, illustrative. Duties recorded at Meghna and Sons for 2026, ten in number: buying, receiving, shelving, selling, cashier, accounts, online orders, returns, school accounts and marketing. The ten duties are assigned to 7 people.

The record gives a useful fact: there are ten duties and seven people. Ten divided among seven cannot give one duty to each person, so at least some people hold more than one duty. This is normal in a small organisation. It also shows why the next two steps matter, because the manager must decide which duties belong together in one person's hands.

Step two: group the tasks. The question of this step is *which tasks belong together?* Tasks belong together when they need the same skill, use the same place, or depend closely on one another. Receiving books, shelving books and handling returns all involve the stockroom and the physical books, so a manager may place them in one group. Selling and the cashier's work both happen at the counter, so they may form another group. A group of tasks is the first step from a list to a pattern.

Another manager might group the same ten duties in a different way. Online orders and school accounts both deal with customers who never walk into the shop, and a manager could place them together. The best grouping depends on the people available and the work to be done. This is a place where judgement is needed, and the guide is the purpose of organizing: whichever grouping makes tasks owned, linked and free of waste serves the shop best.

Step three: assign the duties. The question of this step is *who will do each group of tasks?* The manager now turns to people. A duty is a task that a named person is expected to perform. The manager matches each group to the person with the skill and the time to perform it. In the base record of the shop, for example, Tariq Meghna already handles accounts and online orders. That assignment shows how a manager keeps related tasks together in one person's hands.

Assigning a duty is not complete until the person has what is needed to perform it. A cashier who must handle returns needs a rule that says how much money may be refunded without asking anyone. The right to take such decisions is called authority, which was taught earlier as the right to command or to decide. A duty without authority leaves the person unable to act, and authority without a duty leaves the organisation without an owner for the task.

Step one asks: what work must be done?

The case file records the ten duties of Meghna and Sons in 2026.

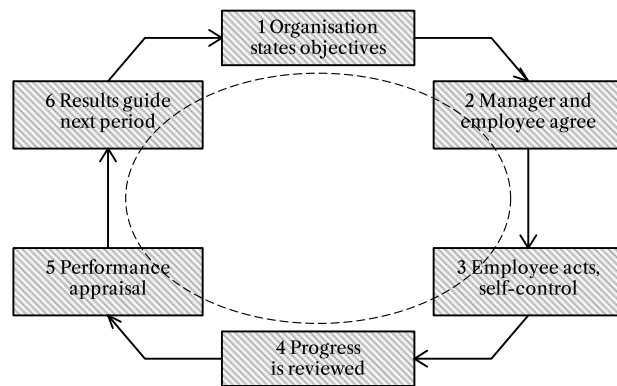
Ten duties and seven people show that some people must hold more than one duty.

Step two asks: which tasks belong together?

There is no single correct grouping, so the manager must judge the shop's own situation.

Step three asks: who will do each group of tasks?

Assigning a duty is incomplete unless the person also has the means and the authority to perform it.

FIG. 9.1. *The MBO cycle as a ring*

PAUSE AND CHECK 9.P2 The last arrow of the ring returns to the first stage. Explain why a cycle suits management by objectives better than a straight line.

THE BENEFITS OF MBO

Management by objectives offers five benefits. It brings clarity, because each person knows what the organisation expects. It brings commitment, because people who help to set an objective feel responsible for it. It improves coordination, because each person's objectives support the objectives above. It gives a fair basis for appraisal, because the judgement uses a number agreed in advance and not a general impression. It helps to develop people, because the review shows where an employee needs training. Each person gains in a different way. The owner gains control without checking every action. The manager gains a sound way to share work. The employee gains knowledge of what counts as a good year. The customer gains from a shop whose people all work towards the same result.

THE WEAKNESSES OF MBO

No system is free of faults, and management by objectives has several. It takes time, because meetings and records are needed for every employee. It favours results that are easy to count, so quality may suffer, as you saw in section 9.2. It can push attention towards the short term, since a year is the usual period. It can make objectives rigid: an employee may keep following an objective after conditions have made it useless. It can be unfair when an employee is judged on a result that depends on events outside his or her control. It can fail when top managers do not support it, or when they use the cycle to place pressure on people. A system that works only on paper has the weaknesses of MBO and none of its benefits.

The table below sets four benefits beside the risk that goes with each. Read each row from left to right: the first column gives a benefit, and the second column gives the way that benefit is lost

MBO brings clarity, commitment, coordination, a fair basis for appraisal and a way to develop people.

MBO has weaknesses: heavy paperwork, a bias towards what is easy to count, short-term focus and rigid objectives.

The table sets each benefit against the weakness that most often accompanies it.

Two earlier ideas support this chapter.

A railway with no division of duties would stop at its first emergency.

The puzzle is that everyone sees the danger and no one is told to act.

The chapter will name the arrangement, show how it is made, and meet its unofficial twin.

A household shows that many tasks need a plan of who does what.

Organizing. Arranging tasks, people and resources into a working structure so that goals can be reached.

Organizing is the function that arranges work, people

You will need two ideas from earlier chapters. The first is the management process, taught in Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.¹ The second is the organisation, taught in Chapter 1, 'What Management Is', section 1.1 'The Idea of Management'.² Read those sections again if either idea feels uncertain.

Imagine a railway company in the middle of the nineteenth century. Its track runs for hundreds of miles, and every day trains leave and arrive at stations far from the head office. On a winter morning a telegraph message reaches the head office: a bridge near a distant town has been damaged, and a passenger train is due to cross it in two hours. Several people in the office read the message. Each of them knows that something must be done. Each of them believes that another person will do it.

This is the puzzle of the chapter. The company has money, engines, track and willing workers, yet it may fail on this morning, because no one has been told that the message is his or her responsibility. Good intentions do not move a train. What the company lacks is an arrangement: a known answer to the question *who does what, and who answers to whom?* An organisation that cannot answer that question for every task will meet the same danger again and again, however skilled its people may be.

In this chapter we study that arrangement. First we name it and say why it exists. Then we follow the steps by which a manager builds it. Finally we meet two forms that it takes: the one managers draw on paper, and the one that people form among themselves without any instruction. We shall use the records of a small Dhaka bookshop to practise, and a famous railway chart of 1855 to see where the idea first took a clear shape.

* * *

12.1 WHAT ORGANIZING IS

Think first of a household that is preparing a wedding meal. There are dishes to buy, to cook and to serve, guests to welcome, and a bill to pay. If every relative does whatever seems useful at the moment, some tasks are done twice and others not at all. A sensible family leader says: you buy, you cook, you serve, you welcome. The meal succeeds because the work was divided and each person knew the share that was his or hers. Management uses the same idea on a larger scale.

The function that does this has a name. **Organizing** means arranging tasks, people and resources into a working structure so that goals can be reached. A resource is anything an organisation uses to do its work, such as money, rooms, machines and time. When a bookshop owner decides who will buy books, who will

¹ Recall: management process, Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

² Recall: organisation, Chapter 1, 'What Management Is', section 1.1 'The Idea of Management'.

SUMMARY

An objective is a specific result to be reached within a stated time. Key result areas show where objectives matter most. To set an objective, name a result, a measure, a target and a date, and agree it with the person responsible. Management by objectives is a system in which managers and employees agree objectives together and judge performance against them, and its cycle runs from agreement to action, review and appraisal, and back to agreement. The system has real benefits and real risks.

The summary states the chapter in a few lines.

THINK IT THROUGH

A school with 600 pupils and 30 teachers wants to adopt management by objectives. Its head teacher says only: "We want to be a better school." Use the ideas of this chapter to answer both questions below.

9.T1 Write two measurable objectives for the school. For each, name the key result area, the measure, the target and the period.

9.T2 Describe two ways in which management by objectives could fail in the school, and say what the head teacher could do to prevent each.

The problem asks you to apply the chapter to a school.

WHERE PEOPLE GO WRONG

The first misunderstanding is that an activity is an objective. "Hold a book fair" says what is done and not what is reached. Correction: name the result, such as the number of copies sold. The second is that a vague word is enough. "Better" and "improve" have no edge. Correction: add a measure, a target and a date.

The third misunderstanding is that more objectives are better. Twenty objectives divide attention, and the key results are lost among them. Correction: choose the few that decide success. The fourth is that management by objectives means a manager hands out numbers. Correction: the system depends on agreement, and an imposed number is only an order. The fifth is that objectives never change. Correction: review them during the period, and change one when conditions have changed. The sixth is that a measured result is always the whole truth. Correction: a number can hide poor quality, so read objectives together and add judgement.

Six common misunderstandings about objectives are stated and corrected here.

Further misunderstandings concern the number of objectives, the way they are set and their permanence.

IN HISTORY

Peter Drucker was born in Vienna on 19 November 1909 and died on 11 November 2005. He moved to the United States, worked as a writer and adviser on management, and published *The Practice of Management* in 1954. The book treated management as a practice that can be studied and taught. In it he described management by objectives and self-control, and he proposed that a business set objectives in a small number of key areas. His list had eight, among them market standing, innovation and new facilities.

Drucker published management by objectives in 1954, and many organisations adopted it afterwards.

* * *

SUMMARY

A probability is a number from 0 to 1, and the probabilities of one event add up to 1. Expected value is the average result of a choice: multiply each result by its probability and add. A decision tree draws choices and chance events as branches, and we fold it back from right to left. A decision support system supplies data and comparisons, and the manager decides. A group decision gains knowledge and support but costs time.

THINK IT THROUGH

- 11.T1 The case file shows that a group of three took 3 days, and Nurul alone took 1 day. Name two situations in which the extra 2 days are worth it, and one in which they are not.
- 11.T2 In the second-shop tree, suppose the probability of success falls to 0.4 and the probability of failure rises to 0.6, with the same profit and loss. Find the new expected value of opening. Does opening still beat waiting?
- 11.T3 Find the probability of success at which opening the second shop has the same expected value as waiting. Write p for this probability, so that failure has probability $1 - p$.

WHERE PEOPLE GO WRONG

Some students believe that an expected value of Tk 420,000 means the shop will earn Tk 420,000. It will not. The shop earns Tk 900,000 or loses Tk 300,000. The expected value is an average over many tries, and it is a guide for a choice made once.

Some students believe that the choice with the highest expected value must always be taken. A choice with a large possible loss may be too dangerous for a small firm, as the worked case shows.

Some students believe that a tree is exact because it uses arithmetic. The arithmetic is exact, but the probabilities are estimates, so the answer is no better than they are.

Some students believe that a group always decides better than one manager, or that a decision support system makes the decision. A group costs time and a system only supports. Each has a place, and neither replaces judgement.

IN HISTORY

In 1947 the American social scientist Herbert Simon, born in Milwaukee in 1916, published *Administrative Behavior*. He had studied at the University of Chicago and earned a doctorate in political science there in 1943. Many economists of the time pictured a decision maker who weighs every alternative and picks the best. Simon replied that real managers cannot do this. They have limited

The summary gathers the main ideas.

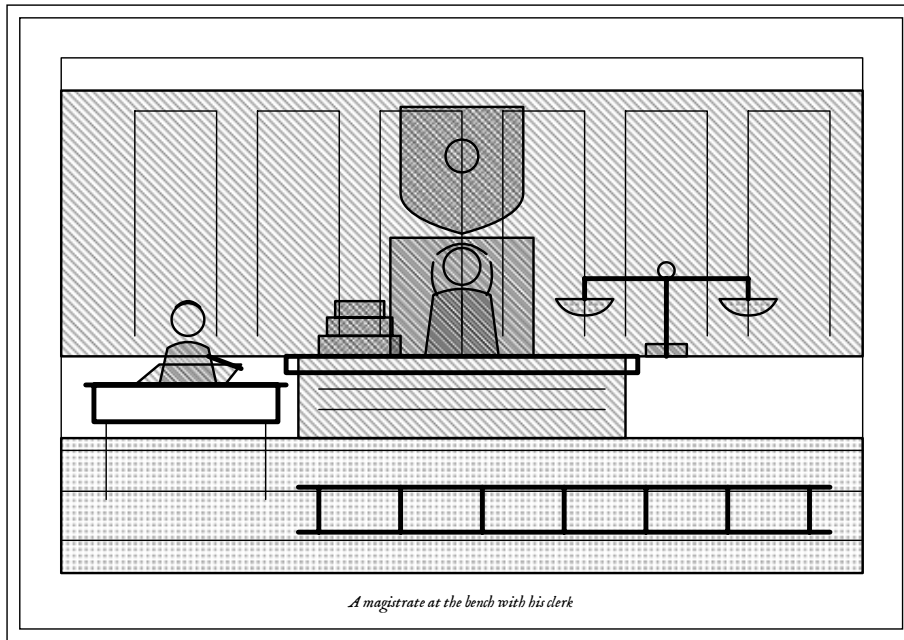
A common error is to treat expected value as the result that will happen.

Another error is to think that the highest expected value is always best.

A third error is to trust a tree more than its numbers deserve.

A last error is to think that groups are always better, or that a system decides.

Herbert Simon showed in 1947 that managers settle for a good enough choice.



CHAPTER X

Decision Making: Process and Conditions

How do you choose when you cannot see what comes next?



This chapter explains how managers decide. It shows what a decision is, follows the steps from seeing a problem to checking the result, and then describes the three conditions in which every decision is made: certainty, risk and uncertainty. A second shop in Dhaka and a launch in Florida serve as cases.

management a decision is the choice of one course of action from several, made to solve a problem or use an opportunity. The second meaning always has a purpose and always follows a comparison.

You should now be able to say: a decision is a choice of one course of action from several, made for a purpose.

Why do managers decide at all? A decision starts when a manager sees that something needs to change. We use the word problem for a gap between what is and what should be. A stock clerk reports that sales of school books are falling, and the gap between actual and wanted sales is a problem. We use the word opportunity for a chance to do better than before. A school asks the shop to supply all its textbooks, and that offer is an opportunity.

The two start differently. A problem is usually loud: complaints, losses and shortages press the manager to act. An opportunity is quiet. Nobody complains about a chance that was missed, so a manager must look for it. For this reason, careful managers watch the world outside the organisation and not only the troubles inside it. Both a problem and an opportunity lead to the same act, which is a decision.

Return to Rina. Suppose a friend tells her that the cinema has a half-price show on Friday. Before the friend spoke, she had no problem, only a plan to buy a book. The friend's news is an opportunity, and it makes her choice worth making again. A decision can start with good news as well as with bad.

In one line: a decision begins when a manager sees a gap to close or a chance to use, and the manager then chooses one course of action from several.

Managerial decision making has a special nature. Rina spends her own Tk 500, and only she bears the result. A manager spends the organisation's resources, and many people bear the result. This difference gives managerial decisions four features, and each one is explained below.

First, the manager answers for the decision to owners, employees and customers. Second, managers decide with incomplete facts, because the future cannot be seen and time is short. Third, decisions are linked: choosing to open a second shop leads to later choices about staff, stock and prices. Fourth, a decision often changes the work of other people, so how the manager shares the choice matters as much as the choice itself.

Each person sees a decision from a different place. The owner asks whether the choice is worth the money. The manager asks how to carry it out. An employee asks how the work will change. A customer asks only whether the shop will continue to serve well. A wise manager considers all four views before choosing.

Before moving on. Decision making is choosing one course of action from several, in order to solve a problem or use an opportunity. A problem is a gap to close and an opportunity is a chance to use; both start a decision. Managers decide for an organisation, with incomplete facts, and their choices affect many people.

You should now be able to say: a manager decides when a prob-

The first idea is secure when the reader can state it in one sentence.

Every decision starts when someone sees a problem or an opportunity.

A problem is felt as pain, but an opportunity is easy to miss.

Rina's Friday shows an opportunity: a free offer that she would not have noticed.

The recap of the two ideas so far.

Managerial decisions differ from private ones in four ways.

The first feature is that the manager answers for the choice to others.

Each position sees the decision differently.

The recap of section 10.1.

A sentence to test the reader's

stored data are wrong, the answers will be wrong. A system costs money to buy and time to learn. And it cannot see matters that were never recorded, such as a new competitor opening next door.

INFORMATION FOR DECISIONS

Data are only useful when they become information that fits the decision. Good information for a decision has four qualities. It is *accurate*, so that the manager can trust it. It is *timely*, so that it arrives before the decision is due. It is *relevant*, so that it bears on this choice and not another. And it is *understandable*, so that the person using it knows what it means.

A fifth point is about cost. More information is not always better. Collecting it takes time and money, and the Tk spent on it should be less than the improvement it brings to the decision. For the owner, this means asking what a fact would change. For an employee who prepares a report, it means asking what the reader needs to decide.

Before moving on. A decision support system is a computer tool that helps managers study data and compare alternatives. It supports the manager and does not replace the manager. Its value depends on information that is accurate, timely, relevant and understandable, and that is worth what it costs.

* * *

11.3 DECIDING IN GROUPS

THE GROUP DECISION

Who should decide: one person, or several? A single manager can act quickly, but sees the problem from one side. A team sees more sides, but must talk. Both ways are used in every organisation, and the skill lies in choosing the right one for the problem.

A **group decision** is a choice reached by several people discussing and agreeing, instead of one person alone. A committee that votes on a new rule makes a group decision. A manager who announces a rule after hearing advice does not, because the manager alone still chooses.

Case file, illustrative. A group of three, Nurul, Rafiq and Tariq, took 3 days to reach a decision. Nurul alone took 1 day.

ADVANTAGES AND DISADVANTAGES

The advantages of group decisions are real. A group holds more information than one person, so more alternatives appear. Members who help to choose usually understand the decision and are more willing to carry it out. The disadvantages are also real. A group is slower, as the case file shows: it took two days more than Nurul alone. It uses the time of several employees. One loud

Information helps a decision only when it has certain qualities.

Information has a cost, so a manager should gather only what is worth its price.

Before moving on: a system supports decisions with information that is accurate, timely, relevant and understandable.

A manager must choose whether to decide alone or with others.

Group decision. A choice reached by several people discussing and agreeing, instead of one person alone.

A group decision is a choice that several people reach together.

Recall: the decision process, Chapter 10, section 10.2 'The Decision Process'.

The case file records how long each way took.

A group brings more knowledge and more support, and it costs more time.

choice is made. It is finished when the results are checked and the lesson is stored.

IN SHORT

The decision process has six steps: name the problem or opportunity; set the criteria; develop the alternatives; evaluate them; choose; implement and follow up.

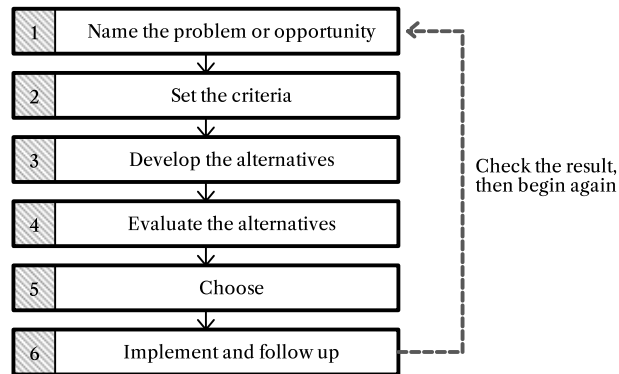


FIG. 10.1. *Decision Steps as a flow*

Read the figure from the top box downwards. Each box is one step, and each arrow shows that one step leads to the next. The dashed line on the right returns from step 6 to step 1. It means that checking the result may reveal a new problem, so the process begins again.

Steps 1 to 5 take place in thought and on paper. Only step 6 changes anything outside the manager's head. This is why managers should spend care on the first five steps and not rush toward the sixth. A mistake caught on paper costs nothing, and the same mistake caught after implementation may cost a great deal.

The process has limits. Real managers do not always follow the six steps in strict order. They may return to step 2 after seeing the alternatives, because a new option shows that a criterion was missing. Time may be short, and some information may cost more to gather than the decision is worth. The steps are a guide for thinking, and they work best when a manager treats them as a checklist and not as a ritual.

PAUSE AND CHECK 10.P1 Rina finds that the bus will be 20 minutes late on one day. Which step of the process does she return to, and what could she change?

Before moving on. A decision criterion is a standard used to judge which alternative is best. The process has six steps: name the problem or opportunity, set the criteria, develop alternatives, evaluate them, choose, then implement and follow up. Criteria are set before options are examined. Following up closes the loop and

The figure shows the six steps in order, with a loop back from the last step to the first.

The figure is read from top to bottom, then back to the top by the dashed line.

Steps 1 to 5 are done in the mind and on paper; only step 6 changes the world.

The process has limits that a careful manager must know.

The recap of section 10.2.

PAUSE AND CHECK 11.P1 A seller may earn Tk 500 with probability 0.8, or lose Tk 1,000 with probability 0.2. Find the expected value.

Before moving on. Expected value means the average result of a choice. Multiply each result by its probability, then add. Gains are positive and losses are negative. The probabilities must add up to 1, and no single play need produce the expected value itself.

DECISION TREES

What if a manager has several choices, and each choice leads to several chance results? The sums are easy one at a time, but the whole problem is hard to hold in the head. Managers therefore draw it. Think of a road map: one road leaves the town, then divides, and divides again. A picture of such roads shows every route at once.

A **decision tree** is a diagram of choices and chance events, drawn as branches, showing the value of each path. It is called a tree because the lines divide as branches do, though we draw it on its side, from left to right. Its parts are few. A square marks a *decision point*, where the manager chooses. A circle marks a *chance point*, where events decide the result. Each line is a branch. Each branch that ends the story carries a result in taka.

The table below lists each part, what it means, and what you do at that part. Read each row from left to right: the first cell names the part, the second explains it, and the third tells you the step to carry out.

THE PARTS OF A DECISION TREE

PART	MEANING	WHAT YOU DO THERE
Square	A choice the manager makes	Pick the branch with the highest value
Circle	A chance event	Calculate the expected value of its branches
Branch	One choice or one possible result	Label it with its probability, if it is a chance branch
End of branch	The final result in taka	Write profit as positive and loss as negative

The order matters. The story runs from left to right, because the choice comes first and the results come later. The calculation runs in the opposite way. Start at the right-hand ends, where the results are known. Work back to each circle and find its expected value. Then come to the square and compare the values of the branches. This backward step is called folding back the tree.

Case file, illustrative. Meghna and Sons considered a second shop. The tree has two choices. Opening the second shop leads to a chance event: success with probability 0.6 and a profit of Tk 900,000, or failure with probability 0.4 and a loss of Tk 300,000. Waiting leads to a result of Tk 0. Expected value of opening = $0.6 \times 900,000 + 0.4 \times (-300,000) = 540,000 - 120,000 = \text{Tk } 420,000$

Before moving on: expected value is an average, not a promise of any single result.

When a choice leads to chances, which lead to more results, a picture helps.

Decision tree. A diagram of choices and chance events, drawn as branches, showing the value of each path.

Tree. Word in use. In daily life, a plant with a trunk and branches. Here, a diagram whose lines divide like branches.

A decision tree draws choices and chance events as branches.

A small table shows the parts of a tree and what to do at each.

We read a tree from left to right, but we calculate from right to left.

Recall: risk, Chapter 10, section 10.3 'Conditions of Decision Making'.

The case file gives a tree for the second shop.

Each condition asks for a different attitude. Under certainty, a manager can compare the known results and choose the best. Under risk, a manager weighs the chances and accepts that the result may fall short. Under uncertainty, the manager must use judgement, gather more information if time allows, and prefer choices that can be changed later if they prove wrong.

Consider the second-shop decision of 20 August 2026, which the next section works in full. The rents and fitting costs are fixed amounts and so are certain. The expected sales are estimates, and the case file gives no chances for them. We therefore cannot call them a risk, and the sales belong closer to uncertainty. The condition shapes how firmly the owner should trust the numbers.

PAUSE AND CHECK 10.P2 A manager of a small shop must choose a new supplier. The supplier's price list is fixed for a year, but nobody can say how many customers will want the new books. Name the condition for the price and the condition for the number of customers, and give a reason for each.

Before moving on. Certainty is a condition in which the result of each alternative is known in advance. Risk is a condition in which the result is not known but its chances can be estimated. Uncertainty is a condition in which neither the results nor their chances can be estimated. A single decision may hold all three.

You should now be able to say: what the manager knows under each condition, and how to tell risk from uncertainty.

* * *

WORKED CASE: THE SECOND SHOP

We now apply the whole chapter to one decision in the case file. The worked case has five parts: Situation, Question, Reasoning, Conclusion and Check. It applies the ideas to a situation. It is an application, not a model answer.

Case file, illustrative. Decision, 20 August 2026, Meghna and Sons: open a second shop? Option 1, Mirpur: rent Tk 38,000 a month, fitting Tk 650,000, expected sales Tk 5,400,000 a year. Option 2, Uttara: rent Tk 52,000 a month, fitting Tk 720,000, expected sales Tk 5,100,000 a year. Option 3: wait a year.

Question. Which option should the shop prefer on the figures in the case file? The case file does not state the owner's goal. For this exercise only, we assume that the owner wants the most sales for the money spent in the first year.

Reasoning, steps 1 and 2. The opportunity is a second shop, and the choice to be made is which site, or whether to wait. From the assumed goal we set two criteria. Criterion A: expected sales for each taka spent in the first year on rent and fitting; a higher figure is better. Criterion B: expected sales less one year's rent; a higher figure is better. Both are fixed before we look at the totals.

Reasoning, step 3. The three alternatives are Mirpur, Uttara and waiting. Waiting has no cost for fitting or rent, and it earns nothing from a second shop. The case file gives no other figure for it. We

Managers meet each condition differently.

The conditions apply to the second-shop decision in the case file.

The recap of section 10.3.

A sentence to test the reader's grasp of the section.

The worked case applies the six steps and the three conditions to one decision.

The situation lists three options with their costs and expected sales.

The question asks which option best meets the owner's criteria.

Steps 1 and 2: the problem is a choice of site, and two criteria follow from the assumed goal.

Step 3: the three alternatives are already listed in the case file.

This chapter builds on two sections of Chapter 10.

A manager must choose before the future shows itself.

Waiting is also a choice, and it has its own cost.

Numbers can describe a doubt without removing it.

A probability is a number from 0 to 1 that shows how likely an event is.

A probability comes from counting past records or from honest judgement.

The probabilities of all possible results of one event add up to 1.

Recall: risk and certainty, Chapter 10, section 10.3 'Conditions of Decision Making'.

You will need: Chapter 10 'Decision Making: Process and Conditions', section 10.3 'Conditions of Decision Making' (certainty and risk); and Chapter 10 'Decision Making: Process and Conditions', section 10.2 'The Decision Process'.

Imagine that you own a small shop, and a larger shop becomes free in the next street. The rent is high. If customers come, you will earn a good profit. If they do not, you will lose money for a year. You cannot ask the future what will happen. Yet you must answer today, because another trader may take the shop tomorrow.

Many people in this position do one of two things. They decide by feeling, and say that the shop looks right. Or they refuse to decide, and say they need more time. Both reactions are understandable. Neither is satisfying, because neither can be explained to a bank, a partner or a family member who asks the plain question: why this choice?

This chapter offers a better way. It does not remove the doubt, because nothing can. It gives the doubt a size. You will learn to say how likely each result is, to weigh each result by its likelihood, and to draw all the choices on one page. You will then see how a computer can supply facts, and when it is wiser to decide together than alone.

* * *

11.1 PROBABILITY AND DECISION TREES

PROBABILITY

If you toss a fair coin, how likely is it to land heads up? Most people answer: one chance in two. That answer is already a probability. A probability is a number from 0 to 1 that shows how likely an event is. A probability of 0 means the event cannot happen. A probability of 1 means it is certain. A probability of 0.5 means the event is as likely to happen as not. In plain talk we say *chance*; when we mean the number, we say *probability*.

Where does the number come from? There are two sources. The first is counting. A tea-stall owner notes that rain fell on 3 of the last 10 working days, and rain keeps customers away. The probability of rain is 3 divided by 10, which is 0.3.¹ The second source is judgement. When no records exist, an experienced person gives an honest estimate, such as 0.6.

One rule always holds. The probabilities of all possible results of one event add up to 1, because something must happen. If rain has probability 0.3, then no rain has probability $1 - 0.3 = 0.7$. Check by adding: $0.3 + 0.7 = 1$. When your own numbers do not add up to 1, one of them is wrong.

Now the limit. You met risk in Chapter 10, and probabilities are the numbers that describe it. A manager who plans a new venture, such as a second shop, has no records of that venture. The probab-

¹ A probability may also be written as a fraction (3/10) or a percentage (30 per cent). The three forms mean the same. This chapter uses decimals, because they multiply easily.

THINK IT THROUGH

10.T1 A manager must choose between two suppliers of paper. Supplier A offers a fixed price for the year. Supplier B offers a lower price, but its delivery times are not known because it is new. Name the condition that applies to each part of the choice, and say which step of the process would tell the manager what to find out first.

10.T2 In the second-shop case, the expected sales are estimates only. Suppose the owner learns that the Mirpur figure is far too high. Which criteria change, which do not, and what should the owner do next?

WHERE PEOPLE GO WRONG

Mistake: "The decision is the moment when I choose." The choice is one step of six. The steps before it decide what is chosen from, and the step after it decides whether the choice worked.

Mistake: "A good result means the decision was good." A good decision can end badly through bad luck, and a poor decision can end well. Judge the method used and the facts known at the time, and then check the result.

Mistake: "I must wait until I know everything." Full knowledge is rare, and waiting has a cost of its own. A manager should gather the information that is worth its cost and then decide.

Mistake: "Risk and uncertainty mean the same." Under risk the chances can be estimated, and under uncertainty they cannot. The tea stall with 10 days of records faces risk, and the stall in a new town without records faces uncertainty.

Mistake: "I will decide on the criteria when I see the choices." The criteria then tend to favour the option already liked. Fix them first.

IN HISTORY

On the evening of 27 January 1986, engineers at Morton Thiokol, the company that made the rocket boosters for the United States space shuttle, spoke by telephone with managers of NASA, the national space agency. The shuttle Challenger was due to launch the next morning from Florida, and the forecast was for unusually cold weather. The engineers feared that the rubber seals in the boosters would not work in the cold. They had followed damage to such seals on earlier flights.

Thiokol's managers at first supported a delay, but after discussion with NASA they reversed that advice, and the launch went ahead on 28 January 1986. Challenger broke apart 73 seconds after liftoff, and all seven crew members died. A presidential commission led by William Rogers, a former United States Secretary of State, reported in June 1986. It judged the decision process flawed, and it found that the concerns of the engineers had not been fully passed to the senior managers who approved the launch.

The case shows the chapter's ideas at work. The criterion of

Mistake one: believing that a decision is the moment of choosing.

Mistake two: judging a decision by its result alone.

Mistake three: believing that more information always gives a better decision.

Mistake four: treating risk and uncertainty as the same thing.

Mistake five: setting criteria after seeing the options.

The launch of Challenger in January 1986 shows a decision under pressure and uncertainty.

The managers reversed the first advice and the launch went ahead.

The case shows each part of the chapter at work.

REVIEW QUESTIONS

10.1 Define decision making in your own words and give one example from a bookshop.

10.2 Explain the difference between a problem and an opportunity, and say which is easier to miss and why.

10.3 List the six steps of the decision process in order. For step 2, say why the criteria are set before the alternatives are examined.

10.4 Define decision criterion. Give two criteria that a shop owner might use to choose between two suppliers.

10.5 Classify each part of the following as certainty, risk or uncertainty, with a reason: (a) the monthly rent fixed by a lease; (b) the chance of rain based on 10 days of records; (c) the sales of a new kind of product that no shop has sold before.

10.6 A manager has records showing that 3 of the last 12 school orders arrived late. What condition is this, and what is the estimated chance of a late order as a fraction?

10.7 The bus fare in Rina's case rises to Tk 60. Explain which step of the process she must repeat, and what she must decide.

The two patterns are therefore not rivals. They exist side by side inside one organisation, and each fills a gap in the other. The table below sets them side by side. Each row names a feature, and the two columns say how the feature appears in each kind. Read across a row to compare the two on one feature.

FORMAL AND INFORMAL ORGANIZATION COMPARED

FEATURE	FORMAL ORGANIZATION	INFORMAL ORGANIZATION
Origin	Set up by management	Grows among employees on its own
Record	Written: rules, job descriptions, chart	Unwritten: habits, friendships
Authority	Comes from the position held	Comes from the respect of the group
Main strength	Order and stability	Speed and goodwill
Main risk	Slowness and stiffness	Rumour and resistance

How can managers make an organisation effective, then? They begin with a sound formal structure: every task has an owner, every reporting line is clear, and the chart is kept up to date. They then treat the informal organization as a fact of the shop and not as an enemy. Managers share honest information, so that rumour has less room. They ask informal groups for ideas, because those groups often know where the work is going wrong. They also watch for harm, and they speak plainly when a group acts against the shop's goals.

Before moving on. The formal organization is the official structure that management sets up. The informal organization is the network of friendships that forms on its own. People join informal groups to meet needs the formal structure does not meet. Managers make an organisation effective by designing the formal structure well and by working with the informal groups.

* * *

WORKED CASE: ORGANIZING THE DUTIES OF MEGHNA AND SONS

This section applies the process of section 12.2 and the distinction of section 12.3 to the shop's records. It is not a model answer. It shows one way of reasoning, so that you can follow each decision and then repeat it on a new case.

Situation. The shop's record for 2026 lists ten duties: buying, receiving, shelving, selling, cashier, accounts, online orders, returns, school accounts and marketing. They are assigned to 7 people. The base record names the people: Rafiq Meghna, the store manager; Tariq Meghna, who handles accounts and online orders; 3 sales assistants; 1 cashier; and 1 stock clerk. A lunch group of 3 sales assistants exchanges book tips informally.

Question. Group the ten duties into a small number of groups. Decide how many duties fall to each person on average. Then say

The two organizations are not rivals; they work together inside one organisation.

Making an organization effective means designing the formal structure while working with the informal one.

The recap fixes the two kinds and the way they work together.

The worked case applies the four steps to the shop's ten duties.

The situation gives the duties, the people and the lunch group.

The question asks for a grouping, an owner for each

* * *

15.3 CREATIVITY AND INNOVATION

Most organisations are full of ideas, yet few ideas ever reach the customer.

Creativity. The ability to produce new and useful ideas.

Creativity is the ability to produce ideas that are both new and useful.

Creativity comes from knowledge, curiosity and freedom, and not only from special talent.

Innovation. Turning a new idea into a new product, service or method that is put to use.

Innovation is turning a new idea into something that is put to use.

Many creative ideas are not adopted, and a wise organisation chooses among them.

Encouraging ideas needs listening, time, safety to fail, and a way to turn ideas into action.

Some habits of managers stop ideas before they start.

Walk through any shop and ask the employees for ideas. Within an hour you will hear a dozen: a new way to arrange the shelves, a quicker way to check returns, a chair for readers near the window. Now ask a different question: how many of these ideas will ever be tried? In most shops the answer is very few. Between having an idea and using it there lies a gap, and the gap has a cost. This section explains both sides of it.

The first side is **creativity**. Creativity means the ability to produce new and useful ideas. Both words in the definition matter. An idea that is new but of no use, such as selling books by weight, is only a curiosity. An idea that is useful but not new is only a copy. A sales assistant who thinks of a quiet corner where customers can try a book before buying has produced an idea that is new to the shop and useful to its buyers.

Creativity is not a gift of artists alone. Every person can produce ideas, and the ideas grow from three sources. The first is knowledge: a person who knows the work well sees where it can be improved. The second is curiosity, the wish to ask *why is it done this way?* The third is freedom, which means room to try and to be wrong. A person who is afraid of being laughed at will keep ideas private. For this reason, creativity depends on the conditions that a manager creates.

The second side is **innovation**. Innovation means turning a new idea into a new product, service or method that is put to use. A method is a way of doing a task. Creativity is the seed, and innovation is the crop that grows from it. A suggestion on paper is creativity. A reading corner that stands in the shop and is used by customers is innovation. The step from one to the other needs money, time, a decision and the effort of several people.

Not every idea should be adopted. Some ideas cost more than they can earn. Some ideas fit poorly with the shop's goals. Some ideas need skills that the shop does not have. An organisation that adopts every suggestion would waste its money, and an organisation that adopts none would stop learning. The aim is to choose well, to test promising ideas on a small scale, and to explain the reasons for refusal to the people who offered them.

How can managers encourage ideas? Four practices help. First, listen: ask employees for suggestions and give each one a real hearing. Second, give time and freedom, because employees who are always hurried have no room to think. Third, make failure safe: if a tried idea does not work, treat it as a lesson and not as a fault. Fourth, provide a path from idea to action, such as a simple way to submit suggestions and a promise of an answer.

Some habits stop ideas. Quick ridicule teaches employees to keep silent. The remark *we tried that before* closes a discussion without examining whether conditions have changed. Silence in reply to a suggestion tells the employee that the effort was wasted.

12.T3 A small clinic has a doctor, two nurses and a receptionist. Three employees eat lunch together every day and share news about patients' appointments. Is this group part of the formal or the informal organization? Explain whether the manager should be pleased or concerned.

12.T4 A shop doubles its number of employees and keeps the same chart. Name two problems that may appear, using the ideas of structure and the formal and informal organization.

WHERE PEOPLE GO WRONG

Some students believe that the organization chart is the organisation. The chart is only a drawing of the formal structure at one moment. It leaves out the friendships and habits that also guide behaviour, and it may be out of date.

Some students believe that informal groups are always harmful. In the lunch group of the case file, the informal group carried useful knowledge. The correction has a limit: informal groups can also spread rumour or resist change, so a manager must judge each group by its effects.

Some students believe that organizing is only drawing boxes and lines. The drawing comes at the end. The real work lies in identifying tasks, grouping them, assigning duties with the means to perform them, and setting relationships.

Some students confuse a structure with its results. A structure that looks neat can still fail if people do not understand it or if it does not serve the goals of the organisation. A structure is judged by its results.

IN HISTORY

In 1855 the New York and Erie Railroad was one of the longest railways in the United States. Its general superintendent, Daniel McCallum, faced the problem of the opening puzzle on a large scale: a company spread over many miles, in which messages travelled quickly by telegraph but responsibility for acting on them was unclear. McCallum worked with a civil engineer, George Holt Henshaw, to prepare a diagram of the company's plan of organization. It is dated by the returns of September 1855.

The diagram showed the division of duties and the number and class of employees in each department. It was drawn in the form of a tree, in which the highest authorities stood at the roots and the departments and staff spread out as branches. Divisional superintendents were responsible for the daily work of the lines under them, and regular reports travelled upward to the central office. Historians commonly regard the diagram as one of the first modern organization charts. McCallum also set down general principles of management, and he later worked on military railways during the American Civil War.

The case shows an idea from this chapter at work. A structure turns a large undertaking into duties with known owners and

Mistake one: believing that the chart is the organisation.

Mistake two: believing that informal groups are always harmful.

Mistake three: believing that organizing is only drawing boxes.

Mistake four: confusing the structure with its effects.

Daniel McCallum drew an early organisation chart for the Erie Railroad in 1855.

The chart showed divisions, duties and the number of employees in each department.

The case shows that a drawn structure can make responsibility known across a

PAUSE AND CHECK 15.P1 An employee arrives late twice in one week. The manager decides the employee does not care about the job. Name one piece of observed fact and one piece that the manager may have added from his own mind.

Human factors look different from each viewpoint. The owner sees them as a source of both cost and strength: good relationships keep employees, and poor ones send them away. The manager sees them as the main material of leading. The employee sees them as the feeling of being treated fairly and understood. The customer meets them in every conversation, because the mood of an employee reaches the buyer in a few seconds.

IN SHORT

Human factors are the traits, feelings and relationships that affect how people work. They act on three levels: the person, the group and the organisation. Individual differences and perception explain why one instruction can produce different results.

Before moving on. Human factors are the traits, feelings and relationships of people that affect how they work. They act at the levels of the person, the group and the organisation. Individual differences show how people vary, and perception shows how each person understands the same event in a different way.

* * *

15.2 GROUPS AND TEAMS

Return to the workshop of the opening. After a few weeks, the two craftsmen at the bench find that they eat their midday meal together and compare their tools. A third craftsman joins them, then a fourth. Soon the four share advice, pass along rumours and help one another when the master is away. No one planned this circle. It formed because people who work near each other tend to join together. This is a group, and it is the second level of human factors.

A group is two or more people who interact with each other, depend on each other in some way, and see themselves as belonging together. Passengers who wait at a bus stop are not a group, because they do not interact or depend on one another. The four craftsmen are a group. They talk, they rely on each other, and each of them knows that he belongs. The informal organization, studied in the previous chapter, is made of such groups.

Why do people form groups? Several reasons are common. A group offers security, since a person in a group feels less alone when something goes wrong. It satisfies the wish to belong, which most people feel. It can give status, since membership of a respected group raises a person's standing. It gives help with the task, because members share knowledge and skill. Finally, people with a shared interest, such as a love of books, tend to join together. A manager who understands these reasons will not treat every group

From four viewpoints, human factors matter to everyone in the shop.

The recap fixes human factors, individual differences and perception.

People in a workshop quickly form small circles, and those circles shape the work.

A group is two or more people who interact, depend on each other and see themselves as members.

People form groups for security, belonging, status, help with tasks and shared interests.

Two ideas from earlier chapters support this chapter.

A workshop shows two craftsmen with equal tools who still work in different ways.

The puzzle is that equal tools and equal pay do not give equal work.

The chapter studies the human side of work, from the single person to the group to the new idea.

A shop where two assistants react differently to the same instruction shows that people differ.

Human factors. The traits, feelings and relationships of people that affect how they work.

Human factors are the traits, feelings and relationships that affect how people work.

You will need two ideas from earlier chapters. The first is the informal organization, taught in Chapter 12, 'Organizing and Types of Organization', section 12.3 'Formal and Informal Organization'.¹ The second is leading, one of the functions in the management process, taught in Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.² Read those sections again if either idea feels uncertain.

Picture a workshop of the nineteenth century. Two craftsmen stand at one long bench. They share a single lamp and pass one heavy tool between them. Both were trained by the same master, and both are paid the same wage. Yet by the end of each day, one has finished six pieces with great care, and the other has finished four, with more mistakes. The master, who watches them, does not blame the bench or the lamp. He knows that the difference lies in the two people.

This is the puzzle of the chapter. A manager can buy the same machine for every worker and arrange the same lamp for every bench, but the results will still differ, because people differ. A machine does not feel proud or tired. It does not ask what its neighbour is paid, and it does not form friendships. People do all of these things, and each of them changes the work. A manager who ignores this fact will find that careful plans fail without any visible cause.

In this chapter we study the human side of work in three steps. First we examine the traits and feelings that every person brings to a job. Then we study how people join into groups, and how those groups set rules that no one has written. Finally we look at the way new ideas arise and are put to use. We shall test each idea against the records of the small Dhaka bookshop Meghna and Sons.

* * *

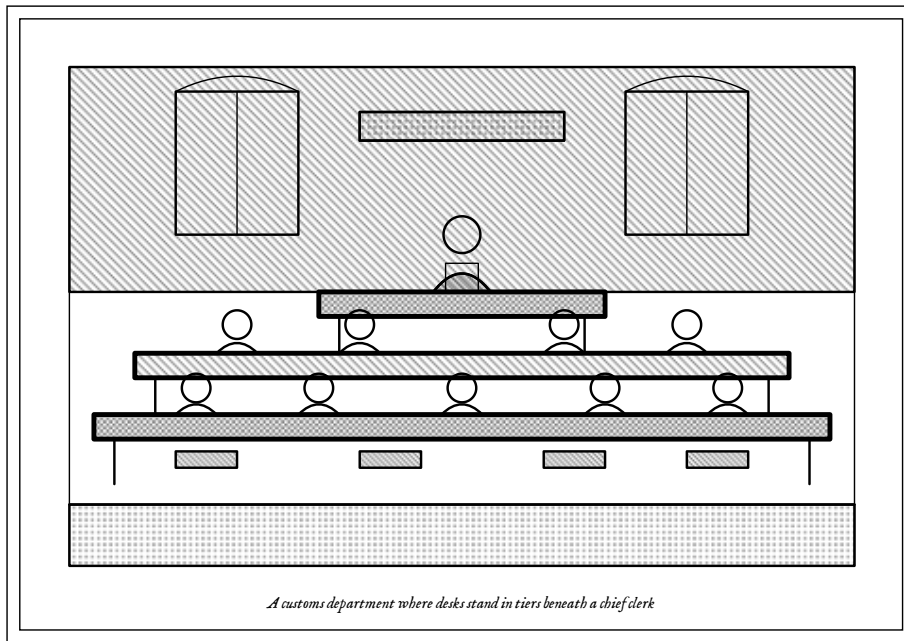
15.1 HUMAN FACTORS IN MANAGEMENT

Suppose a store manager tells two sales assistants to place a new pile of books near the door. The first assistant finishes the task at once and asks whether anything else is needed. The second assistant does the task slowly and complains that the pile will block the customers. The instruction was the same, the books were the same, and the door was the same. The manager is left with the question that this section answers: what is it about people that makes the same instruction produce different results?

Management gives a name to the answer. **Human factors** means the traits, feelings and relationships of people that affect how they work. A trait is a lasting feature of a person, such as patience or shyness. A feeling is a state of mind at a given time, such as worry or pride. A relationship is a link between two people, such as friendship or rivalry. When the first assistant works quickly because

¹ Recall: informal organization, Chapter 12, 'Organizing and Types of Organization', section 12.3 'Formal and Informal Organization'.

² Recall: leading, Chapter 3, 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.



CHAPTER XIII

Structure: Span, Departments and Forces

How many people can one manager lead, and how should the work be grouped?



Every structure answers two questions: how many people report to each manager, and how the jobs are gathered into groups. This chapter explains both choices, and then shows the forces that push managers toward one design or another.

The shop has two different spans: 2 and 5. The owner has a small span, and the store manager has a larger one. Neither number is wrong. The question that matters is whether each manager can lead the people reporting to him well. To answer it, we need to know what makes a span suitable.

There is no single correct span for all managers. The number depends on factors, and a manager can reason about each one. First, the skill of the employees. Employees who are trained and experienced need little guidance, so one manager can lead many. Second, the similarity of the tasks. If all the employees do the same kind of work, one manager can supervise them together. Third, the clarity of plans and rules. When everyone knows the standards, fewer questions come to the manager.

Three more factors complete the list. Fourth, nearness: employees who work in one room are easier to lead than employees in different towns. Fifth, the manager's other duties. A manager who must also sell, buy and keep accounts has little time left for leading, so his span should be small. Sixth, the speed of change. Work that changes every week creates many questions, and a manager needs time to answer them. In general, the wider the span, the more the first three factors must be favourable.

These factors have exceptions. A manager with a very wide span may succeed if the employees are highly skilled and the rules are clear. A manager with a narrow span may still fail if he supervises too closely and gives employees no room to think. The factors are guides to judgement and not a formula.

PAUSE AND CHECK 13.P1 A store manager leads one cashier and one stock clerk, and both work in the same room on routine tasks. Name two factors from the list that suggest this manager could lead more people.

Spans in the whole organisation add together to give its shape. A **tall structure** means a structure with many levels and small spans of management. Imagine a company in which each manager has only two employees below. To cover a hundred employees, the company needs many levels of managers, one above another, and the structure grows tall.

The opposite design is the **flat structure**. A flat structure means a structure with few levels and wide spans of management. If each manager leads twelve employees, the same hundred employees need far fewer levels, and the structure is low and wide. The figure shows the idea with two small trees. To read it, begin at the top box, which holds the highest manager, and count the lines that leave each box. The number of lines leaving a box is its span, and the number of rows is the number of levels.

The two spans in the shop differ, and the difference has a reason.

Several factors decide how wide a span can be without harm.

More factors: distance, the manager's other duties, and how often things change.

An exception: a wide span can work when employees are skilled, and a narrow one can still fail.

Tall structure. A structure with many levels and small spans of management.

A tall structure has many levels and small spans.

Flat structure. A structure with few levels and wide spans of management.

A flat structure has few levels and wide spans.

limits in the case file show. Control remains through limits, reports and meetings.

Mistake: "Coordination means holding a meeting." A meeting is one structural technique. Shared goals, communication, plans, rules and the chain of command also coordinate.

IN HISTORY

In the early 1980s, Ricardo Semler took over Semco, a Brazilian manufacturer of marine pumps and other industrial equipment, which had been founded by his father. Semco was in difficulty, and Semler changed how it was run. He gave workers wide rights to decide. Factory workers set their own production schedules and working hours, and elected committees took part in decisions. Some staff set their own pay, and the company shared its financial figures with employees.

Semler described these changes in a book, *Maverick*, published in 1993. The case became well known as an example of decentralization carried unusually far. It shows that spreading decisions can work when employees are trusted and well informed. It also shows how much the approach demands: information must be shared, limits must be understood, and managers must accept giving up control.

REVIEW QUESTIONS

14.1 Define authority and power in your own words, and state one difference between them.

14.2 Sort each example as line authority, staff authority or functional authority: (a) a store manager tells a sales assistant to restock a shelf; (b) an accounts adviser tells the store manager that a customer's credit is too high; (c) a safety specialist orders every department to lock its storeroom at night.

14.3 Define delegation and name the three ideas that must be kept in balance when a task is delegated.

14.4 Explain why accountability cannot be delegated away, using the shop's returns as an example.

14.5 Name two reasons why a manager may fail to delegate, and give one remedy for each.

14.6 Define centralization, and name two conditions that favour decentralization.

14.7 Define coordination. Name two basic activities and two structural techniques that support it.

By function. A function is a main kind of work that an organisation must perform, such as selling, stock handling or accounts. When jobs are grouped by function, all the people who perform the same kind of work belong to one department. The case file shows the shop's present design.

Case file, illustrative. The grouping used now at Meghna and Sons is by function: sales, stock and accounts.

Grouping by function has advantages. People who share a skill learn from one another, and the shop needs only one stock team and one accounts team. It also has a weakness. The functions can drift apart: the sales team may promise a delivery date that the stock team cannot meet, because neither group sees the whole customer. Function suits an organisation with a small range of products and customers.

By product. When jobs are grouped by product, each kind of good or service has its own department with all the skills it needs. A large bookshop might have one department for textbooks, one for storybooks and one for stationery. The head of each department can then be judged by the results of one product. The weakness is repetition: each department may need its own buyer and its own record keeper, which raises the cost.

By customer. When jobs are grouped by customer, each type of buyer has its own department. The shop's records show three types of customers, and the sales of 2025 can be set against them.

Case file, illustrative. The alternative grouping at Meghna and Sons is by customer type, using the 2025 sales: walk-in customers Tk 9,000,000; schools Tk 3,600,000; online Tk 1,800,000.

A customer grouping lets each department study the needs of its own buyers. A school department could learn when schools place their orders and what discounts they expect. Walk-in customers and online customers would also have their own teams. The cost is repetition, since each team may need its own stock handling and its own accounts, and a small shop may not have enough people to supply every team.

By territory. Territory means a geographical area, such as a district or a town. When jobs are grouped by territory, each area has its own department. A chain of bookshops with branches in several cities might give each city its own manager. Territory grouping suits an organisation that serves places far apart, because local managers can respond to local needs. The risk is that branches begin to follow different rules.

PAUSE AND CHECK 13.P2 A bookshop with two branches, one in Dhaka and one in Chattogram, gives each branch its own manager. Which basis of grouping is this?

The table below compares the four bases. Each row names a basis and says what it puts together, one strength and one weakness.

Department. Word in use. In daily life, a section of a large shop or a branch of government, such as a department of education. In management, any group of jobs placed under one manager, whatever name the organisation gives it.

Grouping by function puts together jobs that need the same skill.

The case file records the grouping now used at Meghna and Sons.

Grouping by function builds skill and avoids repeated effort, but can separate departments from one another.

Grouping by product puts together every job needed for one kind of good.

Grouping by customer puts together every job needed to serve one kind of buyer.

The case file records the alternative grouping by customer type, with the sales of 2025.

A customer grouping lets each department learn what its buyers need, but it repeats skills.

Grouping by territory puts together every job in one place.

The table compares the four bases by what they group and

The recap of section 14.5.

The worked case applies authority, delegation and accountability to the shop's limits.

The situation lists the limits set from 1 March 2026.

The question asks who may decide in four small situations.

The first test compares each amount with the limit that was delegated.

The second test applies the same method to the purchase order.

The third test applies staff authority to the credit request.

The fourth test names who answers for each result.

The conclusion and the check agree with the limits in the

minutes, or 26 hours. The case file does not list who attends. The cost is small, and the meeting lets the store manager, the accounts adviser and others share news before the week begins.

Before moving on. Coordination links the work of different people and departments so that they pull toward the same goal. Basic activities include shared goals, communication and plans. Structural techniques include the chain of command, rules, liaison persons and meetings. The weekly meeting in the case file is one example.

* * *

WORKED CASE: WHO MAY DECIDE?

We now apply the chapter to the decisions in the case file. The worked case has five parts: Situation, Question, Reasoning, Conclusion and Check. It applies the ideas to a situation. It is an application, not a model answer.

Case file, illustrative. Delegation from 1 March 2026, Meghna and Sons: Rafiq may approve returns up to Tk 5,000, above that Nurul; Tariq may place purchase orders up to Tk 50,000; weekly meeting each Sunday at 9:00 for 30 minutes. Tariq holds staff authority and advises on cash and credit.

Question. Suppose four things happen in one week: a return of Tk 4,800; a return of Tk 6,500; a purchase order of Tk 45,000; and a request for credit from a school. Who may decide each one, and what does each decision show about authority?

Reasoning, part 1: returns. The limit for Rafiq is Tk 5,000. The first return is Tk 4,800, and 4,800 is less than 5,000, so Rafiq may approve it. The second return is Tk 6,500, and 6,500 is more than 5,000, so it goes to Nurul. The words "up to Tk 5,000" mean that a return of exactly Tk 5,000 is also within Rafiq's right.

Reasoning, part 2: the order. The limit for Tariq is Tk 50,000. The order is Tk 45,000, and 45,000 is less than 50,000. Tariq may place it. A further order of Tk 62,000 would exceed the limit by 62,000 - 50,000 = Tk 12,000. The case file does not say who approves above the limit, so the shop should write this down. In an owner-managed shop, the owner is the natural choice, but the file does not state it.

Reasoning, part 3: the credit request. Tariq holds staff authority and advises on cash and credit. He may tell the store manager how large the school's unpaid bill is and whether credit is wise. He may not order the sales assistants to refuse. The line decision stays with the line manager, and Tariq's advice informs it.

Reasoning, part 4: accountability. Rafiq answers to Nurul for the returns he approves, because Nurul delegated that right. Tariq answers to Nurul for the orders he places. Nurul remains answerable to the shop's owners and customers for the whole. The Sunday meeting gives each person a place to explain results and to coordinate.

Conclusion. Rafiq decides the return of Tk 4,800, Nurul decides the return of Tk 6,500, and Tariq may place the order of Tk

work and the people at hand. That question leads to the forces that decide the answer.

These forces are called situational factors, which means features of an organisation's own circumstances. Four are important. The first is size. A shop of seven employees can work with a flat structure and few rules, but a company of seven thousand needs levels and written procedures. The second is the kind of work. Routine work, which repeats every day, suits firm rules. Work that changes often, such as design, needs more freedom.

The third factor is the world outside the organisation. If customers, rivals and laws change slowly, a fixed structure can last for years. If they change quickly, a structure must be able to change with them. The fourth factor is the people. Employees who are skilled and keen to take responsibility can work with a wide span and few rules. Employees who are new or less trained need more guidance and closer supervision.

Behind every structure lies an older idea. **Division of labour** means dividing a large job into smaller tasks done by different people. The Scottish thinker Adam Smith described it in 1776, in his book *The Wealth of Nations*, by the example of a pin factory.⁴ He observed that when pin making is divided into separate operations, each done by a different worker, the workers together produce far more pins than the same people working alone. Division of labour is the reason structures exist at all: once a job is divided, someone must group the tasks and link the people.

Division of labour has benefits and limits. Each worker becomes skilled in a narrow task, time is saved because no one changes from one task to another, and training is short. The limits are real. Workers who repeat a single small task all day may become bored, and a chain of many small tasks needs someone to join the results. That joining is called coordination, and the next part of this book teaches it.⁵

The link between the two ideas is simple to state. The more finely a job is divided, the more coordination is needed to bring the pieces together. A bookshop in which one person does everything needs no coordination at all. A bookshop with ten duties spread over seven people needs a clear arrangement of who tells whom what. Structure is the means by which an organisation carries out both the division and the coordination.

Before moving on. The bureaucratic model values rules and clear levels. The behavioural model values the needs of people. Situational factors such as size, the kind of work, the world outside and the people decide which suits best. Division of labour means splitting a large job into smaller tasks, and it creates the need for coordination.

* * *

⁴ Adam Smith (1723 to 1790) was a Scottish thinker and an early writer on economics. The pin factory is the best-known illustration in his book.

⁵ Coordination is taught in Chapter 14, 'Authority, Delegation and Coordination'. Here it is needed only in its everyday meaning: making separate parts work together.

Situational factors such as size, the kind of work, and the world outside affect the best structure.

The other factors are the world outside and the people themselves.

Division of labour. Dividing a large job into smaller tasks done by different people.

Division of labour is the oldest force: splitting a large job into smaller tasks.

Division of labour raises output, but it creates the need for coordination and can bore workers.

The more finely the work is divided, the more coordination is needed.

The recap fixes the two models, the situational factors, and division of labour.

The case file shows two delegated tasks, each with a money limit.

Two delegated tasks each carry a money limit.

Managers often fail to delegate, and the reasons are common.

Responsibility, authority and accountability must be kept in balance.

Accountability. The duty to explain and answer for results to the person who delegated the work.

A manager who delegates stays answerable to the person above.

Case file, illustrative. Delegation from 1 March 2026, Meghna and Sons: Rafiq may approve returns up to Tk 5,000, above that Nurul. Tariq may place purchase orders up to Tk 50,000.

The case file shows delegation in two forms. The task for Rafiq is approving returns, and the limit is Tk 5,000; above that, Nurul decides. The task for Tariq is placing purchase orders, and the limit is Tk 50,000. A limit in money keeps the manager's risk small, and it tells everyone where the right to decide ends.

Many managers find delegation hard. Some fear that the employee will make mistakes. Some believe they do the work better themselves. Some fear losing control or being needed less. Employees can also resist, because they fear blame or lack the skill. The cure is to match the task to the person, to state the limits plainly and to accept that early mistakes are part of learning.

Three ideas go together in delegation. Responsibility is the duty to do the task. Authority, as we saw, is the right to act so that the task can be done. **Accountability** means the duty to explain and answer for results to the person who delegated the work. Rafiq has the responsibility to handle returns, the authority to approve them up to Tk 5,000, and accountability to Nurul for how well he does it. If a person is given a duty without the matching authority, the task cannot be done.

One point surprises many students. A manager may hand over the task and the authority to do it. The manager still answers to the person above for the final result. Nurul, as owner, remains answerable for the shop as a whole. In this way delegation spreads the work but does not remove the answer owed to the owner or to the customer.

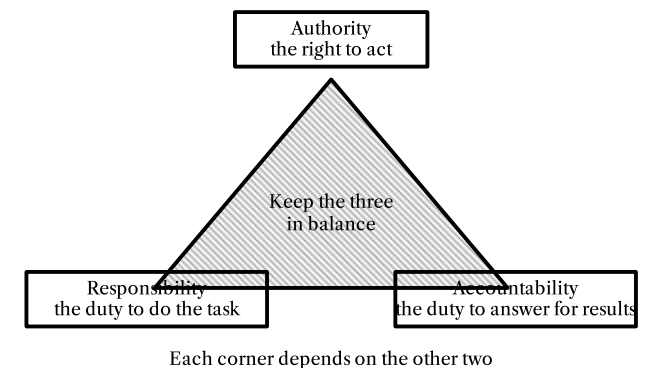


FIG. 14.2. Authority, responsibility and accountability triangle

Read the triangle one corner at a time. Authority is the right to act, responsibility is the duty to do the task, and accountability is the duty to answer for the result. The sides join the corners because each depends on the others. The words in the centre give the rule: keep the three in balance.

PAUSE AND CHECK 14.P2 Rafiq is given the duty to approve returns

The triangle is read corner by corner, with the centre giving the rule.

THINK IT THROUGH

Each question below changes the situation a little more than the one before. Answer them in order.

13.T1 A bookshop owner has 12 employees who all serve customers at the counter. She asks them all to report to her. Give one reason this span may be too wide and one reason it may be acceptable.

13.T2 The shop places a new manager between the owner and the 12 employees, and each of two managers leads 6. Has the structure become taller or flatter? Name one benefit and one cost.

13.T3 A company runs three shops, one in each of three cities, and gives each city its own manager. Name the basis of grouping. Then say what would change if the company grouped by product instead.

13.T4 A small clinic has two doctors, three nurses and one receptionist. Suggest a span for the senior doctor and a basis of grouping, and give your reasons using at least two situational factors.

WHERE PEOPLE GO WRONG

Some students count every person below a manager as that manager's span. The span includes only those who report directly to the manager. A manager with five employees, each of whom leads others, has a span of five.

Some students believe that a flat structure is always better because it is faster. A flat structure can overload its managers. The correction depends on skill and on the work: skilled employees with clear rules can use a wide span, but untrained employees cannot.

Some students believe that one basis of departmentalization is correct for all organisations. Function, product, customer and territory each suit different circumstances, and most organisations use a mixture.

Some students praise division of labour without noticing its cost. Every division of a job creates a need to join the parts again, and a poor structure can lose the benefit of dividing the work.

IN HISTORY

General Motors, the American car maker, was formed in 1908 and grew by joining together several car companies. By 1920 it had many makes, but its structure was poorly organised, and some of its cars competed with one another. Ford's Model T was then the leading car in the United States. In 1923 Alfred P. Sloan became president of General Motors. He had joined the company as a director and vice-president in 1918.

Sloan arranged the company in divisions, one for each car brand: Chevrolet, Pontiac, Oldsmobile, Buick and Cadillac. The brands were planned in a graded range of prices, from the lowest to the

Four situations test the chapter, from familiar to combined.

Mistake one: counting all the people below a manager as the span.

Mistake two: believing that a flat structure is always better.

Mistake three: believing that one basis of grouping is correct.

Mistake four: forgetting that division of labour needs coordination.

Alfred Sloan reorganised General Motors into divisions in the 1920s.

Sloan grouped the company into divisions, each for a car brand, under central control.

The recap of section 14.1.

A sentence to test the reader's grasp of the section.

A concrete picture of a shop shows why one kind of authority is not enough.

Line authority runs down the chain of command from the owner to each employee.

Line authority. The right of a manager to direct the work of employees in the chain of command.

Staff authority is the right to advise, not to command the line's employees.

Staff authority. The right to advise and support line managers, without commanding their employees.

The case file gives one example of staff authority in the shop.

Tariq's advice shows staff authority at work.

Functional authority is a narrow right to direct others in one specialised subject.

Before moving on. Authority is the right to give orders and expect them to be obeyed, and it belongs to the position. Power is the ability to influence others, and it belongs to the person. A manager may have both, or one without the other. Authority works best when the people below accept it.

You should now be able to say: authority comes from the position and stays when the holder leaves, and power comes from the person and leaves with the person.

* * *

14.2 LINE, STAFF AND FUNCTIONAL AUTHORITY

Picture a small shop with an owner, a store manager and a few employees. The owner cannot watch every employee, so the store manager does it. The owner also needs someone to advise on money, and that adviser does not run the shop floor. A second kind of authority is therefore needed. Management names three kinds, and we take them in order.

The first kind is **line authority**, which means the right of a manager to direct the work of employees in the chain of command. The chain of command is the line of positions from the top of the organisation to the bottom, along which orders travel. In a bookshop, the store manager directs the sales assistants, and an assistant answers to the store manager. Some books call these people subordinates, and this book calls them employees. Line authority is the backbone of every organisation.

The second kind is **staff authority**, which means the right to advise and support line managers, without commanding their employees. A staff person is a specialist who helps the line managers. Think of an adviser on money or law. The adviser studies a problem, gives an opinion and may be consulted before a decision. The line manager still decides, and the adviser's opinion carries weight only through its quality.

Case file, illustrative. Delegation from 1 March 2026, Meghna and Sons: Tariq holds staff authority. He advises on cash and credit.

The case file shows the idea. Tariq is responsible for accounts and online orders, and he advises on cash and credit. He may tell the store manager that a school's unpaid bill is large and that further credit is risky. He does not order the sales assistants to refuse the school. The line manager hears the advice and decides.

A third kind sits between the first two. We may call it functional authority. It means the right of a staff specialist to direct other people's work, but only in one specialised subject. For example, a specialist in safety may order every department to lock the store-room each night. The specialist commands in that one subject and in no other. Functional authority is used where a rule must be the same across the organisation.

You will need: Chapter 12, 'Organizing and Types of Organization', section 12.1 'What Organizing Is'; Chapter 13, 'Structure: Span, Departments and Forces', section 13.1 'Span of Management'.

A sealed order raises the question of why anyone obeys it.

Two different reasons for obeying are easy to confuse.

The same puzzle appears in a bookshop on an ordinary morning.

The chapter has five parts and then applies them to one shop.

A general sits in his tent before dawn. He writes an order, seals it and hands it to a young messenger. The messenger bows and rides into the dark. Later that day, a thousand soldiers will move because of the paper in his pocket. None of them has met the general, and none of them has seen the paper. Why do they obey?

Perhaps they obey because they fear the general. Perhaps they obey because they respect him, or because the order comes from the office he holds. These are different reasons, and the difference matters. A soldier who obeys out of respect would stop obeying if the respect faded. A soldier who obeys the office would obey whoever held it.

The same puzzle appears in a bookshop. A store manager asks the cashier to count the till at six o'clock, and the cashier does it. A friendly colleague asks the cashier for a favour, and the cashier does that too. Both requests succeed, yet the reasons are not the same. One request rests on the manager's position. The other rests on liking and trust.

This chapter separates these reasons and gives each a name. It shows how the right to direct work is shared among managers, advisers and specialists. It explains how a manager hands a task to another person, how much decision-making stays at the top, and how an organisation keeps separate work moving toward one goal. We follow a Dhaka bookshop and, at the end, a Brazilian factory that went further than most.

* * *

14.1 AUTHORITY AND POWER

Many students find these two words confusing, because in daily speech they mean nearly the same thing. In management they are different ideas, and a mix-up leads to wrong conclusions. We take authority first, then power, then compare them. Go slowly, and use the examples to test each idea.

Begin with a street in Dhaka. A traffic officer in uniform raises one hand, and the cars stop. The officer is not stronger than the drivers, and the drivers may not know the officer's name. The cars stop because of the officer's position. The uniform shows that the position exists, and the law supports it.

The traffic officer's right has a name. **Authority** means the right to give orders and to expect them to be obeyed, given by position. When a store manager tells a cashier to count the till, the manager uses authority. The shop owner gave the position its authority, and the cashier accepts that it belongs to the position. Chapter 12 showed that organizing creates positions. Authority is what makes a position able to direct other positions.

GO SLOWLY HERE.

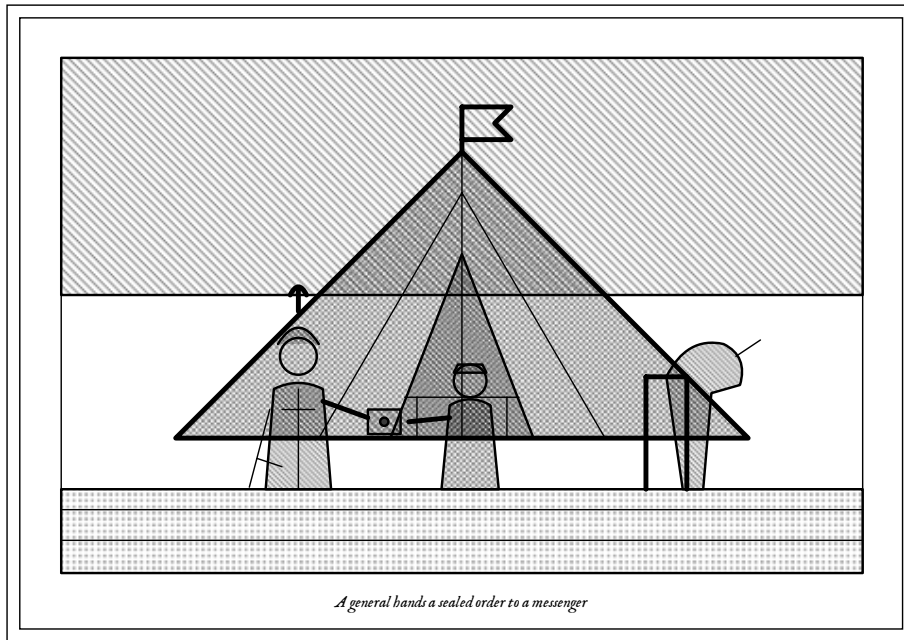
Authority and power are easily confused, so we take them one at a time.

A traffic officer's raised hand stops cars because of the position, not the person.

Recall: Chapter 12, 'Organizing and Types of Organization', section 12.1 'What Organizing Is' — organizing.

Authority is a right that comes with a position and not with the person.

Authority. The right to give orders and to expect them to be obeyed, given by position.



CHAPTER XIV

Authority, Delegation and Coordination

Why does one person obey an order, and another only a request?



This chapter explains how the right to direct work moves through an organisation. It separates authority from power, shows the three kinds of authority, and teaches how a manager delegates a task, how decisions are spread or kept at the top, and how coordination holds separate work together. A small bookshop and a Brazilian factory serve as cases.

IN HISTORY

The American company 3M, based in Minnesota, makes many products from adhesives to abrasives. In 1968, a scientist named Spencer Silver was working at 3M's headquarters in Maplewood, Minnesota, on a strong adhesive. He produced the opposite: a weak adhesive that held lightly and could be pulled off and stuck again. He believed that it was unusual and useful, but for several years he could not find a use for it.

Another 3M employee, Art Fry, sang in a church choir. His paper bookmarks kept falling out of his hymnbook. Fry remembered Silver's adhesive, and he saw that it could make a bookmark that stayed in place without damaging the page. He then saw that it would work better as a note. Sources date his idea to the early 1970s. Market tests in several cities gave mixed results, and 3M nearly stopped the product, but in 1980 Post-it notes were made available to customers in the United States.

The case shows both ideas of this chapter. Silver's adhesive was a creative result, new but without a known use. Fry's idea joined it to a need, and the work of testing, making and selling turned it into an innovation. The company allowed its scientists to share ideas with each other, and this freedom helped the idea to travel from one person to another.

REVIEW QUESTIONS

- 15.1 In your own words, state what is meant by human factors, and name the three levels at which they act.
- 15.2 Tell a group from a team. Give one example of a group that is not a team, and one example of a team.
- 15.3 Name two ways in which a manager can stop creative ideas, and two ways of encouraging them.
- 15.4 Explain the difference between creativity and innovation, using the reading corner at Meghna and Sons or another example.

Post-it notes grew from a weak adhesive found at 3M in 1968 and were launched in 1980.

Art Fry linked the weak adhesive to a bookmark problem, and the company tested the product and sold it in 1980.

The case shows creativity first, then the long step to innovation.

Before moving on: the control process sets a standard, measures, compares and corrects, and the findings return to planning.

Control can act before, during or after the work.

Feedforward control. Control that acts before work begins, to prevent problems.

Feedforward control acts before the work begins, to prevent problems.

Concurrent control. Control that acts while the work is being done.

Concurrent control acts while the work is going on.

Feedback control. Control that acts after the work is done, using the results to correct later work.

Feedback control acts after the work is done and uses the results to improve later work.

The table compares the three types on the moment, the target and the limit.

The choice among the types

Before moving on. The control process has four steps: set a standard, measure performance, compare it with the standard to find the deviation, and correct. The deviation is actual minus standard. A correction must be weighed against its cost.

* * *

18.3 TYPES OF CONTROL

THREE MOMENTS OF CONTROL

Picture a cook. Before cooking, the cook checks that the rice is clean and the oil is fresh. While cooking, the cook tastes the food and lowers the flame if it burns. After cooking, the cook judges the finished dish and remembers to use less salt next time. The cook has controlled at three different moments. Managers do the same, and each moment has a name.

The first is **feedforward control**. Feedforward control acts before work begins, to prevent problems. It checks the inputs: people, materials, money and plans. Training new employees before they serve customers is an example, and so is checking that an order is within budget before it is placed. Its strength is that a problem prevented costs nothing to repair. Its weakness is that it needs good forecasts, and a forecast can be wrong.

The second is **concurrent control**. Concurrent control acts while the work is being done. It checks the process as it happens, and it corrects at once. A supervisor who watches a cashier in the first week and gives help on the spot is using it. A security tag that sounds an alarm as a book leaves the shop is another example, since it acts during the event. Its strength is speed. Its weakness is cost, because someone or something must watch all the time.

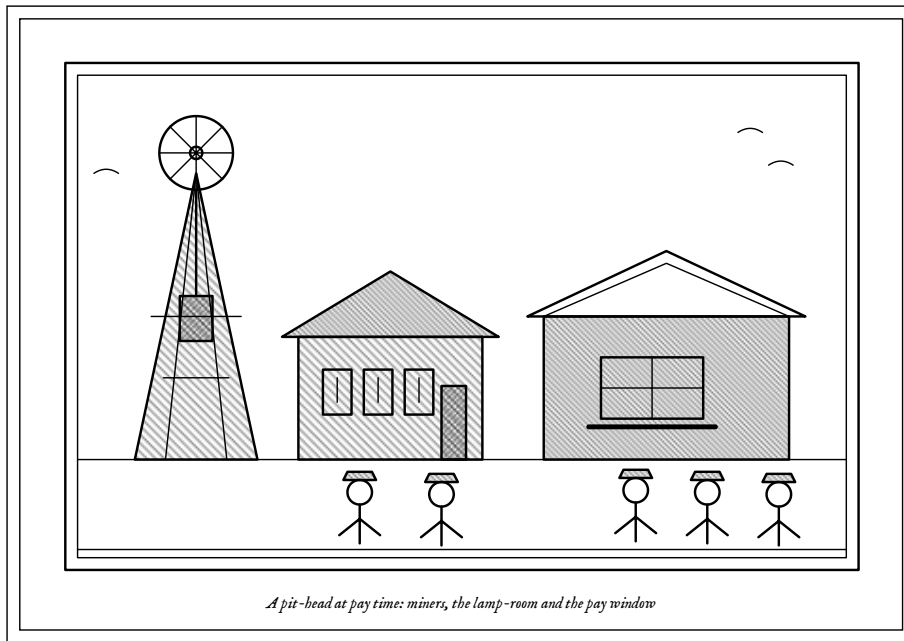
The third is **feedback control**. Feedback control acts after the work is done, using the results to correct later work. The year-end stock count of the case file is of this kind, and so is a review of last month's sales. It is the easiest control to apply, because results are plain to see. But it has a clear limit: it cannot undo what has already happened. A loss found at year end stays lost, and only future losses can be reduced.

The table below compares the three types. Read each row across: the first cell names the type, and the other cells say when it acts, what it checks and what limits it.

THREE TYPES OF CONTROL

TYPE	WHEN IT ACTS	WHAT IT CHECKS	MAIN LIMIT
Feedforward	Before work	Inputs and plans	Depends on forecasts
Concurrent	During work	The process	Costs constant attention
Feedback	After work	Results	Too late to undo the past

How should a manager choose? When a mistake is costly or cannot



CHAPTER XVI

Motivation

Why does one person work with care, and another only with the clock?



Two employees receive the same pay and the same tasks, yet one gives far more effort. This chapter explains the inner pushes behind work, compares the best-known need theories, and shows how a manager's assumptions shape the way people are led.

18.2 THE CONTROL PROCESS

SETTING STANDARDS

How does a teacher know whether a student passed? The teacher first decides the pass level, and then compares the work with it. Control follows the same order. Before work begins, the manager decides what level of result is acceptable. Only then can results be judged.

Such a level is called a **standard**. A standard is a level of performance set in advance as the measure of what is acceptable. A stall owner may set a standard that no more than 2 in every 100 loaves are wasted. Standards come from objectives and plans, and they are often stated in four ways: in quantity (units sold), in quality (errors allowed), in time (hours to finish), and in cost (taka spent).

A good standard is measurable, so that everyone can tell whether it was met. It is also fair, so that employees believe it can be reached. A standard that nobody can meet teaches people to ignore it. The key result areas tell the manager where standards matter most.

Case file, illustrative. The control record of Meghna and Sons sets a stock loss standard of 1% of stock value. Stock at cost is Tk 3,500,000, so the standard allows a loss of Tk 35,000.

MEASURING PERFORMANCE

A standard is useful only if real results are measured. A manager must decide what to measure, how often, and by whom. Results may be counted, weighed, timed or reported. Good measurement is accurate and timely: a figure that arrives six months late can no longer change the result.

Case file, illustrative. In 2025 the actual stock loss of Meghna and Sons was Tk 56,000. The record also shows a weekly count of 200 titles.

The weekly count of 200 titles is a sample: a small part of the stock, counted often. It would be costly to count every title every week, but a sample gives an early signal. This is the economical principle at work.

COMPARING

Comparing means placing the actual result beside the standard and finding the difference. This difference is called the *deviation*. A deviation is the amount by which the actual result differs from the standard. We calculate it in one way, so that signs never confuse us: actual minus standard.

Given. A stall holds stock worth Tk 100,000. The standard loss is 2% of stock value. The actual loss is Tk 3,000. *Find.* The deviation. *Formula.* In words: deviation equals actual result minus standard.

The control process has four steps, and the first is to decide what counts as good.

Standard. A level of performance set in advance as the measure of what is acceptable.

Standard. Word in use. In daily life, standard may mean ordinary or average, as in a standard model. In control, a standard is a level that has been chosen in advance as the measure.

A standard is a level of performance chosen in advance.

A standard must be measurable and fair, or it cannot guide anyone.

The case file's standard is a small percentage of the stock value.

The second step is to find out what actually happened.

The case file measures loss over the year and also counts a sample every week.

A weekly sample gives an early signal at low cost.

The third step compares the actual result with the standard.

A worked example with small numbers makes the method easy to follow.

only the behaviour it produces. It differs from ability, which is what a person can do, and from force, which is what a person is made to do.

NEED

Where does the push come from? Consider hunger. At midday, after a morning without food, you feel a discomfort, and you walk to the kitchen. The discomfort is a lack. Something is missing, and you want to fill it. The same pattern holds for other lacks, such as the lack of company when you are alone, or the lack of respect when others ignore your work.

This lack is called a **need**. A need is a lack that a person feels and wants to fill. A person who feels the need for income takes a job. A person who feels the need for friendship joins a club. Because needs differ from person to person, the same offer can move one employee and leave another untouched.

A need leads to a tension inside the person. Writers on motivation often call this tension a drive, and we use the word in that sense only. The tension is uncomfortable, so the person acts to remove it. The next section shows how need, drive, action and goal join in one loop. For now, remember only that a need comes first.

Before moving on. A need is a lack that a person feels and wants to fill. It creates a tension, called a drive, and the tension pushes the person to act. Needs differ between people, so one offer will not move everyone in the same way.

WHY MANAGERS MUST UNDERSTAND IT

Why should a manager study something that cannot be seen? The answer lies in the work of leading. In Chapter 3, leading was one part of the management process: it means guiding people so that they work toward the goals of the organisation. A manager who leads without understanding motivation is like a driver who does not know what the engine needs.

Motivation affects at least three results. It affects productivity, because motivated employees usually produce more from the same time. It affects effectiveness, because motivated employees are more likely to work on the right tasks, and not merely on any task. And it affects who stays. Employees whose needs are not met often look for work elsewhere, and replacing them costs time and money.

Case file, illustrative. In the 2025 staff record of Meghna and Sons, 2 of 7 employees left. Total wages in 2025 were Tk 2,940,000, an average of Tk 420,000 a year per employee. The record states the numbers and does not state the reasons.

Managers often respond to motivation with an incentive. An incentive means a reward offered to encourage a person to act in

A push begins with a lack, which we call a need.

Need. A lack that a person feels and wants to fill.

Need. Word in use. In daily life, to need something may mean that one must have it, as in "I need a pen". In this chapter, a need is the lack itself, felt by the person.

A need is a lack that a person feels and wants to fill.

Drive. Word in use. In daily life, to steer a vehicle, or a strong push toward a task. In the study of motivation, the inner tension that a need creates, which pushes a person to act.

A need creates a tension, called a drive, that pushes the person to act.

Before moving on: a need is a felt lack, and it creates the tension that starts action.

Managers get results through people, so people's motivation affects every result.

Recall: leading, Chapter 3, section 3.1 'The Management Process'.

Motivation affects productivity and effectiveness, and it affects who stays.

The staff record shows that people left but not why.

Incentive. A reward offered to encourage a person to act

This chapter builds on two earlier sections about planning and objectives.

A plan was made, a year passed, and the result was a surprise.

The question has an answer: she could have known early, if she had checked.

Engineers solved this problem for machines long before managers solved it for people.

A business needs the same pattern, and this chapter explains it.

You will need: Chapter 7 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'; and Chapter 9 'Objectives and Management by Objectives', section 9.1 'Objectives'.

Imagine a shopkeeper who plans carefully in January. She decides how much stock to buy, how much to sell, and how much profit to earn. Twelve months later she counts the stock, and she finds that goods worth far more than expected have disappeared. The plan was sensible. The shopkeeper worked hard. Yet nothing in the year warned her, and now the loss cannot be recovered. She asks herself a painful question: when could I have known?

The answer is: much earlier. If she had counted a part of the stock each week, the first small shortage would have appeared in the first month. She could have found the cause, such as a door left open or a mistake in recording sales, and she could have acted while the loss was still small. The plan did not fail. The checking failed, because there was none.

Engineers met the same problem with steam engines. In a Victorian engine-room, a steam engine that runs too fast may damage itself, and one that runs too slowly cannot do its work. So engineers fitted a device called a governor. The governor senses the speed and adjusts the flow of steam, so that the engine returns to its right speed without anyone touching it. A gauge shows the engineer how the engine is doing. The pattern is: a level to aim for, a reading, a comparison, and an adjustment.

A business needs the same pattern. This chapter shows how managers apply it to stock, money, time and people. It also shows that the pattern has three moments: before work, during work and after work. Last, it explains why even a good system fails when people resist it or when no one truly checks. This is the final function of management, and it closes the cycle that began with planning.

* * *

18.1 WHAT CONTROLLING IS

CONTROLLING

Think about driving a car. You choose a destination (the plan). During the drive you watch the road, the speed and the fuel. If the car drifts toward the edge, you turn the wheel. You do not wait until you arrive to find out that you left the road. This everyday habit of watching and adjusting is exactly what managers do with an organisation.

This function is called **controlling**. Controlling means checking results against plans and taking action to correct any difference. A shop manager who compares weekly sales with the sales target, and who changes the display when sales are low, is controlling. Notice that controlling has two halves: the check, and the action. A check without action is only an observation, and action without a check is guessing.

Plans stay useful only when results are compared with them.

Controlling. Checking results against plans and taking action to correct any difference.

Control. Word in use. In daily life, to control a person or a thing often means to have power over it. In management, control means checking results and

This idea is called the **need hierarchy**. The need hierarchy is Maslow's idea that human needs rank in five levels, and a higher need matters only after the lower ones are met. The word *hierarchy* means a ranking from lower to higher. Picture a stair: you stand on the first step before you climb to the second. The five levels are listed below, from the lowest to the highest.

To read the table, take one row at a time. The first cell gives the level, the second says what the person lacks at that level, and the third gives an example from the workplace.

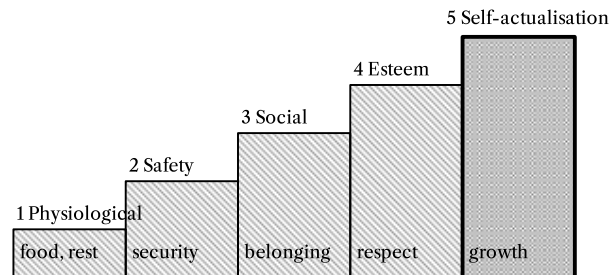
MASLOW'S FIVE LEVELS OF NEED

LEVEL	THE NEED	EXAMPLE AT WORK
1 Physiological	Food, water, shelter, rest	Wages large enough to buy food and pay rent
2 Safety	Security and freedom from danger	A steady job; a safe building; a fair notice period
3 Social	Belonging, friendship, acceptance	Being part of a friendly team
4 Esteem	Respect from others and self-respect	Praise, a title, trust with responsibility
5 Self-actualisation	Becoming all that one can be	Learning new skills; using one's abilities fully

The last level needs a plain explanation. *Self-actualisation* means becoming everything that one is able to become.¹ A musician who must make music, a teacher who wants every pupil to learn, and a trader who builds a business larger than anyone expected are examples. This level is never fully reached, because there is always more to learn. Maslow thought that it matters to a person only after the four lower levels are mostly met.

The figure shows the same levels as a stair. To read it, begin at the bottom step, which is the lowest need. Each step rises above the one before it, and the label on each step names the need. Moving upward means moving toward needs that matter more once the lower steps are secure.

Higher needs matter once lower needs are met
Read from the bottom step upward



¹ Maslow wrote *self-actualization* with a z. This book uses British spelling.

Need hierarchy. Maslow's idea that human needs rank in five levels, and a higher need matters only after the lower ones are met.

The need hierarchy ranks five levels of need, from lowest to highest.

The table gives the five levels, the need at each level, and a shop example.

Self-actualisation means growing toward one's own full ability.

The figure shows the five levels as steps of a stair.

rescue are well recorded, and they show a leader whose choices kept a group together under extreme danger.

REVIEW QUESTIONS

The review questions test each main idea of the chapter.

17.1 Define leadership in your own words, and name its three parts.

17.2 Give two differences between a manager and a leader, and explain how one person can be both.

17.3 Name the five sources of a leader's power, and explain referent power with an example of your own.

17.4 Match each situation to the style that fits best, and give one reason: (a) a flood warning reaches a warehouse; (b) a team of skilled designers needs to choose a new logo; (c) a group of experienced accountants works on a long project with clear goals.

17.5 Explain the difference between the trait approach and the situational approach, and say which one the Tannenbaum and Schmidt continuum supports.

To read it, follow the arrows from the need, around the loop, and back to the start. The words on each arrow tell you what moves the person from one part to the next.

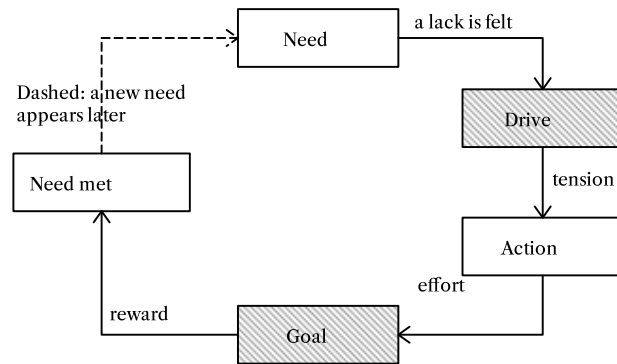


FIG. 16.2. The needs-goal model as a loop

Now place the loop in a workplace. An employee feels a need for more income. The tension leads to action: the employee works carefully to help the shop meet its sales target. The goal is the bonus of one month's pay. When the bonus is paid, the need is partly met, and a new need may come forward. If the goal is never reached, the loop breaks. The employee may try another action, lower the goal, or become frustrated and leave.

Before moving on. In the needs-goal model, a need creates a drive, the drive leads to action, and action leads to a goal. Reaching the goal meets the need and ends the tension. The loop breaks when the goal seems out of reach or the reward does not meet the need.

You should now be able to say: *a felt need creates tension, tension leads to action toward a goal, and reaching the goal ends the tension.*

THE TWO-FACTOR VIEW

Think about a classroom. Poor light and noise will make students unhappy. Good light and quiet, however, will not by themselves make them eager to learn. Removing the bad condition does not supply the push. Frederick Herzberg, an American psychologist, noticed a similar pattern at work. In a study with Bernard Mausner and Barbara Snyderman, published in 1959 as *The Motivation to Work*, he found that two different sets of job features were linked to feelings about work.

The first set deals with the conditions around the job: pay, working conditions, company rules, supervision and job security. Herzberg called these hygiene factors. When they are poor, people are unhappy. When they are good, people stop complaining, but they are not necessarily eager. The second set deals with the work itself: achievement, recognition, interesting tasks, responsibility and the chance to advance. He called these motivators. When they are

At work, the same loop describes how an incentive leads to effort.

Before moving on: a need leads to a drive, to action and to a goal, and meeting the goal ends the tension.

You should now be able to describe how an unmet need becomes action.

Herzberg found that some job features prevent complaints but do not create enthusiasm.

The first set, hygiene factors, prevents unhappiness; the second set, motivators, builds enthusiasm.

Before moving on: a style is a leader's usual way; the best leaders can change style, and modern ideas add feelings, inspiration and development.

The worked case tests the choices in the case file against the three forces of the continuum.

The situation restates the facts of the case file and nothing more.

The question asks how to judge each choice with the three forces, using only what the file supports.

The reasoning applies the forces in the manager, the employees and the situation to each choice.

The conclusion and the check show what can and cannot be said from the file.

because people learn by doing real work. Coaching takes time, and it suits a person who wishes to learn. It fits poorly where the task is urgent and no time remains for teaching.

Before moving on. A leadership style is a leader's usual way of making decisions and treating followers. The three classic styles are autocratic, participative and free-rein, and each fits some situations. Emotional intelligence is the ability to notice, understand and manage feelings. Transformational leadership inspires followers to look beyond self-interest. Coaching leadership develops people through guidance and feedback.

* * *

WORKED CASE: MATCHING STYLE TO SITUATION

Case file, illustrative. We now apply section 17.2 and section 17.3 to the layout change. We take it in the order *Situation, Question, Reasoning, Conclusion, Check*, so that each step is announced and explained.

Situation. On 3 March 2026 the bookshop changed its layout. Nurul decided and told the staff. Rafiq asked the 3 sales assistants first and then decided. Both styles were used within one week. The file does not say what the change was, why each manager chose as he did, or what the results were.

Question. Using the three forces of Tannenbaum and Schmidt, under what conditions would each choice be wise?

Reasoning. First, name each choice. Nurul used point 1 of the continuum: decide and announce. Rafiq used point 5: ask for suggestions and then decide. Second, apply the three forces. For point 1, the situation should favour speed or a clear single view; the employees should accept direction; the manager should be confident in his own judgement. For point 5, the employees should know something the manager does not, such as how customers move through the shop; the time should allow a short discussion; and the manager should be willing to hear views he may not follow. Third, notice what the file cannot tell us. We do not know whether Nurul's change was urgent, or whether the assistants knew more about the shelves than Rafiq did. A judgement on either choice would therefore be a guess.

Conclusion. Both choices are acceptable patterns, and each is wise under some conditions. The file shows that the shop's leaders used two points of the continuum within one week. It does not show which was better. *Check.* A good test of the reasoning is that it names the missing facts: the purpose of the change and its results. A conclusion that picked a winner would claim more than the file supports. The next step for a manager is the one the continuum suggests: ask what the three forces say about this decision, and then choose the point.

* * *

Before moving on. Theory X assumes that people dislike work and must be directed and watched. Theory Y assumes that people can enjoy work and seek responsibility. Both are assumptions held by managers, and a good manager matches the approach to the person and the task.

* * *

WORKED CASE: READING THE 2026 STAFF PLAN

Situation. Case file, illustrative. In 2025, 2 of 7 employees left Meghna and Sons. The 2026 plan has two measures: a bonus of one month's pay if the sales target is met, and training for the cashier for a supervisor post. *Question.* Which needs does each measure touch, which theory of management does each suggest, and what should the owner-manager do next?

Reasoning. The bonus is an incentive in money. Money buys food, shelter and security, so it touches the physiological and safety levels. In Herzberg's terms, pay is a hygiene factor, so it can reduce complaints but may not build lasting enthusiasm. The training offer gives responsibility and a chance to learn, so it touches esteem and self-actualisation. In Herzberg's terms, it is a motivator. As for assumptions, a reward tied to a target says little about whether the owner trusts people. The training offer assumes that the cashier can take on responsibility, which fits Theory Y.

Conclusion. The two measures reach different levels of need, and a plan that uses both is wider than a plan that uses only one. But the record does not say why two employees left, so the owner-manager cannot yet know which need was unmet. The next step is to ask the remaining employees what they want from their work, and not to assume. *Check.* Each statement uses only the case facts and the theories of this chapter. The needs-goal loop supports the conclusion: if the target seems impossible, the bonus will not start the loop.

* * *

SUMMARY

Motivation is the inner push that makes a person choose to act and keep acting toward a goal. It begins with a need, a lack that a person feels and wants to fill. An incentive is a reward that works only when it meets a need. Maslow's need hierarchy ranks needs in five levels. The needs-goal model shows a loop from need to drive, action and goal. Herzberg separated job features that prevent unhappiness from those that build effort. Theory X and Theory Y are two sets of assumptions that managers hold about people.

THINK IT THROUGH

16.T1 In the opening puzzle, two assistants have equal pay and skill, yet one works harder. Using the need hierarchy, suggest two dif-

Before moving on: Theory X and Theory Y are two sets of assumptions, and the best approach depends on the person and the task.

The worked case applies the theories to the facts of Meghna and Sons.

The reasoning places each measure on the stair and then asks what is assumed.

The conclusion warns that the measures help only if they match the needs that employees really feel.

The summary gathers the main ideas.

The continuum offers no best point; the right point depends on forces in the manager, the employees and the situation.

Before moving on: the trait approach seeks the qualities of leaders, and the situational approach says the right way to lead depends on circumstances.

Two managers in one shop handled one change in two ways within a single week.

Why did one change bring two ways of deciding? The answer is that leaders have usual ways of behaving, called styles.

Recall: leadership, section 17.1 'Leader and Manager'.

A leadership style is a leader's usual way of making decisions and treating followers.

Style. Word in use. In daily life, a fashion or manner, such as a style of dress. In management, a leader's usual pattern of behaviour toward followers.

Leadership style. The usual way a leader makes decisions and treats followers.

Lewin and his colleagues

Tannenbaum and Schmidt did not say that one point is best. They said that the right pattern depends on three forces. The first is the forces in the manager: his values, his confidence in the employees and his comfort with uncertainty. The second is the forces in the employees: how much they wish for freedom, how well they know the work and how ready they are to take responsibility. The third is the forces in the situation: the type of organisation, the time available and the nature of the problem. When time is short, as in an emergency, a pattern near point 1 is often wise. When employees are skilled and time is available, a pattern nearer point 6 may bring better decisions and more commitment.

Before moving on. The trait approach searched for the personal qualities of leaders and found no list that works in every situation. The situational approach holds that effective leadership depends on the leader, the followers and the situation. Tannenbaum and Schmidt, in 1958, described a continuum of seven patterns, from the manager who decides and announces to the group that acts within limits. No point on the line is best in every case.

* * *

17.3 STYLES AND MODERN IDEAS

Case file, illustrative. Meghna and Sons, the family-run bookshop in Dhanmondi, Dhaka, changed the layout of its shop on 3 March 2026. Nurul Meghna, the owner-manager, decided on the change and told the staff. Rafiq Meghna, the store manager, asked the 3 sales assistants for their views first and then decided. Both ways of handling a decision were used within one week.

Why would two members of one family, in one shop, handle a similar change in two ways? One answer is that each person has a usual way of making decisions and treating followers. A leader's usual way has a name: the leadership style. The case file records two decisions and does not tell us why each manager chose as he did, so we cannot judge which choice was better. We can, however, describe what each choice was.

A **leadership style** means the usual way a leader makes decisions and treats followers. For example, a leader who nearly always decides alone and then informs the group has a different style from a leader who nearly always asks first. The word *usual* is important. A style is a habit and not a rule, and a skilled leader can step away from the habit when the situation calls for it.

In 1939 the German-born psychologist Kurt Lewin and two colleagues, Ronald Lippitt and Ralph White, reported their experiments with boys' clubs in 1939. The names of the three styles come from later textbooks, and they describe the results in simple form.

16.7 State the assumptions of Theory X and of Theory Y. Describe one situation where Theory X suits better.

16.8 Meghna and Sons lost 2 of 7 employees in 2025. Why should the owner-manager ask employees before choosing an incentive?

A leader's power can come from five sources, and one of them, liking and admiration, is called referent power.

Referent power rests on liking and admiration, and it often lasts longer than power from rewards or punishment.

Referent power. Power that comes from other people's liking and admiration for a leader.

People follow a leader who helps them meet their needs, which links leadership to motivation.

The owner, the manager, the employee and the customer each see leadership from a different position.

Before moving on: leadership is influence toward group goals, it differs from management, and it rests on several kinds of power.

People once believed that leaders are born with special

Why do people accept a leader's influence? The answer lies in power, the ability to influence the actions of others, which Chapter 14 separates from authority. In 1959 two American social psychologists, John French and Bertram Raven, listed five sources of power.¹ The first is *legitimate* power, which comes from a position. The second is reward power: the leader can give something people value, such as a bonus or a better shift. The third is coercive power: the leader can punish, for example by a warning. The fourth is expert power: people follow because the leader knows more. The fifth is referent power, which the next paragraph defines.

Referent power means power that comes from other people's liking and admiration for a leader. For example, a sales assistant whom colleagues respect and wish to resemble can influence them without any reward to offer. The first four sources can be taken away: a position can end, a bonus can be cancelled. Referent power belongs to the relationship, and it survives such changes. Even so, it has limits. A leader who relies on liking alone may avoid hard decisions to stay popular. Coercive power gets obedience, but it rarely gets commitment, because people who obey from fear do the minimum.

Leadership connects to motivation, which Chapter 16 explains. People follow willingly when they believe that the leader helps them to meet their needs. A leader who sees which need matters most to each person, whether pay, security, belonging or a chance to grow, can influence that person more easily. The need hierarchy is one way to think about this question. A leader who ignores people's needs may still hold authority, but the motivation of the group will be weak.

Each person sees leadership from a different position. The owner sees a way to turn a small number of managers into a strong team. The manager sees a skill that makes delegation safer, because people who follow willingly can be trusted with more work. The employee sees whether the person in charge understands and respects the work. The customer sees the result: a shop whose employees are led well shows it at the counter, in service that is steady and willing.

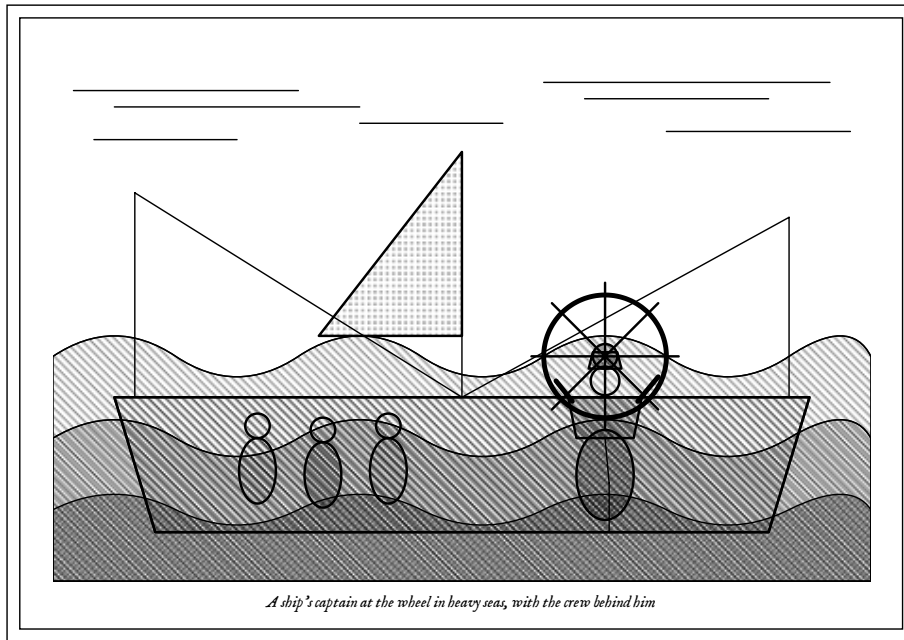
Before moving on. Leadership is the process of influencing people to work willingly toward group goals. It involves a leader, followers and a situation. A manager holds a position; a leader holds influence; one person may be both. Leader power has five sources: position, reward, punishment, expert knowledge and referent power, which is liking and admiration.

* * *

17.2 APPROACHES TO LEADERSHIP

In the early twentieth century, many writers held a simple belief: leaders are born, and one can recognise them by their qualities.

¹ French and Raven published their list in 1959. The names they gave to the five sources are still used in books on management.



CHAPTER XVII

Leadership

Why do some people attract followers, and others only obedience?



This chapter explains what leadership is, how a leader differs from a manager, and where a leader's power comes from. It compares the main approaches and styles of leadership and follows one bookshop through a change in its layout.

Two managers hold the same title and the same authority, yet their employees behave very differently.

Two tempting answers, talent and kindness, are each partly wrong.

A captain in a storm shows that authority puts a person in charge, while something more keeps the crew steady.

The chapter moves from the meaning of leadership, to the approaches, to the styles and modern ideas.

A group of friends planning a trip shows leadership appearing without any title.

YOU WILL NEED

Chapter 16, 'Motivation', section 16.1 'What Motivation Is'; and Chapter 14, 'Authority, Delegation and Coordination', section 14.1 'Authority and Power'. Chapter 16 explains why people choose to act and keep acting. Chapter 14 explains authority, which comes with a position, and power, which is a wider idea. This chapter uses both ideas to explain why people follow one person and not another.

Imagine two shops. Each has a store manager with the same title, the same pay and the same authority. In the first shop, employees do what the manager says, at the time he says it, and nothing more. When he leaves the room, the work slows. In the second shop, employees report problems before the manager asks, and they stay late before a busy week without being told. The title is the same, and the authority is the same. Something else differs. What is it?

One tempting answer is that the second manager was born with a gift. Another is that the second manager is a kinder person. Both answers contain a little truth, and both fail as a full explanation. People have studied this question for more than a hundred years, and their answers have changed several times. This chapter follows those changes, so that you can judge each answer for yourself.

Picture a ship in a storm. The captain at the wheel holds authority from the shipowner. In the storm, however, the crew do not obey because a contract says so. They obey because they trust him: he knows the sea, he stays calm, and he cares whether they live. His authority put him at the wheel. Something else holds the crew together. That something has a name, *leadership*, which section 17.1 defines.

Section 17.1 defines leadership, separates it from management, and shows where a leader's power comes from. Section 17.2 describes two approaches that explain why some people lead well, and a famous continuum of leader behaviour. Section 17.3 describes the styles of leadership and three modern ideas. Along the way, we follow a bookshop in Dhaka through a change that two of its managers handled in two different ways. Many students find this subject confusing, because the word *leader* is used loosely in daily talk. We shall use it with one meaning only.

* * *

17.1 LEADER AND MANAGER

Begin with a small, familiar case. A group of six friends plans a weekend trip. Nobody is the owner, nobody is the boss, and nobody has a title. Within an hour, one friend has proposed the dates, listened to objections, settled an argument and persuaded the group to share the costs. The others follow her plan, and they do so willingly. She holds no authority at all. What she holds is influence, and the group's decision to accept it.

Some students believe that any difference from the standard must be corrected at once. A small, temporary deviation may need only watching. A manager who reacts to every small change wastes effort and may unsettle the employees.

Some students believe that measuring is the whole of control. Without action to correct a deviation, a check changes nothing.

Some students believe that feedback control is enough because its figures are exact. It arrives after the loss, and it cannot undo it. Feedforward and concurrent control act earlier.

Some students believe that checking everything is wise. Control costs money and can discourage employees. The aim is control that costs less than the loss it prevents.

Another error is to think that every deviation needs a strong response.

Another error is to think that a check alone is enough.

A third error is to think that feedback control is the best because it is accurate.

A last error is to think that more control is always better.

IN HISTORY

Barings was Britain's oldest merchant bank, founded in 1762. In 1992 it sent a young trader, Nick Leeson, to run its futures trading in Singapore. He also oversaw the records of his own trades, so the person who traded was also the person who reported the trades. When a discrepancy in the accounts was raised in January 1995, it was Leeson who gave the explanation, and for a time it was accepted.

By February 1995 the hidden losses amounted to about £827 million, more than the bank's capital. Barings went into administration on 26 February 1995, and the Dutch group ING bought it on 6 March for one pound, taking on its debts. Leeson was sentenced in Singapore in December 1995 to six and a half years in prison. A Bank of England inquiry reported in July 1995 and found failings by management and weak control. The lesson for this chapter is plain: where doing and checking sit in one pair of hands, no standard, report or comparison can protect the organisation.

Barings Bank, in 1995, shows how weak control can destroy a strong organisation.

The losses grew in secret until the bank collapsed on 26 February 1995.

REVIEW QUESTIONS

- 18.1 Define controlling and explain its two halves.
- 18.2 Name the four steps of the control process in order, and say what each does.
- 18.3 Define standard, and give a standard in quantity, in time and in cost for a bookshop.
- 18.4 A stall has stock worth Tk 200,000 and a standard loss of 1.5%. The actual loss is Tk 4,200. Find the standard in taka and the deviation.
- 18.5 Place each action as feedforward, concurrent or feedback control: training a new cashier before the first day; watching a new cashier at the till; reviewing last month's sales figures; an alarm on a door.
- 18.6 Give one strength and one limit of each of the three types of control.
- 18.7 State three requirements of effective control and two barriers to control.

What does a manager actually do, and how is it done well? This treatise answers from the beginning. It sets out the nature and functions of management, then follows the manager's work through planning, organising, staffing, directing and controlling. Each chapter opens with a puzzle, closes with review questions, and needs no earlier knowledge.

GLOSSARY

Accountability. The duty to explain and answer for results to the person who delegated the work. It stays with the person who must answer, even when the task has been handed on. For example, a store manager reports returns to the owner. (*Chapter XIV*)

Alternative. One of several possible courses of action from which a choice is made. A manager lists alternatives and weighs each one before choosing. Example: order all the books at once, order half now and half later, or order only what schools have promised. (*Chapter VII*)

Authority. The right to give orders and to expect them to be obeyed, given by position. It belongs to the post and passes to each new holder. For example, a store manager may order a till count. (*Chapter XIV*)

Budget. A plan that states expected income and spending in money terms for a period. It turns plans into figures. Example: a book fair budget with planned spending of Tk 240,000 and expected sales of Tk 900,000. (*Chapter VIII*)

Bureaucracy. A system of management built on written rules, clear levels of authority and appointment by skill. Max Weber described it as a design for fairness. Example: a shop with a written rule list and clear roles for each employee. (*Chapter IV*)

Business ethics. The moral rules that decide what is right and wrong in business conduct. A moral rule is a belief about how people ought to treat one another, such as "do not deceive". Ethics asks for more than the law requires. (*Chapter VI*)

Centralization. Keeping most decision-making power at the top of the organisation. Its opposite is decentralization. For example, an owner who approves every return and every order runs a centralized shop. (*Chapter XIV*)

Certainty. A condition in which the result of each alternative is known in advance. A manager can compare the known results and choose the best. For example, a shop that signs a lease knows its rent of Tk 38,000 a month. (*Chapter X*)

Conceptual skill. The ability to see the organisation as a whole and to understand how its parts connect. It is about working with ideas and with the links among them. A manager who sees that late books delay school orders and harm the shop's name shows conceptual skill. (*Chapter II*)

Concurrent control. Control that acts while the work is being done. It checks the process as it happens and corrects at once, but it costs constant attention. For example, a supervisor helping a new cashier at the till, or an alarm that sounds as an item leaves the shop. (*Chapter XVIII*)

Contingency approach. The view that the best way to manage depends on the situation. It grew from the 1960s. Example: a fixed method suits unloading cartons, while a flexible style may suit a team inventing a new service. (*Chapter IV*)

First-line manager, 12–19, 24

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Environmental scanning. The regular collection and study of information about outside changes that could affect an organisation. A shop owner who reads rivals' online prices every week is scanning. Its value lies in meeting change early, when many responses remain open. (*Chapter V*)

Ethical dilemma. A choice in which every option has a cost to some person's rights or interests. For example, a shop owner may have to dismiss one of two employees or cut the pay of both. It differs from a temptation, where one option is plainly wrong. (*Chapter VI*)

Expected value. The average result of a choice, found by multiplying each possible result by its probability and adding the products. Gains count as positive and losses as negative. It need not equal any single result. For example, a game that pays Tk 100 or costs Tk 20 with equal chances has an expected value of Tk 40. (*Chapter XI*)

External environment. All the forces outside an organisation that affect it, such as customers, rivals, laws and technology. Managers cannot command these forces, but they can study them, prepare for them and sometimes influence them. (*Chapter V*)

Feedback control. Control that acts after the work is done, using the results to correct later work. It is easy to apply because results are known, but it cannot undo what has happened. For example, a year-end stock count. (*Chapter XVIII*)

Feedforward control. Control that acts before work begins, to prevent problems. It checks inputs such as people, materials, money and plans. Its strength is prevention, and its weakness is reliance on forecasts. For example, training a new cashier before the first day. (*Chapter XVIII*)

First-line manager. A manager who directly supervises employees doing the day-to-day work. The people supervised are not themselves managers, so this level is closest to the daily work and to the customer. The supervisor of the cashiers at a bank counter is a first-line manager. (*Chapter II*)

Flat structure. A structure with few levels and wide spans of management. Messages travel quickly and employees have more freedom, but each manager may be overloaded when the span is too wide. (*Chapter XIII*)

Forecast. A reasoned estimate of what will happen in the future, used as a base for a plan. It rests on evidence such as past records. Example: estimating next season's sales from the sales of the last three seasons. (*Chapter VII*)

Formal organization. The official structure of jobs, rules and lines of authority that management sets up on purpose. It is usually written down in job descriptions, rules and the organization chart, and it gives order and stability. (*Chapter XII*)

Function of management. One of the four main kinds of work managers do: planning, organising, leading or controlling. The word means a main kind of work. Example: arranging who does which job is the function of organising. (*Chapter III*)

Management by objectives. A system in which managers and employees agree objectives together, then judge performance against them. Its cycle runs from agreeing objectives, to acting with self-control, to review and appraisal, and back to agreement. Peter Drucker described it in 1954. (*Chapter IX*)

Management process. The continuing cycle of planning, organising, leading and controlling that managers repeat. When one round ends, the information it produces feeds the next round. Example: a shop owner sets a target, arranges jobs, guides employees, checks results and then plans again. (*Chapter III*)

Management science approach. The use of mathematical models and data to solve management problems. It grew after the Second World War. Example: using past sales data to decide how many copies of a title to order. (*Chapter IV*)

Manager. A person who is responsible for the work of other people and for the results of their work. A manager does not only do tasks personally, but sees that others do them well. The person who directs the sales assistants and answers for the shop's sales is a manager. (*Chapter I*)

Middle manager. A manager between top and first-line managers, who turns the direction into plans for departments. The middle manager receives a direction and returns a plan. The manager of a bank's loans department, who decides how many loan officers are needed, is a middle manager. (*Chapter II*)

Motivation. The inner push that makes a person choose to act and keep acting toward a goal. It is inside the person, so managers see only the behaviour. For example, an assistant who tidies shelves each day to earn trust shows strong motivation. (*Chapter XVI*)

Need. A lack that a person feels and wants to fill. A need creates tension, called a drive, that pushes the person to act. Needs differ between people. For example, one employee lacks income and another lacks respect. (*Chapter XVI*)

Need hierarchy. Maslow's idea that human needs rank in five levels: physiological, safety, social, esteem and self-actualisation. An unmet lower need pushes most strongly, and a higher need matters only after the lower ones are met. The order is a guide, not a fixed law. (*Chapter XVI*)

Objective. A specific result that an organisation or person intends to reach within a stated time. It names a result, a measure, a number and a date. Example: selling 500 copies of one textbook before 30 June. (*Chapter IX*)

Organisation. A group of people working together in a planned way to reach goals they could not reach alone. The group has a purpose, shared tasks and some rules. A bookshop with its owner and staff is an organisation, and so are a school and a hospital. This book uses one word for all such groups. (*Chapter I*)

Organization chart. A diagram that shows the jobs in an organisation and who reports to whom. Boxes stand for jobs and lines stand for reporting lines. It records the formal structure at one moment and can become out of date. (*Chapter VII*)

Risk. A condition in which the result is not known but its chances can be estimated, usually from past records. The result may be good or bad. For example, a stall owner whose records show rain on 4 of 10 days estimates the chance of rain as 0.4. (*Chapter X*)

Scientific management. The study of work by measurement, aimed at finding the one best method and training workers in it. Frederick Taylor began it in the 1900s. Example: timing several ways of unloading a carton and choosing the fastest. (*Chapter IV*)

Single-use plan. A plan made for one occasion or project and not used again. It has a start and an end. Example: the plan for a 28-day book fair stall, which will not be repeated in the same form. (*Chapter VIII*)

Span of management. The number of employees who report directly to one manager. Only direct reports count. A store manager with three sales assistants, a cashier and a stock clerk has a span of five. The best span depends on skill, nearness and the kind of work. (*Chapter XIII*)

Staff authority. The right to advise and support line managers, without commanding their employees. The line manager still decides. For example, an accounts adviser tells a store manager that a school's credit is too high. (*Chapter XIV*)

Standard. A level of performance set in advance as the measure of what is acceptable. It can be stated in quantity, quality, time or cost. A good standard is measurable and fair. For example, a stock loss of no more than 1% of stock value. (*Chapter XVIII*)

Standing plan. A plan made once and used again and again for situations that repeat. It saves thought and gives fair, equal treatment. Example: a shop's returns policy, applied to every customer who asks to exchange a book. (*Chapter VIII*)

Sustainability. Running an organisation so that it meets today's needs without harming later generations' ability to meet theirs. It covers the natural environment, people and the organisation's own money. A farmer who plants seedlings after picking fruit follows the same rule. (*Chapter VI*)

Tall structure. A structure with many levels and small spans of management. Close supervision is possible, but messages pass through many levels and the many managers raise the cost of wages. (*Chapter XIII*)

Task environment. The outside groups that deal directly with an organisation, such as its customers, suppliers and rivals. For a bookshop, the schools that order books and the publishers that supply them belong to its task environment. (*Chapter V*)

Team. A small group of people with joined skills, working toward a common goal for which all are accountable. Accountable means answerable for the result. Staff who prepare a school order together form a team; colleagues who only eat lunch together are a group. (*Chapter XV*)

Technical skill. The ability to use the tools, methods and knowledge of a specific job. It is mainly about working with things and

CHAPTER XVII · LEADERSHIP

17.p1 Point 5: the manager presents the problem, asks the employees for suggestions, and then makes the decision. The manager keeps the final decision, but only after hearing the group.

17.t1 Both parts are possible. She is a leader, because colleagues seek her advice and follow it willingly, which is influence without a position. She is not a manager unless she also holds a position of authority.

17.t2 In the emergency, a point near 1: time is short and danger is high, so the manager decides and announces. For a monthly meeting on the duty roster, a point near 5 or 6, because nurses know their own needs and time allows discussion.

17.1 Leadership is the process of influencing people to work willingly toward group goals. Its three parts are the leader, the followers and the situation.

17.2 Any two of: a manager holds a position, a leader holds influence; followers must obey a manager but choose to follow a leader; a leader needs no title. One person can be both when a manager also influences people to follow willingly.

17.3 Legitimate (position), reward, coercive (punishment), expert and referent power. Referent power comes from liking and admiration: an assistant whom colleagues respect and copy can influence them with no reward to offer.

17.4 (a) Autocratic: danger and short time. (b) Participative or free-rein: skilled people with knowledge the leader lacks. (c) Free-rein: experienced people with clear goals need little direction.

17.5 The trait approach looks for personal qualities of leaders; the situational approach says the right way to lead depends on leader, followers and situation. The continuum supports the situational approach, because no point on it is best everywhere.

CHAPTER XVIII · CONTROLLING

18.p1 Deviation = actual – standard = 9 – 5 = 4 spoiled cups above the standard. The manager should first find the cause (for example a machine fault or a new employee) before choosing the correction.

18.p2 Feedback control. It uses last month's results, after the work is done, to correct later work.

18.t1 Deviation = 56,000 – 35,000 = Tk 21,000 above the standard. Repayment = 30,000 ÷ 15,000 = 2 years.

18.t2 It could go too far by taking much of the employees' time and showing distrust, so they may write the log to please the owner and stop using their own judgement. A change that keeps the benefit: log only the key items, such as cash and stock, and check by sample.

18.t3 The same person does and checks the work, so an error or a theft can pass unseen. The risk falls if another person counts the cash, or if the owner checks the count.

ANSWERS TO QUESTIONS

CHAPTER I · WHAT MANAGEMENT IS

1.p1 Planning: deciding in advance what to cook and buy. Organising: sharing the tasks among family members. Leading: guiding and encouraging the members. Controlling: checking at the month's end whether the money lasted, and correcting any difference.

1.p2 Yes. The owner employs two drivers, tells each one what to do and answers for the results of their work, which matches the definition of a manager.

1.t1 Nurul Meghna, the owner-manager of a shop with seven staff. The resources are stock Tk 3,500,000, fittings Tk 600,000 and the seven staff.

1.t2 Rafiq answers for the assistants' work that week, because a manager answers for the work of the people he directs. Nurul remains the owner.

1.t3 The stall still has resources and goals. Its owner must decide what to buy, arrange the stall and check the takings, which is management on a very small scale. Only the leading of other people is missing.

1.t4 The organisation is the club. Two resources are the members and the fund (or the ground). The manager is the person who is responsible for the members' work and its results, such as the person chosen to direct the club.

1.1 Doctors and nurses (people), money from fees or public funds (money), medicines and equipment (materials), patient records (information).

1.2 Responsibility is a duty to perform a task and to answer for how well it is done. Authority is the right to give orders and make decisions.

1.3 Resources are limited, people differ, conditions change and tasks depend on one another, so someone must direct resources toward the organisation's goals.

CHAPTER II · MANAGERS AND THEIR SKILLS

2.p1 Nurul works at the top level. Rafiq's weekly stock plan is middle-level work, and his direct supervision of five employees is first-line work.

2.p2 Human skill. The manager is working with and understanding a person, and giving the employee a reason to speak and to keep learning.

2.t1 Nurul works at the top level. Rafiq stands at the middle level (weekly stock plan, supervising 5 staff) and at the first-line level (directly supervising 3 sales assistants, 1 cashier and 1 stock clerk).

2.t2 The new manager stands at the middle level, below Nurul, and is a general manager because the manager answers for a whole shop. If the manager directly supervises employees, the work also stands at the first-line level.

14.1 Authority is the right to give orders and expect them to be obeyed, given by position. Power is the ability to influence others, whether or not one holds a position. Authority stays with the post, while power leaves with the person.

14.2 (a) Line authority: it is a manager directing an employee in the chain of command. (b) Staff authority: it is advice and does not command. (c) Functional authority: a specialist commands in one subject only.

14.3 Delegation is giving an employee the right to make decisions and take action for a stated task. Responsibility, authority and accountability must be kept in balance.

14.4 Rafiq answers to Nurul for returns he approves, but Nurul still answers to the owners and customers for the shop as a whole. Handing over the task does not remove the answer owed upward.

14.5 Two reasons are fear of mistakes and fear of losing control. Remedies: match the task to the person and state limits plainly; accept early mistakes and check progress through reports and meetings.

14.6 Centralization is keeping most decision-making power at the top of the organisation. Conditions favouring decentralization include a large organisation and skilled, trusted employees, or a need for speed near the customer.

14.7 Coordination is linking the work of different people and departments so that they pull toward the same goal. Basic activities: shared goals, regular communication. Structural techniques: the chain of command, rules, liaison persons or meetings.

CHAPTER XV · HUMAN FACTORS, GROUPS AND CREATIVITY

15.p1 Observed fact: the employee arrived late twice. Added by the manager: the belief that the employee does not care about the job.

15.p2 Yes, it is an unwritten rule that members follow and expect others to follow. It probably helps, because it avoids quarrels over customers, though it could harm the shop if a waiting customer is left unserved.

15.t1 People differ in traits, abilities and attitudes. A smile shows one trait, and correct answers show another, so one observation is too little. The manager should observe over time and compare impressions with records of work.

15.t2 The norm is that all three assistants eat lunch together at the same time. The manager could explain the reason, ask the group to propose a rotation that keeps the counter covered, and respect the wish to eat together on some days.

15.t3 The habit is a quick answer that closes discussion. It teaches employees that suggestions are wasted, so creativity falls and innovation stops. One change: ask what has changed since the last attempt and give a reason for any refusal.

15.t4 Yes, if the three have different skills that fit together, share one goal (less waiting) and are answerable together for the result. The clinic must make the shared accountability clear, so that all

study for repeated tasks and the human relations school for team spirit in the rush.

4.t4 Timing every task can feel like constant watching, which weakens team spirit. A manager can explain the reason for the timing, share the saving with employees, and ask them to suggest better methods.

4.1 Taylor: one best method found by timing. Fayol: fourteen principles for the whole organisation. Weber: written rules and levels of authority. Mayo: group bonds affect output.

4.2 Replace rule of thumb with a science for each job; select, train and develop each employee; cooperate with employees so work follows the science; divide work and responsibility between managers and employees.

4.3 The contingency approach is the view that the best way to manage depends on the situation. Example: a fixed method suits unloading cartons, while a flexible style suits a team inventing a new service.

4.4 Structure and command (for example, unity of command); fairness and people (for example, equity); order and purpose (for example, discipline).

4.5 Strength: it solves problems that can be measured, such as how many copies to order. Limit: it cannot measure feelings or judgement.

CHAPTER V · THE ENVIRONMENT OF ORGANISATIONS

5.p1 External. The owner of Meghna and Sons cannot direct a rival, so the change lies outside the boundary.

5.t1 External, because the shop cannot direct the school. It fits the task environment, since the school is a customer, and it also reaches the shop through the political and legal group if an education authority required the change.

5.t2 The stock clerk is an employee of the shop, so a proposal from the clerk is an internal matter that managers can accept or refuse directly. The school's later choice would still be external. The boundary follows control.

5.t3 Political and legal group, and outside the boundary because the shop cannot command a government. Adapting: change the price list or the range of books kept. Influencing: join a trade association and present the shop's case to the public body, honestly and lawfully.

5.t4 The departure of 2 of 5 nurses is internal. The new clinic is external, in the task environment as a rival. The new rule is external, in the political and legal group. Watching them is scanning, which supports planning, the first function of the management process, because plans must fit the conditions in which they will be used.

5.1 A rival's price cut: external. A new store manager: internal. A change in school book rules: external. The shop's own opening hours: internal.

11.3 $0.2 \times 100,000 = 20,000$; $0.5 \times 40,000 = 20,000$; $0.3 \times (-60,000) = -18,000$. The sum is Tk 22,000, and the probabilities add up to 1.

11.4 X: $0.6 \times 200,000 = 120,000$ and $0.4 \times (-100,000) = -40,000$, so Tk 80,000. Y is Tk 70,000. X is higher by Tk 10,000, but it can lose Tk 100,000, so a manager would also ask whether the firm can bear that loss.

11.5 A square shows a decision point and a circle shows a chance event. We draw the tree from left to right and calculate from right to left, which is called folding back.

11.6 It stores and analyses data quickly, and it answers what-if questions. One limit: wrong data give wrong answers, and the system supports the manager but does not decide.

11.7 Advantages: more information and ideas, and stronger support from those affected. Disadvantages: it is slower and uses the time of several employees; it can also let one member dominate or blur responsibility.

11.8 Any three of: time, cost, importance, the manager's values and attitude to risk, and authority.

11.9 A tree works when the possible results and their probabilities are known, which describes risk. Under certainty each choice has one known result, so the manager compares the results directly and needs no probabilities.

CHAPTER XII · ORGANIZING AND TYPES OF ORGANIZATION

12.p1 Step four, set the relationships, because it decides who answers to whom.

12.p2 Formal. The job description and the reporting line were set up by management and are written down.

12.t1 One grouping: stock tasks (ordering books) and counter tasks (serving customers, counting cash). The reason is that the counter tasks happen at the same place and use the same dealing with customers and money.

12.t2 It could join the group with ordering books if the delivery depends on stock, or it could join a group of tasks for customers away from the counter. Either answer is reasonable, which shows that grouping needs judgement guided by the purpose of organizing.

12.t3 Informal, because no manager set it up. The manager should be pleased that staff share useful information, and concerned only if private patient details are passed on carelessly or if rumour spreads.

12.t4 The chart may be out of date, with tasks that nobody owns and reporting lines that are too long. The informal organization may also grow in new groups that spread rumour, because the formal structure no longer links the larger staff.

12.1 Formal: the cashier's job description and the reporting line from stock clerk to store manager. Informal: the lunch group and the habit of sharing book tips at noon.

12.2 Identify the tasks (what work must be done?); group the tasks

7.t2 The order costs Tk 216,000 more (5% of Tk 4,320,000). The manager should have forecast the price change, stated it as a premise, and weighed alternatives such as ordering earlier or ordering part of the stock.

7.t3 Awareness: what chance or problem do we see? Objectives: what exact result, by what date? Premises: what do we assume about customers and costs? Alternatives: what other ways could we reach the aim? Choosing and carrying out: who does what, with what money and by when?

7.t4 Two alternatives: hold the sports day indoors, or fix a spare dry date. The indoor option removes the weather risk but limits the activities; the spare date keeps the activities but needs a second booking and a second notice to families.

7.1 Awareness of opportunity (notice a chance or problem); setting objectives (state the exact result and date); planning premises (write down what is assumed); listing and weighing alternatives (compare the possible ways); choosing and carrying out (select one and put it into action).

7.2 A plan is a statement of what will be done, by whom and by when, to reach an objective; example: "Rafiq places the book order by 12 December". A planning premise is an assumption about future conditions on which a plan is built; example: publishers raise prices by 5%.

7.3 A forecast is a reasoned estimate of what will happen, such as next season's sales from past records. A planning premise is the assumption written into the plan; a forecast is a good source for a premise.

7.4 The supplier needs 21 days to deliver, so books ordered after the deadline arrive after the season starts. Waiting for empty shelves means customers go elsewhere.

7.5 Wrong premises: write them down and check them. Vague or unshared objectives: state the result exactly and tell every employee. Lack of commitment: name a person for each task and review progress. Other reasons are cost, rigidity and an unknown future.

CHAPTER VIII · KINDS OF PLANS AND MAKING PLANNING WORK

8.p1 A one-day sale to clear old stock is a single-use plan, because it is made for one occasion. If the shop held the same sale every year with the same steps, it would become a standing plan.

8.p2 Communication is weak, because the employees who carry out the plan do not know it. The owner should explain the plan to everyone affected, in writing, and answer their questions.

8.t1 The limit "within 7 days" decides the case, because day 8 is outside it. That part is a policy, so the manager has room for judgement, for example to help if the book was damaged. The manager should record the exception.

8.t2 The expected sales would exceed the spending by 600,000 – 240,000 = Tk 360,000. The event still seems worth planning, but the margin is smaller, and the cost of the books must be counted

8.1 Standing: returns policy and yearly budget (renewed in form each year). Single-use: book fair stall and the opening of a new branch.

8.2 A policy is a general guide that sets limits for choices (exchange within a set number of days). A procedure is a fixed series of steps for a repeated task (check receipt, check book, record exchange). A budget states expected income and spending in money for a period (the book fair budget of Tk 240,000).

8.3 A long-range plan looks several years ahead and a short-range plan a year or less. A strategic plan sets the main direction of the organisation; an operational plan states how one part does its daily work.

8.4 If senior managers ignore a plan, employees ignore it too. Support gives the plan money, time and example, so people follow it.

8.5 Review plans on a fixed date and check the premises; plan in proportion, with more detail where an error costs much; keep a margin of money or time.

CHAPTER IX · OBJECTIVES AND MANAGEMENT BY OBJECTIVES

9.p1 For example, sales and customer service. In sales, a shop that does not sell cannot survive; in customer service, poor service loses customers.

9.p2 A cycle suits MBO because results from one period teach what objectives to agree for the next. A straight line would end after one year and waste what was learned.

9.t1 Sample: (1) key result area: results; measure: share of pupils passing the year-end tests; target 85%; period: the next school year. (2) key result area: staff development; measure: hours of training per teacher; target 14 hours; period: the next school year.

9.t2 Two ways: objectives imposed by the head teacher, so teachers feel no ownership (fix: agree each objective in a meeting); results judged that a teacher cannot control (fix: agree objectives only for results the teacher can influence, and review them during the year).

9.1 An objective is a specific result that an organisation or person intends to reach within a stated time. An activity is something done, such as holding a sale; an objective is what is reached, such as selling 2,000 copies.

9.2 Sample: "Sales to schools of Tk 4,000,000 in 2026"; "Stock turnover of at least 3.2 times in 2026"; "12 hours of customer-service training per employee in 2026". Each names a measure, a target and a period.

9.3 Average stock = cost of sales ÷ turnover = 9,800,000 ÷ 3.2 = Tk 3,062,500. Check: 3,062,500 × 3.2 = 9,800,000.

9.4 (1) Organisation states objectives; (2) manager and employee agree individual objectives; (3) employee acts with self-control; (4) progress is reviewed; (5) performance appraisal; (6) results guide the next period. Performance appraisal is stage five.